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Ivory Coast
Strengthening Public Expenditure Management and Controls
Public Expenditure Review

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ACRONYMS ANDABBREVIATIONS

AERIA	*Aéroport International d 'Abidjan*
AfDB	African Development Bank
AJT	*Agence Judiciaire du Trésor*
BCEAO	*Banque Centrale des Etats de 1'Afrique de l 'Ouest*
CHU	*Centre Hospitalier Universitaire*
BNETD	*Bureau National d 'Etudes Techniques et de Dkveloppement*
BOAD	West African Development Bank *(Banque Ouest Africaine de Dkveloppement)*
CAA	*Caisse Autonome d'Amortissement*
CC	*Chambre des Comptes*
CF	*Contrôleur Financier*
CFAF	CFA franc
COGES	Community Management Committees
CPAR	Country Procurement Assessment Report
CRDP	*Cellule de Revue des Dkpenses Publiques*
DAAF	Administrative and Financial Directors
DCF	*Direction du Contrôle Financier*
DCPE	*Direction de la Conjoncture et de la Prévision*
DDP	*Direction de la Dette Publique*
DENO	*Dkpenses Engagées Non Ordonnancées*
DGBF	*Direction Gknkrale de Budget et de Finances*
DGTCP	*Direction Gknkrale du Ti-isor et de la Comptabilitk Publique*
DGD	*Direction Gknkrale des Douanes*
DGE	*Direction Gknkrale de l'Economie*
DGI	*Direction Générale des Impôts*
DGP	*Direction Gknkrale de la Planification*
DMP	*Direction des Marchés Publics*
DPP	Direction des Participations et des Privatisations
PPD	Public Procurement Directorate
DPSB	*Direction des Politiques et Synthèse Budgktaire*
DSPM	*Direction de Synthèse et Politique Macrokconomique*
DUS	*Droit Unique de Sortie*
ECOWAS	Economic Community of West African States
EDF	European Development Fund
ENA	National Administrative School *(Ecole Nationale d 'Administration)*
ENSEA	*Ecole Nationale de Statistiques et d'Economie Appliqué*
GDP	Gross Domestic Product
GNI	Gross National Income
HIPC	Heavily Indebted Poor Countries
IDA	International Development Association
IGE	General State Inspectorate

IGE	*Inspection Générale de l'Etat*
IGF	General Financial Inspectorate
IGT	*Inspection General du Trésor*
IMF	International Monetary Fund
MEF	Ministry of Economy and Finance
MTEF	Medium-term Expenditure Framework
NGO	Non Governmental Organization
OHADA	*Organisation pour l'Harmonisation du Droit des Affaires en Afrique* (Organization to Harmonize Business Law in Africa)
PEM	Public Expenditure Management
PER	Public Expenditure Review
PETS	Public Expenditure Tracking Surveys
PIP	Public Investment Program
PIU	Project Implementation Unit
PRGF	Poverty Reduction and Growth Facility
PRSP	Poverty Reduction Strategy Paper
RTI	*Radio Télévision Ivoirienne*
SIGBUD	*Système Intégré de Gestion Budgétaire*
SIGFIP	*Système Intégré de Gestion de Finance Publique*
SIPE	*Société Ivoirienne des Postes et de l'Epargne*
SODEEXAM	*Société d'Exploitation des Aéroports et de la Météorologie*
SONARECI	*Société Nationale de Recouvrement de Côte d'Ivoire*
SOTRA	*Société des Transport Abidjanais*
TPG	*Trésorier Payeur Général*
TPS	*Taxe sur les Prestations de Services*
TSS	Transitional Support Strategy
VAT	Value-added Tax

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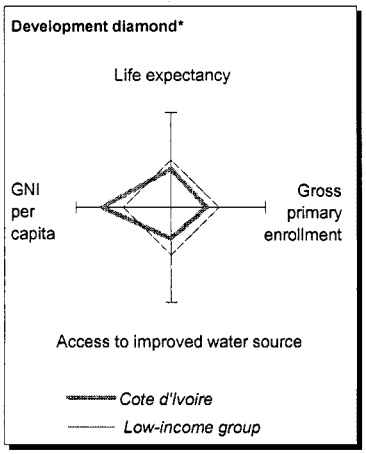
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CÔTE D'IVOIRE AT A GLANCE

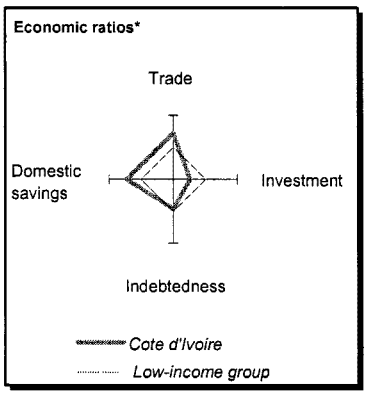
POVERTY and SOCIAL	Côte d'Ivoire	Sub-Saharan Africa	Low-income
2002			
Population, mid-year *(millions)*	16.8	674	2,511
GNI per capita *(Atlas method, US$)*	620	470	430
GNI *(Atlas method, US$ billions)*	10.5	317	1,069
Average annual growth, 1996-02			
Population *(%)*	2.6	2.5	1.9
Labor force *(%)*	3.0	2.6	2.3
Most recent estimate (latest year available, 1996-02)			
Poverty *(% of population below national poverty line)*	38.4	..	..
Urban population *(% of total population)*	43.6	32.3	31.0
Life expectancy at birth *(years)*	47.8	46.5	58.9
Infant mortality *(per 1,000 live births)*	180.0	91.2	76.1
Child malnutrition *(% of children under 5)*	24.0	..	..
Access to an improved water source *(% of population)*	50.0	55.4	75.6
Illiteracy *(% of population age 15+)*	53.2	37.4	36.8
Gross primary enrollment *(% of school-age population)*	71.4	78.3	95.8
Male	77.7	84.8	103.4
Female	64.5	71.8	87.8



KEY ECONOMIC RATIOS and LONG-TERM TRENDS

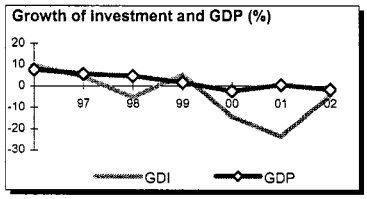
	1982	1992	2001	2002
GDP *(US$ billions)*	7.3	12.1	10.8	11.7
Gross domestic investment/GDP	20.8	5.1	11.0	10.5
Exports of goods and services/GDP	37.6	29.5	40.6	48.3
Gross domestic savings/GDP	17.8	8.7	19.6	28.3
Gross national savings/GDP	..	-5.8	10.3	19.8
Current account balance/GDP	..	-11.0	-0.7	9.3
Interest payments/GDP	10.2	3.4	5.3	4.8
Total debt/GDP	122.2	160.3	148.9	139.8
Total debt service/exports	55.3	32.3	20.0	15.3
Present value of debt/GDP	..	133.7	55.3	52.9
Present value of debt/exports	..	448.6	132.3	106.6

	1982-92	1992-02	2001	2002	2002-06
(average annual growth)					
GDP	2.1	5.1	0.3	-1.8	2.4
GDP per capita	-1.2	1.8	-2.1	-3.9	0.5
Exports of goods and services	2.0	4.6	4.4	21.7	-1.6

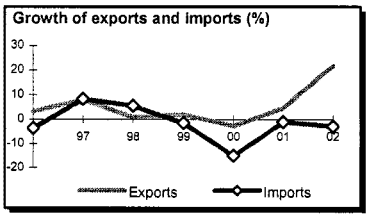


STRUCTURE of the ECONOMY

	1982	1992	2001	2002
(% of GDP)				
Agriculture	24.9	29.0	24.7	25.7
Industry	22.0	22.7	21.4	20.8
Manufacturing	14.7	20.6	18.4	17.6
Services	53.2	48.3	53.9	53.6
Private consumption	64.3	69.7	71.1	60.9
General government consumption	17.9	21.6	9.3	10.8
Imports of goods and services	40.6	26.0	31.9	30.5



	1982-92	1992-02	2001	2002
(average annual growth)				
Agriculture	4.0	3.4	0.5	-2.6
Industry	8.0	4.1	-4.2	-2.3
Manufacturing	7.7	3.4	-4.2	-3.2
Services	-2.1	7.1	2.1	-1.2
Private consumption	2.9	4.7	1.0	-15.6
General government consumption	-1.6	2.2	8.4	23.9
Gross domestic investment	-8.9	5.2	-23.7	-4.4
Imports of goods and services	-1.4	0.9	-1.3	-3.0



Note: 2002 data are preliminary estimates.

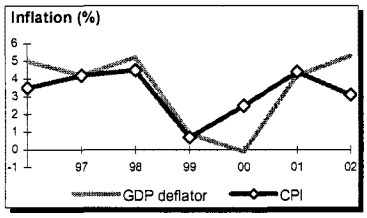
* The diamonds show four key indicators in the country (in bold) compared with its income-group average. If data are missing, the diamond will be incomplete.

CÔTE D'IVOIRE AT A GLANCE (cont'd)

Cote d'Ivoire

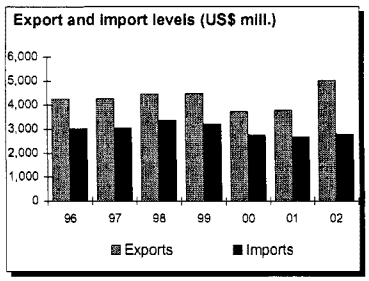
PRICES and GOVERNMENT FINANCE

	1982	1992	2001	2002
Domestic prices				
(% change)				
Consumer prices	7.4	4.2	4.4	3.1
Implicit GDP deflator	3.3	-1.8	4.2	5.3
Government finance				
(% of GDP, includes current grants)				
Current revenue	..	18.6	17.2	18.1
Current budget balance	..	-8.1	2.4	1.7
Overall surplus/deficit	..	-10.4	0.9	-1.6



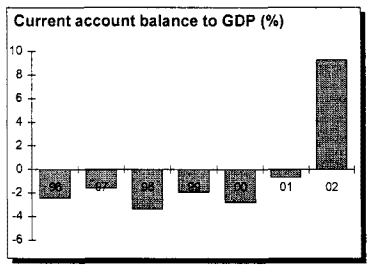
TRADE

	1982	1992	2001	2002
(US$ millions)				
Total exports (fob)	2,347	3,196	3,783	5,022
Cocoa beans	..	765	1,007	1,770
Crude oil	..	..	151	155
Manufactures	..	1,037	1,182	1,424
Total imports (cif)	2,187	2,342	2,688	2,791
Food	396	377	543	597
Fuel and energy	470	511	670	534
Capital goods	598	481	492	596
Export price index *(1995=100)*	96	79	68	89
Import price index *(1995=100)*	161	100	98	106
Terms of trade *(1995=100)*	60	79	70	84



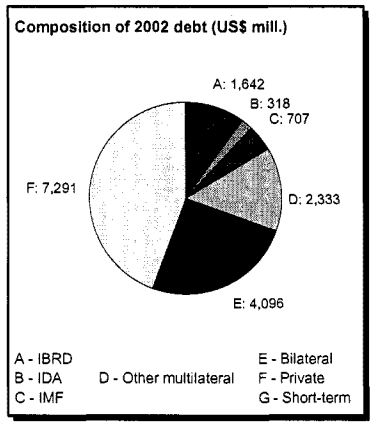
BALANCE of PAYMENTS

	1982	1992	2001	2002
(US$ millions)				
Exports of goods and services	2,756	3,559	4,361	5,659
Imports of goods and services	2,976	3,136	3,433	3,570
Resource balance	-220	423	928	2,089
Net income	-540	-1,346	-665	-575
Net current transfers	-384	-399	-392	-529
Current account balance	N/A	-1,322	-74	1,087
Financing items (net)	..	1,087	537	-501
Changes in net reserves	N/A	235	-464	-586
Memo:				
Reserves including gold *(US$ millions)*	21	-1,577	729	869
Conversion rate *(DEC, local/US$)*	328.6	264.7	732.4	694.8



EXTERNAL DEBT and RESOURCE FLOWS

	1982	1992	2001	2002
(US$ millions)				
Total debt outstanding and disbursed	8,961	19,319	16,010	16,387
IBRD	540	1,955	1,600	1,642
IDA	8	0	304	318
Total debt service	1,540	1,160	898	886
IBRD	48	316	110	139
IDA	0	1	9	28
Composition of net resource flows				
Official grants	9	313	..	..
Official creditors	352	361	-278	-300
Private creditors	590	-10	287	324
Foreign direct investment	48	-8	138	155
Portfolio equity	0	139	87	94
World Bank program				
Commitments	158	15	0	212
Disbursements	221	178	5	174
Principal repayments	21	157	72	102
Net flows	200	21	-67	71
Interest payments	27	159	46	64
Net transfers	172	-138	-113	7



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In carrying out this task, the team drew upon past economic reports and ongoing operations of the Bank, the documentation prepared by the Ivorian Government and on the analytical work of the IMF team working on Ivory Coast.

FOREWORD

Initial work on this report was started as a traditional public expenditure review (PER) in mid-2002 on the assumption that Côte d'Ivoire was ready to accelerate its development agenda and that the country was ready to put behind three years of instability. In the event, the civil conflict between September 2002 and April 2003 set back the country's development agenda and put a stop on most of the external financial assistance, including the Bank lending and economic and sector work. Following the Marcoussis Peace Accord (January 2003) and the formation of the government of national reconciliation (April 2003), progress was made towards durable peace, but reunification of the country remains a challenge.

During the turbulence, the implementation of the budget was severely disrupted; external finance dried up; priories shifted towards concerns with national integrity and security; and public expenditure management deteriorated as standard processes could not always be observed. Arguably, governance and fiscal transparency deteriorated. Longer term fiscal issues of resource allocation and medium-term planning receded into the background. The PER work was restarted in this complex and fundamentally different environment, with first post-conflict missions taking place in June-July and August-September 2003.

PER was, therefore, reformulated as a two-stage, rapid analytical response to the new situation. The purpose was to adapt it to the need to: (i) address these urgent yet systemic public expenditure management and control issues in the post-conflict environment; (ii) support the Bank's new reengagement dialogue; and (iii) accelerate disbursement of external financial assistance in support of reconstruction. In the first stage, the present report would provide a focused overview of main macroeconomic and social effects of the crisis, an assessment of public expenditure management and expenditure controls, while highlighting most pressing governance and transparency issues. In the second stage, a companion volume would be prepared addressing the issues of resource allocation, more detailed assessment of the social impact of the crisis, and medium-term public finance. This phased approach, consistent with the Bank's emerging transitional support strategy, is designed to better meet post-conflict needs and strengthen fiscal institutions. Finally, this report has benefited from the on-going consultations and the work of other donors such as the IMF, AFD, and the AfDB.

EXECUTIVE SUMMARY

1. **Côte d'Ivoire has witnessed unprecedented instability since 1999 and political tensions culminated in the civil conflict in 2002; while the war seems over, reconciliation has not been easy.** After strong growth in the 1995-98 period, aided by the 1994 devaluation of the CFA franc and supporting structural reforms, the country entered a period of an unprecedented political instability and economic deterioration starting with the 1999 coup d'état. The subsequent, transition period of military rule following the coup d'état did little to heal the leadership disagreements and rebuild the divided political fabric of the Ivorian society. Furthermore, political divisions were exacerbated by the exclusion of certain candidates from the presidential elections in October 2000. These elections brought to power President Gbagbo. A short period after the peaceful municipal elections in 2001 promised return to normalcy. Initially in 2002, the economy responded well, partly aided by the favorable international cocoa prices. In March 2002, the government concluded a three-year program with the IMF covering the period 2002-04. However, a rebellion erupted on September 19, 2002. The country was split in two parts with rebels holding the north and west and the government remaining in control of the south, central and eastern parts of the country. The Marcoussis Peace Accord (January 2003) addressed major issues of contention and put in place a government of national reconciliation, which until end-September 2003 made promising progress in implementing the agreement. The most recent political dispute, however, threatens to set back the hard-won gains in the peace process.

2. **The conflict resulted in a massive economic and social impact, affecting the entire sub-region.** On the economic front, instead of growing at 3 percent expected before the crisis, real output and private and foreign investment plunged in the last quarter of 2002 resulting in the negative overall growth for the year. Furthermore, economic activity continued to contract during 2003. While the 2002 cocoa campaign was protected from conflict and benefited from high coca prices, the 2003 campaign may be affected by the shortage of labor and unfavorable weather conditions earlier this summer. Disadvantaged population in the ex-rebel controlled areas whose incomes depend largely on cotton production, suffered disproportionately. Fiscal management and transparency deteriorated as budget deficit widened due to higher military expenditures and wages and salaries, and internal and external arrears increased; the overall fiscal situation remains strained in 2003. On the social front, poverty increased from an official 38 percent just before the crisis to a probable 42-44 percent after crisis, including close to a million internally displaced persons (IDPs) and refugees. Social services are failing the poor, especially in the north and west, and several hundred thousands of children are out of school. In addition, thousands of poor residents of the Abidjan's "*quartiers précaires*" and displaced population who lost their homes during conflict remain without permanent shelter. HIV/SIDA remains high, especially among the most vulnerable groups. Regionally, the conflict disrupted regional trade, transportation and growth, and integration initiatives.

3. **There is reason to hope that the peace process will strengthen.** In July 2003, the respective militaries had signed a formal declaration of the end of war. An amnesty

law was passed, overcoming a major roadblock to the disarmament process. Furthermore, there is agreement on a number of elements of the demobilization and disarmament process. Also, during April-August, despite difficulties, the government of national reconciliation has shown that various parties could work together to implement the peace accord. These achievements provide reason for hope that the current tensions will be overcome. Meanwhile, the authorities would like to lay the foundation for a speedy recovery when the peace process is fully consolidated.

4. **To set the stage for accelerated recovery, a key policy challenge in Côte d'Ivoire is improving public expenditure management, transparency and controls.** External post-conflict assistance will need to be delivered urgently and efficiently, and donors will need to be assured that their assistance will reach the intended beneficiaries with appropriate safeguards. Humanitarian and social assistance programs will need to reach the vulnerable groups in all parts of the country. Local public services—which are currently failing the poor—will need to be restored, especially in the war-torn areas of the country. These challenges may not be met unless the new government of national reconciliation is able to strengthen public expenditure management, streamline expenditure controls, improve accountability, and help speed the execution of external assistance, including that of the Bank.

5. **This report provides a preliminary and selective analysis of key post-conflict public expenditure management issues facing the new government**. The emphasis is on *selected issues* that bear directly on the effectiveness of expenditure management, transparency, and controls. Particular emphasis is given to the problem of low disbursement of externally-funded projects, including the Bank's, which jeopardizes the entire post-conflict emergency assistance. Indeed, without an urgent resolution of this problem, existing and new financial commitments by the Bank and other donors will not reach intended beneficiaries.

6. **This report is primarily an operational document.** It is envisaged to advance the dialogue with the authorities and help strengthen post-conflict public expenditure management and speed the delivery of emergency assistance. It will soon be followed by a companion volume with a more traditional analysis of the structure and efficiency of public expenditures and the social impact. As more recent data become available, the new volume would build on the results of the latest household expenditure survey and will also cover the post-conflict period.

7. **The report is organized around three main chapters, as follows**:

- Chapter 1 provides background to the main body of the report (chapters 2 and 3) and briefly reviews the post-conflict situation, including the impact of the crisis, the governance problems (e.g., in the cocoa/coffee sector), and an outline of the report's links with the Interim Transitional Support Strategy (I-TSS) under preparation;

- Chapter 2 analyses salient public expenditure management (PEM) issues, *inter alia*, using standard HIPC assessment indicators; and

- Chapter 3 analyses institutional and operational issues in expenditure control systems.

8. **Regarding public expenditure management (Chapter 2), the following conclusions are notable.**

- *Budget preparation* is a relatively strong part of the budget process, but improvements are needed in a few areas of its implementation. One of the main issues here is the lack of consistency among projections used by various ministries and agencies. This sometimes leads to the use of different macroeconomic assumptions by various ministries. Another issue is the Directorate of General Planning's (DPG) weaknesses in the formulation of the investment budget and low capacity for evaluating progress with project implementation.

- A preliminary *assessment of Public Expenditure Management (PEM)* using standard HIPC performance indicators – 15 benchmarks – gave mixed results. Three (3) benchmarks were fully or generally met (rating A); eight (8) were met to a good degree (rating B); and four (4) were not met (rating C). HIPC indicator ratings show that the quality of public expenditure management is weakest in the *budget execution* stage. This preliminary assessment will provide input into the subsequent HIPC expenditure tracking report to be prepared jointly by the Fund and the Bank; at that time, a comprehensive action plan for strengthening public expenditure management will be developed, taking into account the main findings of this report.

- The implementation of *the SIGFIP system of expenditure management* has provided some significant benefits in budget expenditure monitoring and control, and strengthened capacity for execution. But it also showed inefficiencies that slowed down specific expenditure executions, including those related to the Bank projects. The system enables the government to track the status of public expenditures at any moment and expenditure control has, therefore, improved. Budget execution through the SIGFIP, however, follows steps that unduly slow the entire process. It is, therefore, necessary to reflect about ways of accelerating the expenditure execution process. Delays in executing expenditures are partly the result of a high turnover, lack in accountability, and inexperience of some DAAFs – key participants in the process. Also, the processing timetable is too long, with beneficiaries, in extreme cases, not receiving payments for six months. There are multiple reasons for this situation, as elaborated in chapter two.

- *Disbursement of external assistance* has been slow. In particular, Bank projects in Côte d'Ivoire are experiencing a very low disbursement rate (averaging about 11 percent in recent years) compared to Sub-Saharan Africa as a whole (about 20 percent). In part, this reflects a difficult, post-conflict environment. But it also is a result of weaknesses in public expenditure management and controls. The weak disbursement rate, however, threatens to block the implementation of the post-

conflict emergency program of the Bank ($165 million). Importantly, during the two Bank missions, in August-September 2003 and in November 2003, the authorities agreed and implemented a number of measures to speed up the Bank's disbursements including the use of: (i) procedures of *transfer of capital* for all new projects in the post-conflict emergency assistance program (DDR/RRR, HIV/AIDS, and EERC); (ii) procedure of *advance payments outside SIGFIP* for six priority existing projects being restructured (CI-PAST, PASEF, PDSSI, PNGTER, PACOM, PAS-PRIVE); and (iii) *advance payments (Régie d'avance)* for all the other projects of the Bank, as a temporary solution to the disbursement problem until more permanent measures are put in place.

9. **Regarding the government's expenditure control system (Chapter III), the following selected conclusions are emphasized.**

- Strengthening of expenditure controls should be guided by the fundamental objectives of *effective expenditure control systems*: (i) that public finances are managed in accordance with the law; (ii) that irregularities and fraud are uncovered and sanctioned; and (iii) that there is accountability for the use of public resources. Reform of the expenditure control system accelerated after the 1998 audit which found that some CFAF 18 billion were ineligible for the European Development Fund financing, due to fraudulent practices.

- Côte d'Ivoire's public expenditure system provides for both *ex-ante and ex-post control functions*, exercised through internal and external control units. A main issue concerns the Financial Controllers (CF), who exercise excessive ex-ante controls and have a too wide mandate compared to the resources available. Another issue is the General Finance Inspectorate's (IGF) lack of qualified personnel and its inadequate status compared to its mandate. A further complication is the adoption by the Treasury and the Budget Office of computerized systems using different budget nomenclatures.

- In *reorganizing the control system*, a number of measures should be considered. Greater emphasis should be placed generally on ex-post controls as compared with ex-ante controls. The CFs should be given greater autonomy and resources. The IGF also requires a substantial increase in resources. The anti-corruption work of the government should be given to a special, high-level commission under the Presidency. Budget nomenclatures should be harmonized. A Country Procurement Assessment Report (CPAR) should be prepared, for a more detailed analysis of procurement issues and actual practices in the post-conflict environment.

10. **Table 1 below provides a summary of policy recommendations, the status of agreement with the authorities on specific measures, and respective institutional responsibilities.** A detailed survey of recommended measures and their rationales are found at the end of chapters 2 and 3. The Annexes provide more detail on the analysis of the procedures of the SIGFIP, the record and manifestations of the problem of low disbursement of Bank projects, and the complete preliminary assessment of the public expenditure management using HIPC indicators.

Table 1: Summary of Policy Recommendations

Legend: P = Primary Responsibility; S = Supporting Role															
				Units Responsible											
				Ministry of Finance						Min. Plan					
Recommandations	Time Horizon a/ Short-term (ST) Medium-Term (MT)	Presi-dency	Supreme court	Minister of Finance	DGE	DGBF	Treasury	DMP	DGP	CAA	CNCS	Proj. Implem. Units	BNETD
					DGE DCPE	DGBF DSPM							
Strengthening budget preparation and execution (Chapter 2)													
Streamlining budget preparation													
Coordinating better the macro framework	ST				P	S			S				S
Reinforcing authority of DGP for investment budgets	ST			*P*					S				
Matching capital budget to the first year of PIP	ST					P			S				
Modifying PIP calendar to include discussions with donors	ST					P			S				
Estimating realistically projects' currents costs in the PIP	ST					P			S				
Creating a planning office in each ministry	ST			*P*					S				
Accelerating & decentralizing expenditure execution													
Defining timetable for each agent	ST					P							
Defining rigorous criteria for DAAFs appointment	ST			*P*		S							
Transferring personnel management from DAAFs to another office	MT			*P*		S							
Putting in place alternative procedure in case of staff's absence	ST					P	S						
Budget 2004: Ensuring consistency with macro framework at all levels	ST					P	S		S				S
Accelerating develop. of a database of unit prices of goods & services	MT				P								P
Decentralizing fiscal management, when feasible	MT					P							
Accelerating the execution of Bank projects													
Using proced. of capital transfer for emergency projects	ST					P							
Using advance payment proced for 6 emergency projects of the Bank	ST					P							
Using "régie d'avance" procedures for other Bank projects	ST					P							
Unfreezing IDA counterpart resources during budget preparation	ST					P							
Strengthening capacity of DAAFs	ST					P							
Exempting Bank projects from quarterly ceilings	ST					P							

Providing more frequent Spec. Acct. statements on to projects mgrs	ST								P			
Eliminating CI-PAST arrears on counterpart funds	ST				S	P						
Providing monthly cash flow forecast for each project	ST										P	
Monitoring more actively procurement activities	ST										P	
Following up more actively progress of files at MEF	ST										P	
Requesting monthly the replenishment of the Special Accounts	ST										P	
Regularizing the pre-funded expenditures	ST										P	
Improve expenditure controls (Chapter 3)												
Reorganizing the control system												
Giving greater autonomy to Fin. Controllers (CF)	ST				P							
Increasing the number of regional CF if feasible	ST				P							
Providing the CF with resources	ST				P							
Reforming external controls												
Publishing annual report of Gen. Fin. Inspectorate in official journal	ST			*P*								
Providing the Gen. Fin. Inspectorate with resources	MT			*P*								
Giving greater autonomy and resources to Gen. State Inspectorate	MT	P		*P*								
Reforming Procurement												
Canceling non-executable contracts in areas under ex-rebels' control	ST						S				P	
Conveying to the Bank priority measures to re-launch the process	ST						S			P		
Implementing the monitoring/evaluation of the current system	MT						P					
Changing personnel statute for public procurement staff	MT						P					
Harmonizing CI's code with that of the UEMOA	MT						P					
Decentralizing procurement to the local level	MT						P					
Establishing a Public Expenditure Review Unit												
Clarifying the unit's role and main tasks	ST			P	S	S						
Converting the Accounts Chamber into Accounts Court												
Increasing staff and budget of Accounts Court	MT		P									
Making the expenditure tracking system effective												
Grouping expenditures at local level; not by budget line item	ST				P							
Launching pilot system in education and health	ST				P							
Ensuring tracking expenditures by CF in each ministry	MT				P							
Simplifying SIGFIP system for expenditure tracking at local level	MT				P							

[a] In the post-conflict context short-term is defined as 3-6 months, medium-term as 12-18 months.

1. BACKGROUND: THE POST-CONFLICT CONTEXT AND THE BANK'S RESPONSE

POLITICAL AND SECURITY SITUATION AS OF END-OCTOBER 2003

1.1 **Once considered one of the most stable and prosperous economies in Africa, since 1999, Côte d'Ivoire experienced considerable political instability that culminated in the civil war in September 2002.** After the 1999 bloodless military coup which overthrew the government of President Konan Bedie, increasing violence and human rights abuses resulted in a similar ouster of the government of General Guei after the presidential elections of October 2000. The exclusion of some presidential candidates in the 2000 elections contributed to the political tensions. Nevertheless, peaceful municipal elections in 2001 and the work towards national reconciliation contributed to the temporary easing of political tensions. The Ivorian robust economy responded by growing during the first eight months of 2002 at a rate of close to 3 percent. Unfortunately, on September 19, a full-fledged civil war broke out, plunging the country into a political, military, and social crisis. As a result, within a few months, almost a million people became displaced and economic activity came almost to a halt. The country was effectively cut in two, with rebels (subsequently renamed *Forces Nouvelles*) occupying north and west and the government remaining in control of the south, central and eastern regions. Under these conditions, and under the aegis of the French government, warring parties came to Marcoussis, near Paris, to discuss peace.

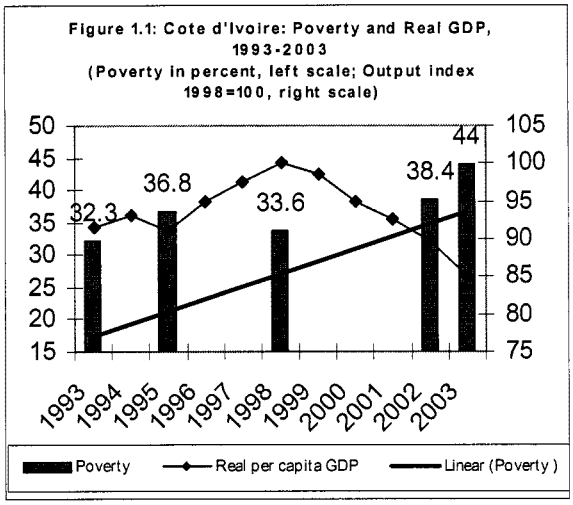
1.2 **The Marcoussis Peace Accord (January 2003)—signed by all warring parties—addressed key issues underlying the conflict, raising hopes for durable peace.** The accord also laid the basis for the creation of government of national reconciliation under Prime Minister Seydou Diarra, including ministers from rebel groups. As such, it is widely viewed as the only viable framework for durable peace. Implementation of the accord, however, has proceeded slower than expected. On the positive side, the military forces of the government (FANCI) and *Forces Nouvelles* had signed on July 4 an official agreement to end the war and the parliament passed the aforementioned Amnesty law. Also, in early September, the Burkina Faso border was opened, but as of end-October 2003, regular cross-country transport service has not returned to pre-conflict levels.

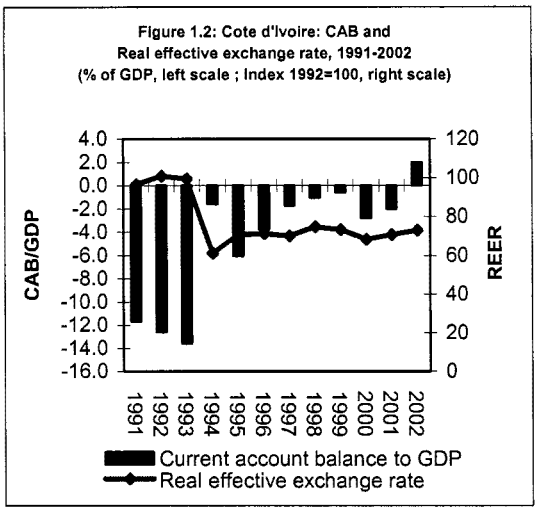
1.3 **After progress made in implementing the Marcoussis Accord during early summer, political uncertainties and risks were heightened in August-September 2003**. An attempted coup d'Etat in August and the most recent political dispute over the nomination of defence and security ministers added new uncertainty to the reconciliation process.

THE ECONOMIC AND SOCIAL IMPACT OF THE CRISIS

The Macroeconomic Impact

1.4 **The 2002-03 conflict came on top of the four years of declining per capita real GDP and rising poverty.** After the 1994 devaluation, which triggered gains in competitiveness and four years of rising per capita income and modest gains in poverty reduction, in 1999-2000, the Ivorian economy was almost simultaneously hit by a large terms of trade shock and political turmoil. Real per capita declined precipitously, reaching a cumulative loss of about 15 percent in the period 1999-2003, wiping out the post-devaluation gains on the income and poverty front. Poverty increased from 38 ½ percent in 2002 to about 42-44 at end-2003, the highest in a decade (Figures 1.1 and 1.2).





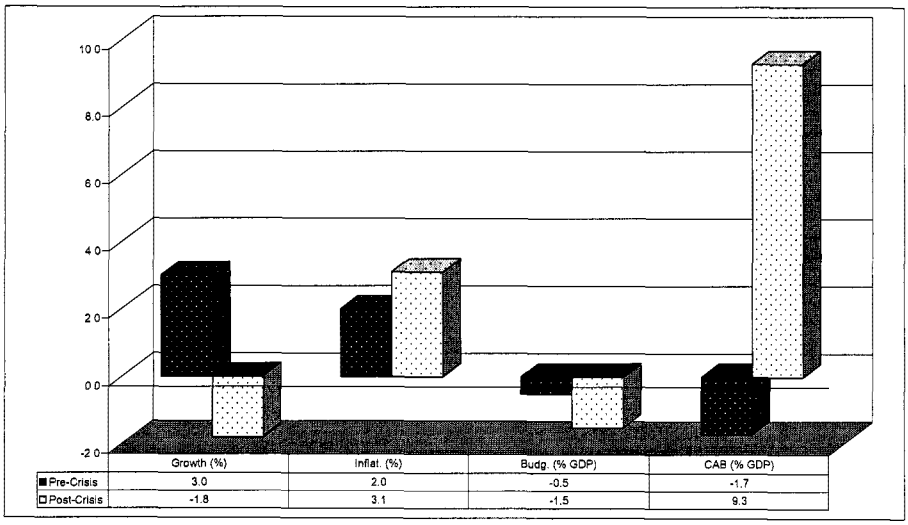
Source: World Bank staff live database, and IMF and Bank staff estimates.
Notes to Figure 1.2: The linear line is a simple linear trend of the poverty series. Poverty figure for 2003 is an estimate based on growth elasticity of poverty and the estimated number of internally displaced people (see Table 1.2 below in section on the social impact of the crisis).

1.5 In 2002, the macroeconomic impact was limited by the short duration of the conflict, favorable terms of trade, and the successful cocoa export, but the impact on 2003 has turned out to be more significant. In 2002, real output for the year is estimated to have declined by about 1.8 percent compared with an increase of 3 percent expected before the crisis (Figure 1.3)[1] with private investments, (especially foreign), hard hit. All sectors of the economy suffered from the crisis especially non-cocoa export crops, agro-industries, trade, transportation and other services. Inflation impact was modest because of prudent policy of the regional central bank and a good agricultural year.[2] Despite revenue gains due to higher trade taxes and cocoa prices, budget deficit on a cash basis rose to about 1.5 percent of GDP due to an increase in military expenditures, wages and

[1] Growth estimates are sensitive to the quality of estimates of sector growth rates, which vary widely.
[2] Official inflation estimates should be taken with caution since the government's collection of primary price data (collected only in the Abidjan region, which suffered a comparatively limited impact) may have deteriorated dramatically in the last quarter of the year.

salaries and related expenditures. Banks stopped operating in the war affected areas; those in the southern regions which remained open saw their assets deteriorate and adopted a more cautious stance. Higher export earnings, lower imports, and improved terms of trade resulted in a sizeable current account surplus. In 2003, the macro situation has deteriorated further (Figure 1.4). Real output is likely to drop by at least 3 percent, driven by delays in recovery of the secondary and tertiary sectors and the lack of private sector confidence and foreign investments. Inflation would likely increase to about 4 percent and budget deficit would could increase to about 2 percent of GDP. External outlook is clouded by the uncertainty regarding cocoa prices and the impact on the ongoing harvest.

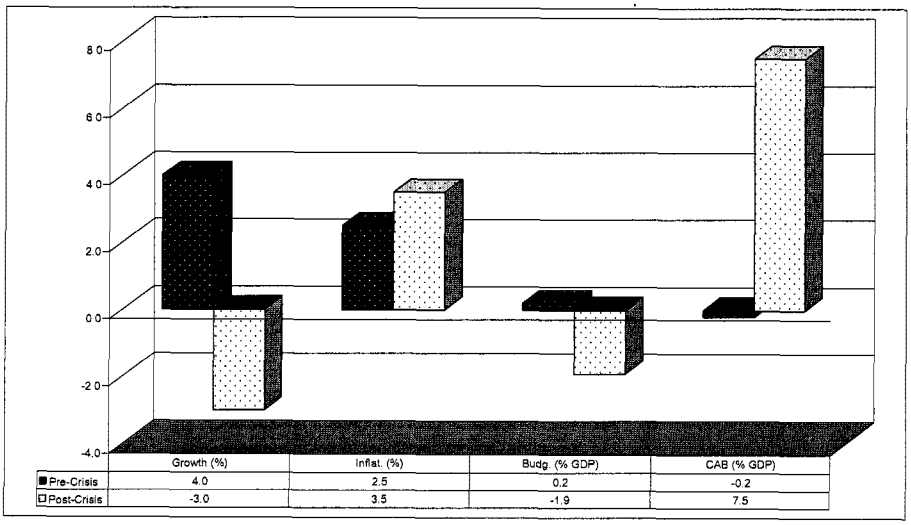
Figure 1.3: Côte d'Ivoire - Macroeconomic Impact of the Crisis, 2002



	Growth (%)	Inflat. (%)	Budg. (% GDP)	CAB (% GDP)
Pre-Crisis	3.0	2.0	-0.5	-1.7
Post-Crisis	-1.8	3.1	-1.5	9.3

Source: IMF and World Bank staff estimates.

Figure 1.4: Côte d'Ivoire - Macroeconomic Impact of the Crisis, 2003



	Growth (%)	Inflat. (%)	Budg. (% GDP)	CAB (% GDP)
Pre-Crisis	4.0	2.5	0.2	-0.2
Post-Crisis	-3.0	3.5	-1.9	7.5

Source: IMF and World Bank staff estimates.

1.6 **While post-1994 gains in competitiveness have been largely preserved, since end-2000 there was a real appreciation of the CFA franc.** Since the initial overshooting after 1994, the real effective exchange rate remained relatively stable, hovering at about 30 percent below the pre-1994 level. However, since October 2000, there has been a real appreciation of about 20 percent. Part of the real appreciation reflects the appreciation of the euro vis-à-vis the dollar. But at the sectoral level decline in productivity, and increased cost of production, transportation, and trade in industries located in the war affected areas indicate loss of competitiveness. Part of the regional trade and transshipment has been diverted to neighboring countries (e.g., Ghana).

The Impact on Fiscal Management

1.7 **Fiscal discipline worsened under pressure of conflict-related expenditures.** Fiscal balance in 2002 deteriorated to a cash deficit of about 1.5 percent of GDP and budgetary arrears increased. Total revenues increased by about ½ percentage point of GDP because of higher export taxes (in particular the DUS, an export tax on cocoa) and prices. Expenditures increased sharply—by 2.9 percentage points of GDP—reflecting increased current expenditures (particularly military and security expenditures) and wages and salaries; capital expenditures also increased albeit from a very small base (Table 1 in the Statistical Annex).

1.8 **The 2003 emergency budget is being implemented with the likely further increase in the fiscal deficit.**[3] An emergency budget was passed with delay and was based on an optimistic view of a quick return to growth in 2003, which had not materialized. The budget is predicated on weaker revenues—in part because of the decline in VAT rate from 20 to 18 percent—and lower expenditures. Given the large external repayment obligations, a large budget financing gap could emerge (about 10 percent of GDP). The main short-term financing problem in the post-conflict circumstances will be closing this fiscal gap with a combination of appropriate fiscal measures and external financing/rescheduling. Based on limited information available, however, as of mid-November 2003, budget implementation is under pressure because of higher expenditures and continued lack of external financing. For the year as a whole, despite the probable increase in revenues at the end of the year, the deficit could deteriorate further to close to 2 percent of GDP (Table 1 in the Statistical Annex)[4] because of inflexible expenditures.

1.9 **As of end-October 2003, there are large external arrears (8 percent of GDP), mostly towards bilateral creditors (Paris Club) and the African Development Bank (AfDB).** This reflects a significant increase from 5.5 percent of GDP at end-August. However, there are no external arrears towards the Bank and the IMF. In September, the government proposed a repayment schedule to AfDB to regularize its obligations coming

[3] "Note d' accompagnement du cadrage budgétaire 2003," Ministère de l'Economie et Finance, Direction Générale du Budget et de Finances," and "Communication en conseil des ministres relative au projet de budget de l'année 2003," Ministère d'Etat, Ministère de l'Economie et des Finances.

[4] Fiscal picture for 2003 remains incomplete in part because of the lack of data from the northern and western regions. The first post-conflict macroeconomic assessment mission by the Fund and the Bank took place only in June 2003, followed by missions in September.

due by year-end. The authorities are also developing a specific proposal to approach commercial creditors regarding remaining arrears (Box 1.1: Governance, Transparency and Accountability).

Governance, Transparency, and Financial Accountability: The Cocoa/Coffee Sector, and the Framework for Public-Private Contracts

1.10 **Fiscal transparency and governance deteriorated.** The budget situation is more complicated than reflected in the cash budget outturn: as external finance dried up in the last quarter, budgetary arrears—domestic and external—increased. Also, the government resorted to several tax offset operations with large enterprises, of the order of about 1.2 percent of GDP, giving rise to adverse incentives and reduced fiscal transparency.[5] Moreover, there are questions about the size and transparency of military expenditures, which may not be entirely reflected in the statistics. Also, the government may have committed itself to sizeable tax exemptions and associated contingent liabilities the fiscal impact of which has not been estimated.

1.11 **During the conflict, broader governance, transparency, and accountability problems emerged in several areas**. This is particularly notable in the cocoa/coffee sector and the regulatory framework for concessions and other contracts between public and private sectors.

1.12 In the **cocoa/coffee sector**, several issues are noted by the authorities in the context of the policy dialogue with the Bank.[6]

1.13 **Audits.** Despite difficulties in starting the audits of financial flows of regulatory bodies in the cocoa/coffee sector, which was requested by the government, the external donors have reviewed a preliminary audit report of October 9, 2003. This report, unfortunately, does not cover all aspects of its terms of reference because of incomplete information received or the lack of cooperation by some regulatory bodies which were audited. The Bank has insisted that the completion of these audits is key to transparent management and good governance in the sector; in the past, transparency and governance were lacking, at the expense of producer interests.

1.14 **The Bank has analyzed the preliminary audit report.** It is noted that despite gaps in the report, it does represent an important step towards the completion of the full audits. It is hoped that this opportunity will be used to better organize and manage the completion of the audits based on the findings and recommendations made therein. As a

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[5] "Situation des compensations de l'année 2002," Secrétariat général aux reformes économiques et structurelles, February 2003.

[6] The new institutional framework for the coffee and cocoa sectors comprises : (i) the *Autorité de Régulation du Secteur Café/Cacao – ARCC*, responsible for implementing the legal and regulatory framework to guarantee competition at all levels; (ii) the *Bourse du Café et du Cacao – BCC*, in charge of the trading of coffee and cacao, including a mechanism to allow producers to manage their price risk; (iii) the *Fonds de Régulation et de Contôle – FRC*, which has the responsibility for the financial management of export operations; and (iv) the *Fonds de Développement et de la Production de Café et de Cacao – FDPCC*, in charge of financing producer-sponsored rural development programs using resources contributed by the producers.

result, the authorities are encouraged to pursue the completion of the audits at the earliest possible time.

1.15 **The level of cocoa/coffee levies.** *The level of total levies (fiscal and para-fiscal levies).* During the policy discussions with external donors (especially the Bank and the IMF) in 2001, it was agreed that the combined level of fiscal and para-fiscal levies should not exceed 30 percent of the CIF price; of this benchmark, 20 percent refers to fiscal levies (DUS and registration tax) and 10 percent to para-fiscal levies. As of early November 2003, however, the total burden of these levies is around 37 percent. The government should, therefore, study ways of reducing these levies before the current cocoa campaign is over. This would allow a substantial increase in farm-gate prices, minimizing incentives for smuggling of cocoa to neighboring countries. The Bank has, therefore, suggested that the authorities follow these recommendations at the earliest possible time.

- *Revision of para-fiscal levies earmarked for prudential reserves* (about CFAF 10/kg), for the following reasons: (i) the cocoa price to be received by farmers in the 2003/04 campaign was declared only *indicative*, and no longer guaranteed; in other words, this means a cocoa campaign, de facto, without a guarantee mechanism, which has already shown its limitations during the "small campaign" 2002/03; and (ii) according to the early estimates of the audits, which remain to be confirmed, the level of prudential reserves that should have been collected so far is around CFAF 100 billion, and the status and use of these reserves remain to be established.

- *Revision of para-fiscal levies for FDPCC* (about CFAF 25/kg), for the following reasons: (i) this body already has significant resources (estimated at more than a hundred billion CFAF), which should allow it to finance its activities without further burden on farm-gate prices, which have been weak because of the decline in international cocoa prices; (ii) findings and recommendations on this body made at the recent seminar on the record of reforms in the cocoa/coffee sector suggest that FDPCC should first be restructured before it begins to accumulate new funds; and (iii) investment in which this body is engaged have not so far been justified by its main mandate of activity.

- *Maintenance of the registration tax at its normal level of 2.5 percent of the FOB price.*

- *Downward revision of all para-fiscal levies.* In fact, the preliminary audit report suggests that despite imperfect estimate of resources received by the coca/coffee regulatory bodies their expenditures are largely unrelated to their main mandate of activity. Also, the para-fiscal levies have exceeded by CFAF 2.77/kg the CFAF 5/kg benchmark, of which CFAF 2/kg are earmarked for loans to a new enterprise, which were contested by exporters because of high costs, which increased from CFAF 166 million in 2002 to over CFAF 2 billion during the present campaign.

- *Preparation of a study in medium term of an optimal amount of total levies (fiscal and para-fiscal) in order to avoid the loss of competitiveness vis-à-vis competing countries.*

1.16 **Volume ceilings on exporters.** During past discussions with the government, temporary ceilings on exporters were established. During the previous campaign, the agreed ceiling was 120,000 tones for the entire period of the main campaign, cumulatively. The Bank has noted that contrary to this agreement, the government set a penalty on exporters which have exceeded 110,000 tones of purchases. While current ceilings on exporters of cocoa do not seem to limit competition, the Bank would wish to continue the dialogue with the authorities to ensure improved competition among cocoa exporters for the benefit of the farmers.

1.17 **A framework for regulation of and control of concessions and other public-private contracts has been put in place to ensure transparency and efficiency of these contracts.** Regarding concessions, these contracts must be regulated by rules which allow selection of the best cost/quality mix of services rendered. Regarding other public-private contracts, they must be assessed in terms of clarity and transparency and appropriately scrutinized and costed in terms of potential liabilities. One example is the government contract with Group Magnific A Services (MAS) signed in 2002 for a total CFAF 5,000 billion. The contract gives the group the mandate to build almost 300,000 apartments, 42 industrial establishments, a number of military and police facilities, construction of schools and hospitals etc. And in return, the state granted the company extensive long-term tax exemptions. The sheer size of this project, the volume of financing required (CFAF 5,000 billion), the level of capital of MAS (about CFAF 100 million), the lack of feasibility studies, and the absence of and serious references about the technical capacity of the entrepreneur and the mode of financing all suggest that large tax exemptions granted raises governance problems. As with all such contracts, the government should ensure, at the minimum, that selected enterprise has technical and financial capacity to carry out the project, backed by a quality feasibility study. It should also include an estimate of the cost in terms of fiscal costs due to exemptions.

1.18 **Finally, inter-governmental fiscal relations broke down across demarcation lines, and delivery of public services in the war-torn areas was severely disrupted.**[7] Fiscal decentralization was effectively stopped, and plans to connect regional offices into the government's financial management system were put on hold. As practically no central government revenues are collected from regions under ex-rebel control, and very limited public expenditure services reach these regions, there is little information about the true fiscal situation in those areas. Local and international NGOs have largely filled the void to provide the most urgent humanitarian assistance.

[7] The government reported that during 2002 the overall rate of execution of investment expenditures was about 85 percent, but that rate for foreign-financed investments was only about 51 percent. ("Communication en conseil des ministres relative au projet de budget de l'année 2003," Ministère d'Etat, Ministère de l'Economie et des Finances).

The Social Impact

1.19 **The social situation before the crisis had already been very difficult, as reflected in dramatic deterioration in the U.N. Human Development Index (HDI) and per capita income rank in recent years.** Even before the 2002-03 crisis, Côte d'Ivoire experienced a major deterioration in social indicators and difficulties in meeting the Millennium Development Goals (MDGs). According to the 2003 UN Human Development report, life expectancy was lower and infant mortality higher in 2001 compared with 1995, despite strong growth in the 1995-98 period. After temporarily declining in 1998, poverty rate is estimated to have exceeded in 2002 its 1995 level—about 38 ½ percent of the population—erasing the gains in the post-devaluation years.[8] According to the latest UNDP HDI reflecting the situation in 2001, Côte d'Ivoire was ranked 161 among 173 countries, *16 ranks lower than in 1995*; its income rank in PPP terms was 148, reflecting an equally dramatic decline from the rank of 130 in 1995. The highly unequal income distribution, measured by the Gini coefficient, is likely to have worsened. Progress towards achieving five out of seven MDGs—those relating to primary education, gender equality, and health—ran far behind schedule (Table 1.1).

Table 1.1: Côte d'Ivoire: Progress Towards Key Millennium Development Goals, 2001

Selected Goals and indicators	1990	1995	2000-01	Assessment of Progress
Goal 1: Halve the proportion of people suffering from hunger				
Indicator: Undernourished (% of population)	18%	N.A.	15%[2/]	On track[1/]
Goal 2: Ensure all children complete primary education				
Indicators:				
Net primary enrollment ratio	47%	53%	64%	Far behind
Children reaching grade 5	73%	75%	91%[3/]	On track [1/]
Goal 3: Eliminate gender disparity in all levels of education				
Indicators:				
Female net primary enrollment ratio as % of male ratio	N.A.	N.A.	75%	Far behind
Female net secondary enrollment ratio as % of male ratio	N.A.	N.A.	N.A.	Far behind
Goal 4: Reduce under-5 and infant mortality rates by two thirds				
Indicator: Under-5 mortality rate (per 1,000 live births)	155	165	175	Slipping back
Goal 5: Improve maternal health				
Indicator: Reduce by three quarters maternal mortality ratio by 2015	N.A.	1,200	N.A.	Behind
Goal 6: Combat HIV/AIDS, malaria and other diseases				
Indicator: Adults (% age 15-49) living with HIV/AIDS	N.A.	9.8[4/]	9.7%	Behind
Goal 7: Halve the proportion of people without access to better water sources				
Indicator: Population without sustainable access to improved water sources	20%	N.A.	19%	Behind[2/]

Source: Human Development Report, 2003, UNDP; extracted from the country tables. The table summarizes analysis of progress towards goals for 2015 based on linear interpolation of trends in the 1990s.
[1/] Following the impact of the 2002-03 crisis, the assessment of these two indicators has most likely worsened.
[2/] 1998-2000.
[3/] 1999-2000.
[4/] 1994.

[8] Institut National de la Statistique (2002). *Profil de Pauvreté en Côte d'Ivoire en 2002*, Abidjan (Auguste).

1.20 **The 2002-03 crisis worsened the social situation in a very short period of time, resulting in a full-fledged social and humanitarian crisis**. Between 500 and 1,000 persons were killed and about 1.2 million people—about 6 percent of the population—became internally displaced (IDPs) or sought refuge in neighboring countries. Of this number, about 800,000 were internally displaced, and the remaining 400,000 left for neighboring countries.[9] An estimated 500-700,000 children left school and many schools and medical services effectively stopped operating, in part because of the departure of civil servants and the breakdown of the central administration in the areas controlled by ex-rebels. An estimated 20,000 people were rendered homeless in Abidjan as a result of the government's destruction of shantytowns (*quartiers précaires*), which were adjacent to military and other sensitive areas,[10] under the campaign to fight "the infiltration of the rebels." As a result, by end-2002 poverty rate likely increased by an estimated 4 percentage points to about 42 ½ percent of the population; with further increase in displaced/refugee population, it is likely to have increased by an additional 1 ½ percentage points in early 2003 (Table 1.2). In rural areas, poverty rose because of the loss of farmers' crop incomes; in urban areas, unemployment and poverty rose due to closures of a number of large companies (e.g., SITARAIL for example at the beginning of the crisis; but the rail line was later reopened following an agreement on reopening of the border between Burkina Faso and Cote d'Ivoire) and dwindling activity in industry (e.g., textiles), transport and domestic trade.

Table 1.2: Côte d'Ivoire - The Social Impact of the Côte d'Ivoire Crisis, 2002-03

	1995	2002		2003	
		Pre-crisis	Post-crisis	Pre-crisis	Post-crisis
	(annual percent changes; unless otherwise indicated)				
GDP	7.1	3.0	-1.8	4.0	-3.0
GDP per capita	3.2	-0.3	-4.5	0.7	-6.3
Inflation (Annual average)	14.1	3.0	3.9	2.5	4.0
Poverty rate (percent of the population)	36.8	38.4	42.5 1/	39.5	44.0 1/
Gini coefficient	0.37	0.37	0.40 2/	0.37	0.44 2/
Human development index					
Rank among 173 countries	145	161	164 3/	164	165 3/
Internally Displaced Persons (IDPs) and refugees (millions)	...	0	1.0 4/	0	1.2 4/

Source: IMF (growth, inflation); World Bank (social indicators); U.N. (human development index).

1/ Poverty rate for 2002 was reported in the results of the NSI 2002 household survey *Profile de Pauvrete en Côte d'Ivoire en 2002* (page 8). For 2003, it was calculated based on the past elasticity of poverty rate with respect to per capita growth and the additional poor attributable to the Internally Displaced Persons (IDPs) and refugees to neighboring countries.

2/ Gini coefficients for 2002-03 were calculated as linear extrapolation based on changes in poverty rates.

3/ The rank of the HDI for pre-crisis 2002 relates to 2001; ranks for post-crisis 2002, and 2003 were extrapolated based on the changes in the real GDP per capita and the additional, estimated impact of the 2002-03 crisis on the number of internally displaced people and the refugees.

4/ Based on the data of U.N. Office for the Coordination of Humanitarian Affairs.

[9] U.N. Report to the Secretary-General, Mission of the Humanitarian Envoy for the crisis in Côte d'Ivoire, 12 January-12 February 2003.

[10] A relocation operation of these displaced persons has been formulated through the World Bank supported PACOM project.

1.21 **The adverse regional impact on the poor—mostly in rural areas— has varied from moderate in the south and south-east to severe in the north and, particularly, the west.**[11] In the south and south-east, where farming was least affected by the conflict, cocoa farmers also benefited from higher cocoa prices and the successful exports of most of their production. Coffee producers, particularly in the west, have suffered from low international prices, inability to collect their entire crop because of the lack of security, increased local marketing margins, and the cost of roadblocks. Roadblocks alone may have added up to CFAF50/kg, about 25 percent to "normal" farm-gate prices. In the Savannah region, the social situation is probably critical: at least 30 percent of cotton production was estimated to have been lost, resulting in significant losses of incomes and a sharp rise of poverty in what is already the poorest region of the country. The quality of the remaining cotton and marketing costs would probably result in farm-gate price of no more than CFAF140/kg, providing a low return to labor and the likely rise in arrears vis-à-vis input suppliers; this, in turn, may significantly affect the current sowing season and the 2003 cotton harvest.

1.22 **Public spending on education and health declined and the composition of public expenditures worsened**. Even before the crisis, education and health spending were not very effective in targeting the poor; the authorities made efforts to improve expenditure tracking and control but these were stymied by the outbreak of the crisis. The 2002 budget was targeting education and health expenditure of the order of about 5 and 1.4 percent of GDP, respectively, but the execution deteriorated and virtually stopped in the war north and west. Priority social expenditures, especially on education, health, and economic infrastructure fell well below the 2002 budget. Total expenditures on education and health were 8 and 32 percent lower than budgeted. Within health spending, already modest outlays on fight against HIV/AIDS declined by 87 percent. Under spending on economic infrastructure was almost 50 percent, with investment expenditures on rural water supply and roads taking the largest hit. In good part, this was due to the shortfall of external financing for investments but current spending in these sectors suffered as well. In 2003, education and health spending are under pressure from higher wages and salaries and military and other, conflict related spending.

1.23 **The composition of priority public expenditures[12] shifted away from education, health and social spending, towards military, security, and humanitarian expenditures**. In particular, the combined share of education, health and economic infrastructure in 2002 was budgeted at 50 percent of total priority expenditures, but the actual share was only 42 percent; reported defense spending raised its share from 8.7 to almost 10 percent. The most pro-poor public social expenditures—on primary education and basic health—may have suffered disproportionately, and the incidence of HIV/AIDS is on the rise. The closure of schools and many medical facilities in the poor rural areas effectively prevented these pro-poor public expenditures from reaching their beneficiaries, while hospitals in the urban centers of the southern region continued

[11] These preliminary assessments are based on the estimated impact on farmers' income from main crops and the impact on displacement of farm labor, using past households surveys and existing monitoring systems.

[12] Priority expenditures include spending on education, health, economic infrastructure, mines and energy, agriculture, interior, defense and justice.

functioning albeit under strain from higher demand. The long traffic blockages at the border and at road check-points have increased the risk of the spread of HIV/AIDS. The latest information suggest the incidence of HIV is much higher rate in the war affected regions (about 20) percent than previously reported (12 percent). The risk of other major diseases (malaria, cholera, and yellow fever) increased.

1.24 **Social and institutional infrastructure (e.g., schools, clinics, and local government institutions and agencies), especially in poor rural areas, has suffered more than the traditional economic infrastructure (e.g., transportation networks, water and electricity).** Numerous schools and local medical facilities have been reportedly abandoned and/or looted, and the qualified local government cadre has left the most affected regions. Major economic infrastructure (e.g., roads, rail, ports, water, and electricity) have not suffered from extensive war-related damage, but there is little doubt that its productivity has declined as operations and maintenance and critical repair was postponed, requiring more costly operating and capital repair later on. Despite reduced receipts and arrears from Ghana, the power sector has so far withstood the crisis.

The Regional Impact

1.25 **Regional economic impact of the crisis has been significant.** This is a consequence of Côte d'Ivoire's position in the region as its traditional economic anchor (RCI accounts for 40 percent of the WAEMU GDP) and key transportation and trade outlet for neighboring countries. The main adverse channels of economic impact were depressed regional trade and transport, the loss of workers' remittances, rise in inflation, influx of refugees, and the general impact on domestic and foreign investor confidence. Some diversion of trade, transport and commerce temporarily benefited a few countries (e.g., Senegal, Togo, Ghana), but these benefits were more than offset by the contractionary pull of the Ivorian economy on the whole region. Countries most affected were Burkina Faso, Mali, and Niger that traditionally depended more on Ivorian trade and transport routes and source of remittances; countries affected in a more modest degree were Senegal, Ghana, Guinea, Benin, Togo, Sao Tome and Principe.[13] The regional impact on the poor, the incidence of HIV, while difficult to document at this time, is probably significant. Finally, the Ivorian crisis has also contributed to a delay in macroeconomic convergence of the WAEMU countries in the context of the Regional Pact on Convergence, Stability and Growth (1999).

[13] This classification is based on the most recent macroeconomic assessment of the Fund staff. Also, for a wider Bank's assessment see an earlier draft paper "An approach paper for responding to the impacts of the Côte d'ivoire crisis on the neighboring countries", February 2003, World Bank; and "Impact de la crise ivoirienne sur les economies de l'union," Union Economique et Monetaire Ouest-Africaine et Banque Ouest Africaine de Développement, March 2003. For a related quantitative assessment of the earlier crises, see, for example, Dore, Ousmane, Benoit Anne, and Dorothy Engman, "Regional Impact of Côte d'Ivoire's 1999-2000 Socio-Political Crisis: An Assessment," *IMF Working Paper Series*, WP/03/85.

THE LINK BETWEEN THIS REPORT AND INTERIM TRANSITIONAL SUPPORT STRATEGY (TSS)

1.26 **The Bank's post-conflict re-engagement strategy and assistance, which was presented at the Bank's Board on June 10, 2003 consists of two main phases.** The first phase, in the short term, termed "the emergency phase" would be put in place during the first quarter of 2004. This emergency phase would be devoted to addressing the urgent needs of the most vulnerable parts of the population:

- Assistance to internally displaced people and refugees;
- Demobilization and reintegration of ex-combatants, including the child soldiers (DDR);
- Return to school of about 500,000 pupils;
- Resettlement of about 20,000 people displaced by the destruction of « *quartiers précaires* » during the crisis, and the provision of basic services and infrastructure;
- Provision of basic infrastructure and auxiliary services; and
- Assistance to people affected by HIV/AIDS in the context of increased and high incidence rates.

1.27 **The second phase, or medium-term phase, which would follow the emergency phase, is concerned with the post-conflict reconstruction program; these two phases will be incorporated into the interim transitional support strategy (I-TSS), which will be finalized at the time of the multi-donor, joint assessment mission.** The I-TSS would cover the period of 18-24 months and will support the program of targeted public expenditures towards poverty reduction, which are better tailored to post-conflict conditions. The I-TSS will be built around three main objectives: (a) identification of key factors for sustainable economic growth, (b) strengthening of public resource management, and (c) provision of basic services to the population most affected by the conflict as well as vulnerable groups.

1.28 **The Bank instruments of financial assistance during these two phases comprise: (i) portfolio restructuring; (ii) new loans; and (iii) non-lending assistance.** The program of new loans for the Bank's FY 2004 and the emergency phase and the other forms of assistance are summarized in the table 1.3 below.

Table 1.3: Bank Instruments (lending amounts in US$ Millions)

	FY04
New lending—total	**165**
DDR/RRR	60
MAP HIV/AIDS	35
Emergency Economic Recovery Credit (EERC)	70
Six priority projects restructured (undisbursed)	**166**
PASEF	52
PDSSI	10
PNGTR	29
PACOM	7
CI-PAST	60
PSD	8
Total financial assistance	**331**
Economic and Sector Work	
Public Expenditure Review (PER)	
Country Procurement Assessment Review (CPAR)	
Other Analytical and Advisory Services	
Interim Transitional Support Strategy (I-TSS)	

1.29 **The new loans assistance of about $165 million (DDR/RRR, HIV/AIDS, and EERC) is based on an estimate of post-conflict additional assistance of about $10 per inhabitant per year.** This amount of assistance is consistent with the Bank's Country Policy and Institutional Assessment (CPIA) score of 3.1.[14] received by Côte d'Ivoire on the basis of performance criteria for post-conflict countries which determine the level of additional Bank assistance for which post-conflict countries may be eligible.

1.30 **To put in place these new projects and accelerate the disbursement of the existing six projects being restructured, it is essential for the government to take the following measures.**

- Reestablish the government of national unity;
- Accelerate the DDR process; and
- Substantially raise the disbursement rate of Bank projects, as elaborated in the following chapter.

1.31 **The reconstruction phase** will reexamine the lending instruments and other assistance programs on the basis of performance and the implementation during the emergency phase.

[14] Post-conflict performance index rating (PCPR) is a weighted average of two indices : Indicator of Post-Conflict Performance (PCPI) and the Performance of the Annual Review of Portfolio Performance, ARPP), calculated according to the following formula: PCPR = 0.8 PCPI + 0.2 ARPP

2. STRENGTHENING BUDGET PREPARATION, EXECUTION, AND FINANCIAL MANAGEMENT

OVERVIEW OF BUDGET PREPARATION AND EXECUTION IN CÔTE D'IVOIRE

Budget Coverage

2.1 **Since 1999, the General Operating Budget (*le Budget general de fonctionnement—BGF*) and the Special Budget for Investments and Equipment** (*le Budget special d'investissement et d'équipement—BSIE*)—previously published in two documents—have been integrated into a unified annual budget. A computerized system of public finances to manage budget execution was also introduced. This unified budget comprises the following components or titles:

a) Title 0: revenues;
b) Title 1: public debt;
c) Title 2: current expenditures;
d) Title 3: investment expenditures;
e) Title 4: special accounts.

2.2 **These budgets, however, do not cover all the financial operations of the government.** In addition to the central government, there are several local governments, decentralized state institutions and public enterprises and institutions with their own budgets. These are: (i) the subsidiary budgets (RTI, CHU); (ii) the general pension fund accounts of civil servants (CGRAE); and (iii) the budgets of the municipalities. This Public Expenditures Review (PER) focuses only on selected aspects of public expenditure management of the central government. At the same time, it discusses the importance and the steps needed to accelerate fiscal decentralization for reasons of greater democratic representation and increased efficiency in the delivery of public services.

2.3 The central government mobilizes revenues for its operations from the following two main sources:

- **Fiscal revenues**, consisting of direct and indirect taxes. Direct taxes comprise proportional and graduated taxes on income, and land and license taxes. Indirect taxes comprise domestic taxes (e.g., VAT, TPS (*Taxe sur les Prestations de Services*)), import taxes, export taxes (e.g., *DUS (Droit Unique de Sortie)*), and property taxes.

- **Non-fiscal revenues**, consisting of receipts such as social contributions, privatization revenues, fees and charges, and other non-fiscal revenues.

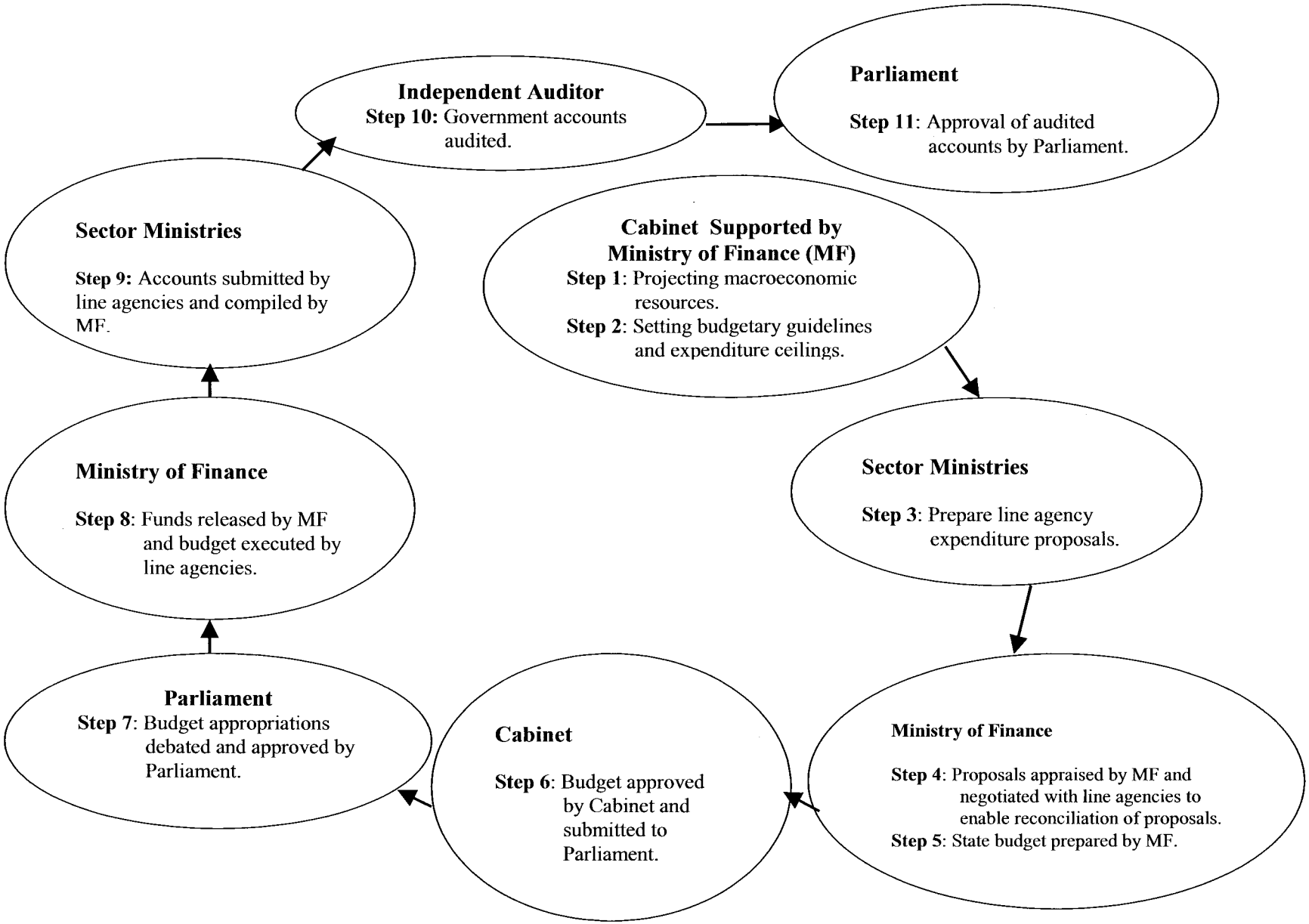
Budget Preparation

2.4 **The preparation of the budget of Côte d'Ivoire follows the classical budget cycle consisting of four key stages detailed below: (i) macro economic framework; (ii) budget framework; (iii) budget conference; and (iv) the vote by the National Assembly**. This section reviews briefly key elements of these four stages of budget preparation. The complete budget cycle is detailed in Figure 2.1.

2.5 **The macroeconomic framework**. The budget cycle begins with the definition of key macroeconomic variables underlying the budget projection and government's priorities. This work is prepared by the *Direction de la Conjoncture et de la Prévision* (DCPE) of the *Direction Générale de l'Economie (DGE)*. DCPE prepares three-year macroeconomic forecasts using an accounting model (BUDGET ECO. This macroeconomic planning is based on the preliminary estimates of government revenues prepared by tax and customs collection directorates: *Direction Générale des Impôts* (DGI), *Direction Générale des Douanes* (DGD) and *Direction Générale du Trésor et de la Comptabilité Publique* (*DGCTP*), with forecasts of trends for the next three years.

2.6 **The budget framework**. The budget framework, the next stage in the budget cycle, is the responsibility of the *Direction des Politiques et Synthèse Budgétaire* (DPSB) of the *Direction Générale de Budget et de Finances* (DGBF). The DPSB determines the estimates of tax and non tax revenues and external support for the coming year. These estimates represent the government's budget revenue envelope for the year. The budget framework then sets the levels of broad expenditure categories in order of priority (wages, debt service and other operating expenditures). The budget is subsequently established for each ministry, mainly on the basis of the past budget and its execution rate. Expenditures on debt service (domestic and external), employee compensation, and utilities (water, electricity, telephone), however, are managed at the central level by DGBF. Debt service (internal and external) is managed by the *Direction de la Dette Publique (DDP)*. Two specific steps in defining the budget framework are of particular interest: (i) the establishment of the capital expenditure budget (which represents the first year of the PIP) and the three-year Public Investment Program (PIP); and (ii) the presentation of the budget to the Cabinet.

Figure 2.1: The Budget Cycle



- **Capital expenditures and Public Investment Program (PIP).** The macroeconomic and budgetary frameworks define the global amount of investment for the coming year (annual capital budget) as well as the strategy of different sectors for the three coming years (PIP). The detailed capital budgeting process begins with distribution of project forms to the technical ministries to help them to define their projects, which were chosen following general policy guidelines. The project forms, containing useful information for the work of programming and budgeting, are prepared by the *Direction Générale de la Planification* (DGP) of the Ministry of Planning. DGP is also in charge of the analysis of projects and has a computerized system for project screening and analysis using multiple selection criteria. This unit classifies the information, from which it prepares the PIP, a three year capital budget. DGP is also equipped with the integrated system (SINAPS) for the analysis and programming of public investments.[15]

- **Presentation to the cabinet.** Once the budget is fully defined in terms of both current and capital expenditures, the budget framework is presented to the Cabinet (*Conseil des Ministres*) by the Ministry of Economy and Finance. The Prime Minister communicates to the technical ministries the parameters of their budgets for the coming fiscal year. It is up to each ministry to define its detailed budget requests according to government priorities and the commitments made to the development partners. This helps each ministry prepare for discussion about adjustments to its budget. The ministries' proposals are directly presented to the DGBF during budget conferences.

2.7 **Budget conference.** The budget conference is held after detailed elaboration of the ministries' budgets. During the conference, each ministry explains its budget (current and capital). The Ministry of Economy and Finance plays a key role in these discussions as the main coordinator of the process and makes adjustments taking into account the ministries' budget requirements and resource constraints. If there are institutional disagreements on specific ministry's budget proposals, the binding decision is passed onto the Minister of Economy and Finance After these steps, the Ministry of Economy and Finance prepares a preliminary draft of the government's budget and presents it to the technical ministries for information. Next, the draft budget is presented to the President of the Republic for adoption by the Cabinet.

2.8 **Budget vote.** Budget voting in the National Assembly is the last step in budget preparation. After the budget is voted on, it becomes the financial law for the budget year. After to vote, the government may make further amendments, if necessary, perhaps because of an important change in economic conditions affecting the realism of budget projections and allocations. Any amendment to the voted budget, however, must follow a legislative procedure: the Ministry of Economy and Finance prepares a separate amendment law, which amends the budget law upon passage in the National Assembly.

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[15] The SINAPS is a fully computerized system, first developed on Lotus 123 V3, improved in 1997, and now available on MS Excel. This software allows entering of project data and sorting them out by order of priority according to several criteria.

2.9 **The statutory budget preparation procedures have remained largely intact during the crisis, but the 2003 budget was prepared as an essentially emergency budget.** The 2003 emergency budget *(budget de sauvetage)* was passed with several months of delay and reflected the extraordinary circumstances of the post-conflict situation. As a result, this budget committed the government to a program of reconstruction and economic recovery with following key objectives:

- restoring state authority throughout the national territory;
- supporting economic recovery through direct assistance to enterprises, reduced fiscal burden, and a reduction in the government's budgetary arrears, etc.
- rehabilitating infrastructure in the occupied zones;
- increasing security through the construction of transport corridors and communication; and
- providing direct assistance to the affected population.

2.10 **The 2003 budget is based on an optimistic growth forecast of 1.8 percent (subsequently reduced to 1.2 percent), but a delayed economic recovery is making it difficult to execute as planned.** The budget projection was subject to a complete return to normalcy and the quick restoration of state authority in the entire country. However, as of end-November 2003, these conditions have not been met. As a result, growth in 2003 is likely to be significantly negative and economic recovery delayed until 2004. The budget is 22 percent lower in nominal terms than the previous year, reflecting the recognition of the post-conflict situation and the twin objectives of providing for critical needs and supporting economic recovery. However, with delayed recovery, even this reduced budget will be difficult to execute.

2.11 **A new Treasury information system, named SIGBUD *(Système Integré de Gestion Budgétaire)*, was implemented in 2003 to facilitate the preparation of the 2003 budget.** The system was designed to speed up the transmission of budget requests from the DAAFs to the DGBF. Though some of the SIGBUD modules are not yet ready, the first transmission tests were satisfactory. The complete implementation of the system is expected before year-end.

The Public Investment Program (PIP)

2.12 **The PIP is an instrument of financial programming of public investments for the following three years and on a rollover basis.** It provides the link between the development strategies defined by the government, on the one hand, and the budget law, on the other. Each year, the PIP is developed for the three coming years, of which the first year corresponds to title III (investment) of the government's budget. Hence, the PIP should precede the government's investment budget.

2.13 The formulation process of the PIP consists mainly of 4 stages:

- technical analysis of the proposals to fund investment projects originating from the technical ministries. This analysis is made by the DGP in collaboration with DGBF and the *Bureau National d'Etudes Techniques et de Développement (BNETD)*;
- preparation of the PIP document by DGP;
- presentation to and adoption of the PIP by the Cabinet; and
- dissemination of the PIP document.

2.14 **However, the development of the PIP has been plagued by problems which weakened its impact and the consistency of public investment**. Some of the problems identified are: (i) the lack of regulation of the Planning-Programming-Budgeting-System (PPBS) chain; (ii) the lack of consistency of the PIP, more driven by financial constraints than by the government's consistent, strategic choices; (iii) the difficulties in mobilizing external financing resources. Hence, since 1999, the PIP has not been presented to the Cabinet. Recently, however, there are efforts to re-institute the PIP as major instrument of medium term fiscal planning (Box 2.1).

Box 2.1: New Procedure and Timetable for the Development of the PIP

The DGP has instituted a new procedure to improve the formulation of the PIP, to resolve the practical problems in the development of the PIP and to give reestablish its importance in medium-term fiscal planning. This procedure comprises 5 steps:

i. Definition of the government's main strategic and sector directions regarding public investments. This is reflected in a letter of strategic directives issued by the Prime Minister – first half of March;

ii. Identification, evaluation and development of a list of investment projects by each ministry on the basis of the letter on strategic directives from the Prime Minister. This step should take into account the existing project pipeline. The project list from each ministry is transmitted to the DGP, accompanied by the completed project forms – from May 1 to 31;

iii. Preparation by DGP of consistent and harmonized investment project proposals, in collaboration with DGBF – June 1 to 30. Following this analytical work, the Ministry of Planning and Development presents the PIP to the Cabinet – first week of July;

iv. Budgeting of the approved projects for the first year of the PIP (title III), made in collaboration with the DGBF, in conformity with the budget framework – from August 1 to September 15; and

v. Editing and dissemination of the PIP by the Ministry of Planning and Development – October.

Budget Execution and the SIGFIP

2.15 **Budget execution begins following the passage of budget in the National Assembly, as the Ministry of Economy and Finance passes onto technical ministries**

final information on the allocated expenditures. The main participating institutions and individual offices involved in budget execution in Côte d'Ivoire are: the technical or spending ministries, the administrative and financial director in each ministry, financial controllers, general Treasury paymaster, directorate of budget and finances, treasury, and the revenue collection agencies (Box 2.2).

2.16 **The execution of public expenditures is managed through the Integrated System of Public Finance Management (*Système Intégré de Gestion de Finance Publique* or SIGFIP)**. The SIGFIP is a software introduced in 1999, designed to provide an integrated system for executing, monitoring, tracking and forecasting public expenditures for the current fiscal year. It was part of the reform designed to unify current and capital budgets and strengthen expenditure monitoring, forecasting, and execution. Initially, the new system was not accompanied by adequate equipment and training of the personnel, and it lacked flexibility for the correction of human errors which were rejected by the computer. Also, the SIGFIP applied public accountability and budget execution procedures to *all* public projects, including those financed by external donors. As a result, project expenditures, normally, have to be included in the government budget and have to follow public finance regulations and nomenclature. Nevertheless, the SIGFIP resulted in a number of benefits which helped the government better control public expenditures and limit scope for gross abuse of public funds.

Box 2.2: Côte d'Ivoire - Key Institutions and Offices in the Budget Execution

The main participants in the execution of the public expenditures are:

The technical ministries, who are in charge of implementing public expenditure programs. They also initiate public expenditure requests early in the preparatory stage of the budget cycle. These ministries do not have access to the SIGFIP.

The Administrative and Financial Director (*Direction des Affaires Administratives et Financières—DAAF*) is the key person in the execution of public finances. It is the starting point of the SIGFIP and the first major point of *a priori* expenditure control. DAAF is appointed by the Ministry of Economy and Finance at the proposal of the relevant ministries to which he is attached. There is one DAAF for each ministry. The DAAF deals with payment requests of credit agents and it *orders payment* once the service is completed. In addition to these main responsibilities, DAAF is also in charge of personnel management in its ministry.

Financial Controllers *(Contrôleur Financier—CF)* intervene twice in the expenditure circuit. First, they act before the DAAF checks the conformity of expenditure requests with the budget bill and, second, before the payment order is made. The CF has a deadline of eight business days to verify the validity of expenditure payments.

The General Treasury Paymaster *(Trésorier Payeur Général—TPG–for current expenditures, or the Agent Comptable de la Dette Publique – ACDP-- for the projects and the debt)* is the last person in the process of the execution of public expenditures. He/she receives payment instructions from the DAAF and has five business days to certify the payment request. Once the validity of the expenditures is certified, he/she is given 90 days for *payment*. The payment is subject to the availability of funds at the General Treasurer's account, and the time of arrival of payment requests.

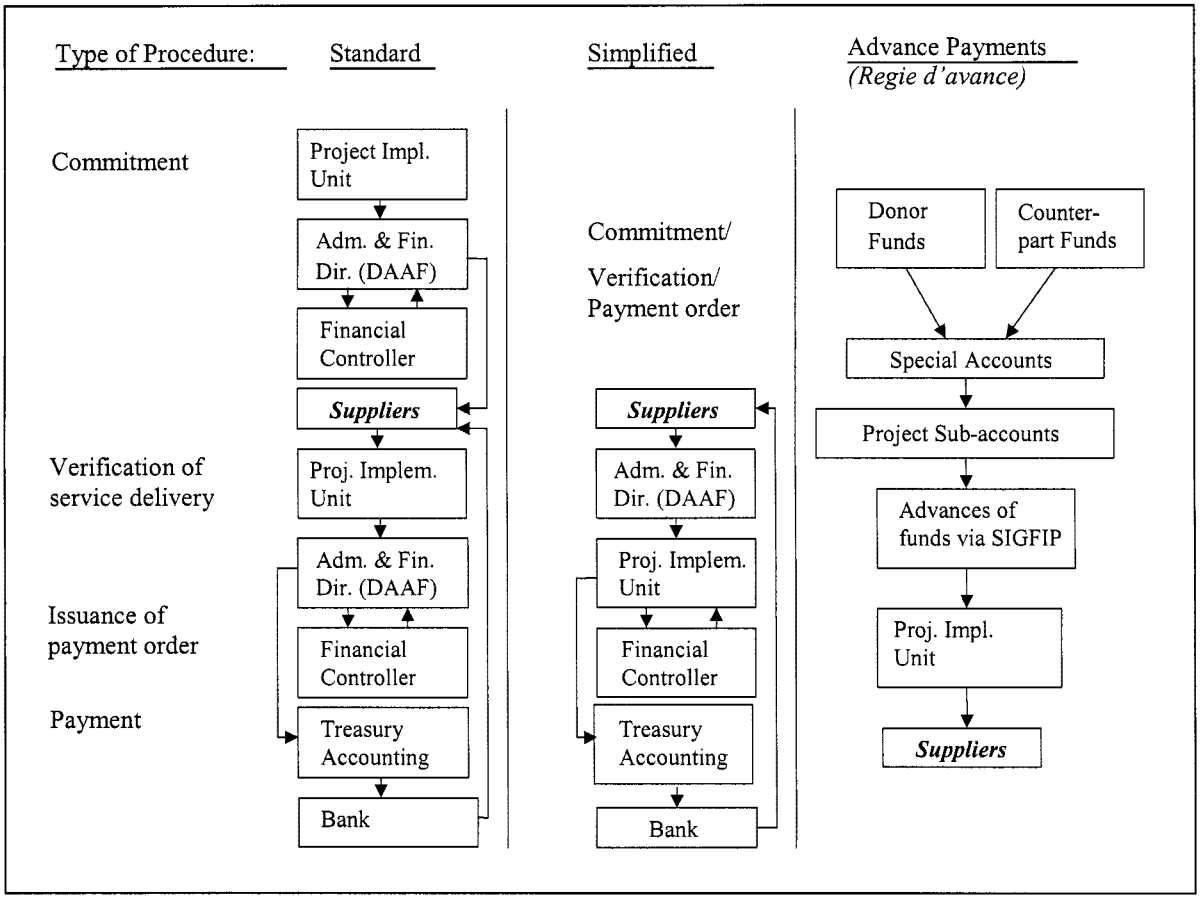
The main agencies concerned with the execution of public expenditures are:

The Directorate of Budget and Finances *(Direction Générale de Budget et de Finances (DGBF)*, a part of the Ministry of Economy and Finance (MEF), is in charge of several tasks, including the preparation of the budget concept paper, ensuring that budget projections for the next year are included in the SIGFIP, and managing implementation of regulations on expenditures appropriations;

Treasury (through the *Direction Générale du Trésor et de la Comptabilité Publique* (*DGCTP).* The Treasury has both revenue collection and expenditure functions. On the revenue side, Treasury collects some direct taxes and is responsible for government's receipts from different revenue collection offices. On the expenditure side, Treasury orders expenditure payments from the DAAF.

Revenue collection agencies. These are the services responsible for taxes, non-tax revenues and customs, and the Treasury: *Direction Générale des Impôts* (DGI), General of Customs *Direction Générale des Douanes* (DGD) and the *Direction Générale du Trésor et de la Comptabilité Publique* (*DGCTP).* All three agencies are in charge of the *collection of taxes and non- tax revenues for the government.*

Figure 2.2: Côte d'Ivoire - Budget Execution Procedures



2.17 **The implementation of the SIGFIP enabled the following improvements in the government's public expenditure and financial management compared with the situation prevailing before 1999.**

- The system enabled the government to track the status of the public expenditures at any moment. The government can track in real time the various stages of execution of budget expenditures (e.g., expenditures which are in the order stage versus payment stage). This resulted in strengthened capacity of the government to monitor and reduce the accumulation of expenditure commitments (*Dépenses Engangées Non Ordonancées—DENO)* and budget arrears.

- Expenditure control improved. No payment can be made without a previous allocation of an engaged expenditure item. If an expenditure item is not entered in the system at the beginning of the fiscal year, no purchase can be made from the budget account.

- Execution of the budget is controlled in real time. Adjustments can be made if the pace of the payment is too fast at the end of the year.

- The system allowed strengthening of tax compliance of government suppliers. Enterprises that supply the government with goods and services must have paid all taxes due to the government before receiving further payments.

2.18 **Nevertheless, in practice, the system needs further improvements.** As detailed in the section below on main issues, the strength of the SIGFIP as a monitoring and control system is compromised by delays in execution of expenditures which are partly related to the system itself but also other inefficiencies in the system of budget execution.

2.19 **Expenditure execution may follow normal or simplified procedures.** The normal procedure is a four-stage process comprising ***commitment*** *(engagement)*, ***verification and costing of service delivery*** (*liquidation*), ***issuance of the payment order*** *(ordonnancement)*, and ***payment*** (see Figure 2.2; for details, see Annex III). The normal procedure is used for most expenditures. The simplified procedure is used in cases of clearly defined "special" outlays such as: the payment of utilities, the transfer of credits abroad, traveling expenses, and special expenditures approved by the Ministry of Economy and Finance. The simplified procedure, however, consists of only two stages: combined commitment, verification, and issuance of order payment into first stage, and the payment itself as the second stage.

2.20 **In addition, there is advance payment procedure (*Régie d'avance*) that, in principle, bypasses a number of steps of the standard and simplified procedures.** This procedure applies to the payments by donors and of counterpart funds to special accounts. Under *Régie d'avance*, the payments are deposited into project special accounts at the *Caisse Autonome d'Amortissement (CAA).* Each project special account contains separate sub-accounts for donor resources and counterpart funds. The payment from the sub-accounts are executed through the SIGFIP procedures and channeled through the Project Implementation Units (PIUs) to the suppliers. Alternatively, the funds could, in principle, be channeled directly from subaccounts to PIUs.

2.21 **The deconcentration of budget execution—a key objective of further budget reform under implementation—continued in 2003.** After the successful operating tests in Yamoussoukro and Bouaké, at least six departments (Abengourou, Bondoukou, Aboisso, Agboville, Grand-Bassam and Dabou) and three sub-prefectures (Bingerville, Anyama and Bonoua) have been connected to the SIGFIP in 2003. The authorities foresee the connection of about twenty cities in 2004. The elimination of domestic arrears, commenced in 2001, continued through 2003, with a decline from CFAF 112 billion at end-2000 to CFAF 34 billion by May 2003. The Public Expenditure Review Unit was established within the DGBF for monitoring and evaluation purposes and should become fully operational by year-end. The procurement system and practices are also being reviewed to increase the low disbursement rate of foreign loans. A management information system (RICI-EPN) is being implemented in the state owned companies to enhance budget execution.

HIPC EXPENDITURE TRACKING

2.22 **A major function of the public finance management system is tracking expenditures to the point of final consumption and verifying the use of funds.** Donors who provide substantial amounts of budget aid require that government not only allocate funds for agreed poverty purposes, but that there is also accountability for the use of such funds down to the sub-sector level.

2.23 **Because of the conflict, Côte d'Ivoire did not reach its decision point under the enhanced HIPC Initiative in late 2002 as had been expected.** Given the current conditions and time needed for substantial progress on this front, decision point probably cannot be envisaged before the second half of 2004. The 2002-04 IMF PRGF program and the Bank's ERC are off track. Assuming that normal functioning of government is quickly restored, the decision point could be reached after a satisfactory six-month program track record is implemented, and after full debt reconciliation and a new debt sustainability analysis are undertaken. Arrears clearance is a general requirement for reaching the decision point. The Preliminary HIPC document also specified that Côte d'Ivoire should make adequate progress towards establishing a system for monitoring and tracking poverty-related spending and use of HIPC Initiative resources. Interim HIPC assistance would be provided by the IMF, the World Bank, the AfDB, and Paris Club creditors between decision and completion points. Total assistance is provided unconditionally at completion point.

2.24 **HIPCs have an obligation to track the changes in the composition of their spending towards pro-poor programs and HIPC assistance should finance *additional* expenditures for poverty reduction to those financed under the annual budget.** The problems in determining additionality will be addressed below. In the case of Côte d'Ivoire, one way of channeling and tracking HIPC resources is by placing HIPC assistance funds in a special account at the BCEAO. These funds would then be disbursed to the budget for agreed poverty reduction priorities. A more comprehensive tracking system, however, would be geared towards tracking of *all* poverty-reducing expenditures and not only of HIPC assistance. In the case of Côte d'Ivoire, the monitoring of these poverty-reducing expenditures would be the task of a tracking system established in the Ministry of Finance. Such a system would have to be effective down to the level of the commune and local school and health clinics. This implies that local authorities will have increased autonomy and need for local financial management and records to meet accountability standards in providing the services required by the poverty reduction program. Limitations on local government autonomy could occur because of the need to track expenditures from the special account on the part of the Treasury in the central government.

2.25 **Poverty reducing expenditure should be based on the priorities identified by the full PRSP, which was recently restarted after conflict.** The final PRSP is now being revised to take into account the more difficult, post-conflict social situation, revised expenditure priorities, and the Bank's emergency post-conflict assistance program in support of reconstruction. The final PRSP will discuss main objectives of the country taking into account the post-conflict challenges, and a revised action plan for poverty

reduction. Key poverty-reducing expenditures should be identified and financed under the HIPC. The tracking of the spending would be done using the existing SIGFIP system for executing and monitoring budget expenditures. A household survey could be used to assess the impact of these expenditures and compare actual performance indicators against forecast to determine the need for any adjustment.

Some HIPC Guidelines

2.26 **Experience with some 25 countries which have reached the decision point has produced some useful guidelines and lessons for countries which are entering the process, such as the Côte d'Ivoire.**[16] Tracking only HIPC assistance to promote poverty reduction spending would likely produce only partial results, as it would not address the composition of overall budget spending on poverty reducing programs. Donors will require that *all* budgetary assistance meet the criteria of poverty reduction in their spending, even if HIPC expenditures are required to be *additional* to regular budgetary spending. The Government will also be keenly interested in having a mechanism to track all expenditures directed towards PRSP poverty reduction objectives.

2.27 **Putting in place a public expenditure management system which will allow tracking of public expenditures for poverty reduction will take some time and should ideally be based on a medium-term expenditure framework (MTEF).**[17] Assessing if the elements of existing PEM system are adequate can be done using a set of 15 indicators, of which seven relate to budget preparation and four each to execution and reporting. When upgrading is required, a transitional mechanism is needed to track expenditures using existing data while continuing to strengthen budget management. One solution is to set up a "virtual poverty fund" through which selected items in the budget are identified as poverty reducing and are monitored as a part of overall budget implementation (Box 2.3). Such a scheme could be used in conjunction with monitoring of broad changes in the composition of public spending, particularly those identified in PRSP. Controlling cash payments for poverty-reducing spending rather than global allocations to ministries is another way of bridging the transition to a full expenditure tracking system.

2.28 **Social impact analysis will be required to assess the effectiveness of poverty reducing-expenditures in reaching intended beneficiaries**. These analyses should be based on a household survey assessing the impacts of spending on targeted groups. In the post-conflict context of Côte d'Ivoire, this will require a social impact analysis after taking account of the large social and humanitarian impact of the crisis, especially with respect to health and education spending and in the most affected areas of the country. A

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[16] See "Tracking of Poverty-Reducing Public Spending in Heavily Indebted Poor Countries (HIPCs)", IMF and World Bank, March 27, 2001, and "Actions to Strengthen the Tracking of Poverty-Reducing Public Spending in Heavily Indebted Poor Countries (HIPCs), IMF and World Bank, March 22, 2002.

[17] In the medium term, the public expenditures management system should be able to determine how the amount and allocation of overall spending changes. This would require a baseline against which to assess changes in overall spending and, particularly, how the addition of HIPC spending impacts poverty related spending. A Medium Term Expenditure Framework (MTEF) should be in place to provide such a baseline and could include sub national governments, with expenditures classified by function and program.

follow up volume to this report, focusing on the composition of public expenditures and their effectiveness will address these issues. Based on that analysis, actions plans would be formulated to improvements in the *composition and efficiency* of public expenditures.

Box 2.3: The Operation and Experience with Accounting or Virtual Poverty Funds

Accounting or *virtual poverty funds* are constructed for accounting purposes only. Program or expenditure items in the budget identified as poverty reducing are tagged and monitored in the overall budget implementation. Fund resources are held centrally in consolidated fund accounts, or sub-accounts, and are fully on-budget. Resource allocation occurs during the general budget process, within the macroeconomic framework. Programs financed by poverty funds are implemented by line ministries or local governments, or are contracted out. Execution and annual audits of poverty fund accounts occur through normal government procedures. Like general public expenditure systems, virtual poverty funds should use sound classification systems and have timely reporting systems.

Uganda, for example, has established a poverty action fund as an accounting framework. The poverty action fund specifies poverty-reducing programs at the level of budgetary line items. These programs are identified in the accounting coding structure to enable automatic tracking, becoming a vehicle for relating incremental debt relief and donor resources to specific program expenditures.

*Tanzania o*perated a multilateral debt fund, established by Nordic countries and the United Kingdom as a general government account in the central bank to be used for debt servicing to the multilaterals. The fund is now being transformed into a poverty reduction budget support fund to channel resources of bilateral and multilateral donors.

In *Guyana*, certain line items are tagged as poverty-reducing spending, based on administrative, economic, and highly aggregated functional classifications.

Source: The World Bank (2002) "A Sourcebook for Poverty Reduction Strategies", Volume 1, p. 197.

A SELECTIVE PEM ASSESSMENT USING PERFORMANCE INDICATORS

2.29 **As a first systematic stage of developing a detailed action plan for improved expenditure tracking and expenditure management in general, the following provides a selective, preliminary assessment of the state of PEM after conflict**. This assessment is based on both pre-conflict (August 2002) and post-conflict missions (June 2003, August-September 2003, and November 2003) to take into account developments that may have affected the functioning of the system during conflict. The assessment is inevitably preliminary and partial because it is based on visits only to Abidjan, since travel in the north and western part of the country was not possible as of writing. The assessment would be revisited during the joint assessment mission currently envisaged in December 2003 and also subsequently in the context of the joint IMF/World Bank HIPC expenditure tracking report exercise.

Table 2.1: Côte d'Ivoire - Public Expenditure Management: A Preliminary Country Assessment

Areas of Assessment			Benchmarks	Success in Meeting Benchmarks		
				Fully Met-A	Partly Met-B	Not Met-C
I	**Coverage of the Assessment**					
		Involvement of Different Levels of Government	0-10% of total			
			10 to 50% of total		X	
			more than 50% of total			
II	**Budget Formulation**					
	1	Coverage of the Budget	Identical			
			Very Close Fit		X	
			Considerable Differences			
	2	Degree of Spending Funded by Extra-budgetary	Not Significant		X	
		Resources	Significant			
			Very Significant			
	3	Reliability of Budget as Guide to Future	Very Close			
			Quite Close			
			Not Close			X
	4	Inclusion of Donor Funds	All	X		
			Incomplete			
			None			
	5	Classification	Administrative, Economic, Functional, and Programmatic			
			Admin., Economic and Functional (to Sub-functional Level) or Admin , Economic and Programmatic		X	
			Other			
	6	Identification of Poverty Reducing Spending	Use of the Existing Budgetary Classification System (Either Pre-existing or Through the Use of a So-called "Virtual Poverty Fund")			
			Use of a separate institution ("an actual poverty fund")			
			Other (Not Clearly Identified in the Budget)			X
	7	Integration of Medium-term Forecast	Integrated into the budget formulation cycle			
			Projections exist, but are not integrated into the budget formulation cycle		X	
			Projections exist only for a few selected sectors, or not at all			
III	**Budget Execution**					
	8	Evidence of Budget Execution Problems-Arrears	Very Few or None			
			Some (up to 5 percent of total expenditure)			
			Significant amount (more than 5 percent of total expenditure)			X
	9	Effectiveness of the Internal Audit Function	Effective—run by ministry of finance or by spending unit			
			Partial—run ineffectively by the MOF or only by some spending units		X	
			None			
	10	Public Expenditure Tracking (PETs) Surveys Are in Use	Yes, PETSs are a regular feature of the PEM system, or PETSs are no longer required			
			Yes, PETSs have been tried, but they are not yet a regular feature of the PEM system			
			Not used or are no longer to be used, and PEM cannot reliably track spending			X
	11	Quality of Fiscal Information	It occurs satisfactorily in a timely and routine way	X		
			It occurs satisfactorily, but not in a timely way			
			It does not occur satisfactorily			
IV	**Budget Reporting**					
	12	Regular or Timely Internal Fiscal Reporting	Received within two weeks of the end of the relevant period			
		(Budget Tracking Reports)	Received between two weeks and four weeks of the relevant period		X	
			Received more than four weeks after the end of the relevant period			
	13	Fiscal reports present spending on a functional basis	Good quality functional classification is presented	X		
			Functional presentation is made in the in-year reports, but there are quality concerns with its compilation			
			There is no routine expenditure tracking on a functional basis			
	14	Closing the Accounts	Within Two Months			
		(Longest Period Between the End of the	Between Two and Six Months		X	
		Fiscal Year and the Routine Booking of the Accounts)	Other			
	15	Timeliness of Audited Financial Information	Within Six Months			
			Between Six Month and a Year			
			Other		X	
	15	**Total**		**3**	**8**	**4**

2.30 **The assessment identified four main areas of budget execution and formulation where specific benchmarks were not met (rating C). Overall, of the 15 benchmarks, 3 were fully or generally met (rating A) and 8 were met to a good degree (rating B).** There are three broad findings:

- Ratings indicate that the quality of public expenditure management is weakest in the **budget execution** stage. Therefore, this is an area that needs most focus and improvement by the authorities.

- While there are elements of **budget formulation** which are fully satisfactory (e.g., use/treatment of extra-budgetary funds), this is also an area where improvements are needed (e.g., reliability of the voted budget as a guide to future, and an identification of poverty-reducing expenditures).

- **Budget reporting** has generally been adequate in terms of coverage, frequency and timeliness. Classification systems and their precision, however, could be improved.

2.31 **Table 2.1 summarizes the 15 indicator assessment.** Annex II provides complete detail and explanations of individual indicator assessments.

MAIN ISSUES

Budget Preparation[18]

2.32 **There are at least four government agencies dealing with macroeconomic monitoring, programming, and analysis, and there is no clear coordination among them.** In principle, the macroeconomic framework is the responsibility of Directorate of Conjuncture and Economic Forecasting *(Direction de Conjuncture et Prévision Economique--DCPE)* of the General Directorate of the Economy (*Direction Générale de l'Economie*--DGE). But it is unclear to what extent the work of the other agencies is complemented and coordinated effectively with that of DCPE. The other agencies involved are: Directorate for Syntheses and Macroeconomic Policy *(Direction de Synthèse et Politique Macroéconomique—DSPM*) of the Directorate for Budget and Finance *(Direction Générale de Budget et de Finances—DGBF);* Directorate of General of Planning *(Direction Générale de Planification—DCP);* and National Technical Studies and Development Agency *(Bureau National d'Etudes Techniques et de Dévelopment—BNETD),* which has also a Directorate of Economic Studies. To be sure, involvement of various agencies has the advantage of promoting the exchange of ideas and, potentially, more realistic macro frameworks. But once the exercise is completed, there is a need to agree on a single macro economic framework for the Government.

[18] For recommendations on budget preparation issues identified here, see paragraphs 2.45-2.46 in the next section below.

Currently, when there is no agreement, the department responsible for the planning of the budget framework[19] uses its own macroeconomic framework.

2.33 **The role of the Directorate General of Planning (DGP) in the formulation of the investment budget is weak and it has almost no capacity for evaluating progress with project implementation**. First, the DGP has a methodology for project appraisal which is used in defining the three-year public investment program, the first year of which represents the current year investment budget. However, an inspection of differences between the first year of the PIP and Title III (Investment) of the government budget suggests that the final choice of the projects may be made by the DGBF, while the DGP adjusts the PIP to fit these decisions.[6] Furthermore, the quality of certain projects should be revisited and the criteria for project selection concerning the financial and economic returns (IRR, project viability) need to be clarified. Second, an important element in current investment programming is an assessment of past project implementation. Ideally, project objectives should be monitored against clear benchmarks and corrective measures implemented where needed, but this is not done due to the lack of institutional capacity and financial resources.

2.34 **Finally, the calendar for the development of the PIP should incorporate the delays due to the necessary discussions with the development partners**. These meetings should permit the presentation of the general framework for the economic policies and the PIP and to discuss the modalities for possible funding of the program.

2.35 **It is unclear whether at present the authorities adequately budget recurrent costs of investment projects**. This problem preceded the period of instability, but it has probably deteriorated after the conflict as the current budget came under pressure from conflict related expenditures. As early as 1998, the Bank pointed out the problem of the gap between the recurrent costs needed for the successful implementation of a project and the recurrent costs included in the budget.[20]

2.36 **During the development of the budget framework, ministries tend to automatically take the previous year's allocation constraint as the current budget limit, with no systematic evaluation of past execution**. There is no feedback of past experience with budget execution to the current year's budget planning. As a result, past problems in budget execution (e.g., divergence between the planned and executed budgets) tend to spill over into inadequate budget planning and repeated discrepancies between the voted and executed budget. In part, this reflects the limited capacity line ministries to realistically evaluate their past expenditure executions as a basis for current year's planning. Also, it may reflect the lack of critical program evaluations at the levels of ministries.

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[19] *Direction des Politiques et Synthèse Budgétaire* (DPSB) of the *Direction Générale de Budget et des Finances* (DGBF).

[20] *Côte d'Ivoire: Revue des Dépenses Publiques 1991 à 1998*, Vol. 1-2, Banque mondiale, Washington, Octobre 1998.

2.37 **The budget framework does not seem to always utilize realistic assumptions consistent with the macroeconomic framework**. This problem reflects the lack of coordination between the various directorates during the development of the macroeconomic and budget frameworks. As an example, as it has been pointed out previously, the 2003 budget has used an unrealistic GDP growth assumption. Also, the recent PER mission (November 2003) pointed out that the draft 2004 budget framework uses an assumption of 2.4 percent growth rate, while the macroeconomic framework is based on a 3.8 percent growth assumption. It is advised that the authorities work to harmonize these key assumptions in the budget and macro frameworks.

Budget Execution[21]

2.38 **Budget execution through the SIGFIP follows some steps that unduly slow the entire process.** The normal procedure of the execution of public expenditures is composed of at least ten steps from the commitment of expenditures to the issuance of the payment order. These steps are completed by transmissions of a physical document. Hence, the computer is currently *not* used efficiently to simplify or eliminate the handling of physical documents, but just to register, monitor and control the transactions during the process. While the use of the computer system clearly strengthened monitoring and control, the use of parallel, hard copy documentation—though considered necessary for document verification—may explain delays in expenditure execution.

Table 2.2: Côte d'Ivoire - Estimated Processing Timetable in Expenditure Execution

Month No.:	Estim.	1					2				3					4				5					6				7				
Week No.:	Days	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32
I STANDARD SIGFIP PROCEDURE																																	
Engagement																																	
Project Implementation Unit	5	X																															
Admin. & Finance Director	7-30		X	X	X	X																											
Financial Controller	8						X	X																									
Admin. & Finance Director	5								X																								
Verification of Service Rendered																																	
Project Implementation Unit	5									X																							
Ordinance																																	
Admin. & Finance Director	7-30										X	X	X	X																			
Financial Controller	8														X	X																	
Admin. & Finance Director	5																X																
II PAYMENT																																	
ACDP/TPG	95																	X	X	X	X	X	X	X	X	X	X	X	X	X	X		
CAA	5																															X	

Source: Bank staff estimates based on discussion with the authorities.

2.39 **Delays in executing expenditures are partly a result of the high turnover and inexperience of some DAAFs—key participants in the process—well as their dual responsibilities**. Political instability in Côte d'Ivoire since 1999 resulted in several governments and frequent changes of ministers and, therefore, of the DAAFs. The

[21] For recommendations on budget execution issues discussed here, see paragraphs 2.47-2.48 in the next section bellow.

position of DAAF, an essential element for the SIGFIP, has no clear guidelines on qualification and it is not unusual to have some DAAFs, with widely varying different education/skill backgrounds. Since the DAAF is appointed by MEF upon the proposal of the technical ministry, and is a key person in financial management of the department, each minister tends to choose his own DAAF. During the two last years, with the numerous changes of the government ministers, there has been a notable turnover among DAAFs. The SIGFIP is not an easy procedure for a newcomers to master, so new DAAFs face difficulties in properly filling out the documents, particularly since there is no complete handbook for the procedure. There are, therefore, serious delays in the execution of the forms because of time new DAAFs need to master the system. In addition to his duty of financial manager, the DAAF is in charge of the staff management within the ministry, which may also give rise to some delays in discharging budget execution duties. Finally, while difficult to document, there may also exist governance problems at the level of the DAAFs.[22]

2.40 **The processing timetable is too long.** Total processing time averages one month for the simplified procedure, and may take up to 3 to 4 months for the normal procedure (Table 2.2). In extreme cases, ultimate beneficiaries do not receive payments for six months. Among the actors in the system, only the financial controller (CF) and the general treasury paymaster (PGT) are given deadlines for dealing with the documents. As noted in Table 2.2 above, the financial controller (CF) has eight (8) days to complete his work, whereas PGT is given five (5) days to consider a payment document and then ninety (90) days to effect payment. The course of a file through the SIGFIP process requires on average thirty one (31) days, from the project controller to the end of the SIGFIP cycle, without taking into account for the time needed by the DAAF to intervene twice in the process. The critical link in the chain—DAAF—has no required timetable for dealing with the documents. In practice, the most qualified and organized DAAFs may require 3 or 4 days, others more than 30 days. After the SIGFIP circuit, the Treasury is allowed 95 days to make the payment, depending on available liquidity.

2.41 **The unit cost of goods and services bought by the Government is usually higher than the market price**. Two reasons may explain this situation: (i) an implicit interest rate applied by the suppliers; and (ii) bribery. Since the process of a payment after the service is delivered may take three to four months (ordinance in the SIGFIP and payment by the PGT), enterprises serving as government suppliers, therefore, add a profit margin to compensate for the payment delay. In some cases, enterprises have had an incentive to increase the unit price of their services to compensate for the funds spent on bribery to win contracts with the government.

2.42 **The lack of effective coordination and excessive centralization in the execution of public investment projects result in inefficiency of allocated investments.**[23] One example is occasional construction of local facilities without prior

22 For Bank projects—and externally financed projects in general—delays in implementation are worsened by the fact that the DAAFs are typically more familiar with general expenditure execution than with specifics of project expenditures.

23 During the *pre*-conflict mission, some eight hundred (800) health centers have reportedly not yet opened to the public for lack of qualified staff and supplies.

government planning on the initiative of villages, which subsequently require the government to provide equipment and qualified staff, which were not initially budgeted. Another example is an ex-post decision to cut essential elements (e.g., nurse facilities) of a project, such as a health center, only to reduce the cost of the project. In addition, budget freeze and cuts at the center simply result in delays in project completion, increasing gestation and project cost in the future.

The Issue of Low Disbursement of External Assistance and the Bank Projects[24]

2.43 **Recent experience with the execution of external assistance, including the Bank projects in Côte d'Ivoire revealed major problems in the efficiency of the flow of funds, resulting in a very low disbursement rate.** In practice, this means that the Bank resources for development and poverty reduction had not reached the people. Other donors, including the African Development Bank (AfDB), experienced the same problem with their projects. The disbursement problem has been present at least since the political instabilities that began in 1999. While some corrective measures were taken by the authorities, the problem remains to plague Bank portfolio and the escalation of the civil war in September 2002 has hampered remedial actions. With the current disbursement rate on the Bank's portfolio of only 11 percent compared to 22 percent for the Sub-Saharan Africa as a whole, the execution of the Bank's existing projects is jeopardized (see Figure 1 in Annex I). A number of other factors contributed to this situation, only one of which is the speed of execution of expenditures in the SIGFIP. Annex I details the manifestations of the problem of low disbursement and current agreements with the authorities on corrective measures, which are only summarized in the section below on main recommendations. Also, the management effectiveness of some project managers should be improved in order to accelerate disbursement of the funds. The disbursement rate varies considerably between the projects funded by IDA.[25]

2.44 **The low disbursement of Bank project threatens to block the implementation of the post-conflict emergency program of the Bank.** The Bank's $165 million emergency assistance program consists of a $45 million DDR/RRR project, $50 million MAP/HIV project, and $70 million emergency budget support credit. The program provides assistance for the first year of post-conflict reconstruction, which started in June 2003. Unless urgent arrangements are put in place to efficiently disburse and make project expenditure payments, the disbursement of the emergency program (and its ability to reach the intended beneficiaries) will be delayed when it is most needed.

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[24] For recommendations on this issue, see paragraphs 2.49-2.51 in the next section below.

[25] This indicates that some project managers are more effective (e.g. PACOM) than others. In fact, some project mangers do not plan in an optimal way the replenishment of their special accounts. The result is that they are unable to make payments during prolonged periods, which slows down the project execution considerably.

RECOMMENDATIONS AND RATIONALES

Streamlining Budget Preparation

2.45 **In the short-term,**[26] the following three measures should be considered to strengthen budget preparation. (for issues and justification of these measures, see paragraphs 2.32-2.37 above).

- **The macro framework should be prepared in close coordination of all agencies involved in order to strengthen coherence and realism of the framework. DCPE and DGE should ensure that coordination.**
- **The authority of the DGP in developing the investment budget should be reinforced and the first year of the PIP should be fully reflected in totality in the government's budget, and not vice versa.** The DGP is the main institutional planning unit for the government's public investment program. Project selection should be made according to objective criteria of profitability and viability, as required in the project forms. The DGP should undertake ex-post evaluations of the projects to strengthen its project analytical capacity and to correct, if necessary, any the deviations. The institutional role of DGP will need to be clarified in view of these objectives.
- **The first year of the PIP should be reflected in the budget title III , the DGBF should take into account the DGP's project selection before finalizing the government's budget.** Furthermore, DGP should be provided with appropriate resources (financial and human) to undertake the evaluation of investment projects, including the planning, analysis, supervision and ex-post evaluation. All the projects that are retained in the budget should be traceable in the PIP. Finally, before including a project in the PIP, the DGP will have to allow time for discussions with the development partners in its timetable for the search of external funds.
- **The DGP and DGBF should integrate realistic estimates of recurrent costs in the budget for all investment projects.** A related problem of counter-part funds for donor finance projects (see below) should be resolved.

2.46 **In the medium-term,** the authorities should strengthen the budget planning and evaluation capacity of technical ministries. Specifically:

- **Consideration could be given to the creation of an office or directorate of planning in each ministry devoted to strategic and medium planning.** To avoid a bureaucratic mission drift, this should be done in conjunction with a reduction in other redundant offices or tasks at the ministry levels. These offices or directorates could help in the elaboration of the macroeconomic strategy, from bottom to the top. A strategy for a ministry could be defined at the ministry level

[26] For the purpose of this report, and given the urgency of strengthening PEM and addressing issues in this report in the post-conflict context, short-term is defined as between three to six months, and medium term as 12-18 months.

and then consolidated at the central level to establish a national strategy. The advantage of this process is to produce a coherent strategy and avoid excessive top-down macro planning, which sometimes lacks checks on realism that could come from the ministry level. The creation of an office or directorate of planning in each ministry could also be helpful in the promotion of strategic thinking in line ministries. These should be closely coordinated by the DGP.

Accelerating and Decentralizing Expenditure Execution

2.47 **In the short-term,** the following measures should be considered to accelerate expenditure execution (for more on issues behind these measures, see paragraphs 2.38-2.43 above).

- **To simplify and reduce the duration of expenditure execution, the government should: (i) define a timetable for each agent (especially DAAFs); and (ii) implement back-up procedures in case of absence of the responsible agents.** The time required for executing each step should be measured and standards set with clear and automatic sanctions and back up actions to avoid delays. Contact numbers should be available and obligation instituted to promptly notify the projects managers or the ministries of delays in the processing of their files.
- **To strengthen the function of DAAFs, their nominations should be made according to rigorous criteria established by the Ministry of Economy and Finance.** This practice would encourage the nomination of DAAFs who will have already a certain experience with the SIGFIP or who will have an aptitude to learn the system quickly. These nominations could be made through transfers of the DAAFs between ministries. This would result in a substantial reduction in the delays, particularly if it is coupled with the development of a training module for the new appointees, as envisaged by the DGBF.
- **For the development of the 2004 budget, it is necessary to ensure the realism and consistency of the budget framework with the macro-economic framework at all levels**. The budget framework should develop the necessary measures to improve revenues and reduce expenditures.

2.48 **In the medium-term,** the authorities should consider the following two measures:

- **To accelerate the processing of the files, the government should envisage the separation of the financial responsibility function from the personnel function at the level of the DAAFs**. The management of personnel and of finance at the level of a ministry are two very important tasks which require a great deal of time. With the novelty and complexity of the SIGFIP, it is very difficult for any newcomer to be able to rapidly absorb all the knowledge required to become operational. On the other hand, the separation of these functions would allow, in the case of newcomers, a more rapid mastery of the SIGFIP and a considerable reduction in the period needed for learning the new job.

- **The authorities should accelerate the establishment of a unified, comprehensive database of unit prices of goods and services purchased by the government.** The BNETD will carry out a study, at the initiative of DMP, in order to determine reference prices of government's purchases of goods and services and create a unified data base. Accelerating this study and the development of the data base and its use in all government agencies should contribute to an intensified fight against corruption and cost reductions for the government.

- **The authorities should pursue decentralization of fiscal management with renewed commitment, while recognizing that it will take time and resources to implement it.** In the post-conflict period of reconciliation, decentralization will inevitably be a necessary element of the broader process of territorial reintegration of the country on the basis of closer correspondence between local preferences and supply and management of public services and expenditures. Effective decentralization, however, requires considerable investment in local equipment and training. For example, in the context of budget execution, setting up required equipment for the functioning of the SIGFIP needs an adequate network to connect different agents at the local level with the center (DGBF).[27]

Accelerating the Execution of External Assistance and Bank Projects

2.49 **In response to the Bank's recommendations during the August-September 2003 and the November 2003 missions, the authorities have implemented the following measures to accelerate the disbursement of the Bank's projects. The government has**:

- decided to use the capital transfer procedure for the three new post-conflict projects (DDR. HIV/AIDS, EERC);[28]
- decided to use advance payment procedure outside the SIGFIP for the six priority restructured projects;[29]
- placed the other projects in Bank's the portfolio under the *régie d'avance*;[30]
- the World Bank has proposed to add to the first five projects a sixth emergency project (PAS-PRIVE) under advance payment procedure to be executed outside SIGFIP. It should be noted, however, that the APEX-CI component of this project is already under capital transfer;

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[27] Also, required equipment needs to be in an air conditioned room, something which is not usually available in many municipalities. Some special arrangements are therefore necessary before installing the equipment.

[28] Concerning the capital transfers, the recording has already been made in the 2004 budget under preparation.

[29] The MEF has informed, by letter dated October 24, 2003, the ACPD, the project managers and controllers of the authorization, on an exceptional basis, of the execution of the project's expenditures through the advance payment procedure.

[30] The letter No. 1621, dated October 20, 2003, addressed to the project managers, informs them of the creation of *régies d'avance.*

- eliminated the constraint of the quarterly commitment ceiling for the IDA projects;[28] and
- clarified the restriction concerning the quarter of the amount allocated to the budget line instead of the cumulative amount of the lines of expenditures eligible under the *régie d'avance.*

2.50 **Furthermore the authorities have undertaken actions to resolve the following main problems**:[29]

- the freezing, for lack of government counterpart funds, of the IDA resources before the vote by the National Assembly and its implementation by MEF;
- the need to strengthen the capacity of the DAAFs;
- the need for more frequent availability of the statements on the special accounts; and
- the elimination of CI-PAST's arrears on the government's counterpart funds.

2.51 **The weekly meeting, initiated to accelerate project execution by both the government and the project managers, should continue**. These meetings would allow the exchange of experience between the project managers with the measures to be adopted for a more rapid disbursement. Furthermore, the Ministry of Economy and Finance has asked the project managers to submit every month their treasury forecast, to allow the programming of the counterpart funds.[30]

[28] The letter No. 1607 from DGBF, sent on October 20, 2003, to ACDP, the project managers and controllers, settles this problem.

[29] See Annex 1 for the complete list of the measures agreed to and the actions undertaken by the Ivorian authorities.

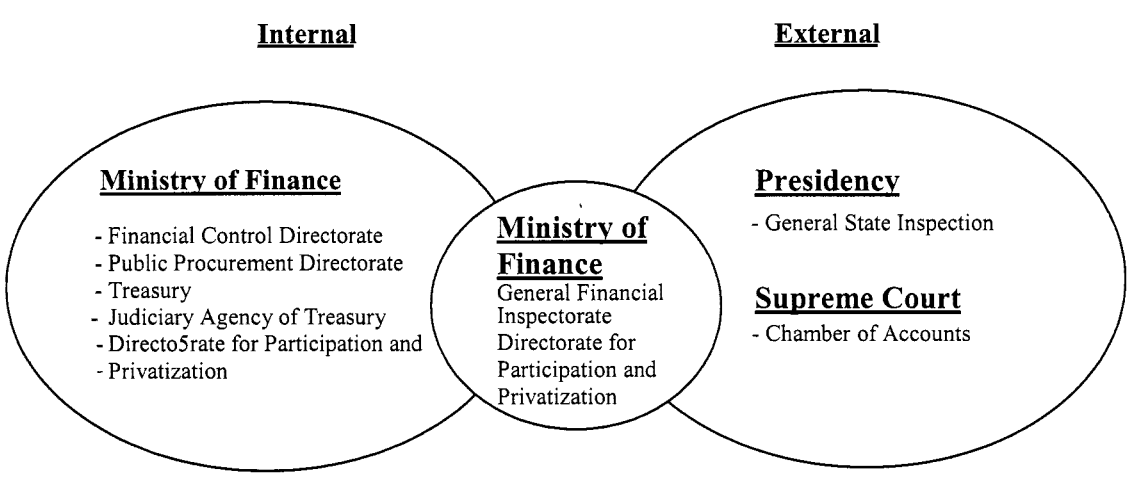
[30] Furthermore, the following additional measures should be undertaken by the project managers: (i) a more active follow-up of the procurement progress; (ii) the active follow-up of the progress of the files submitted to the Ministry of Economy and Finance; (iii) the monthly replenishment of the special accounts, regardless of the amount; and (iv) the justification/regularization for the SIGFIP system of the expenses pre-funded either by the *régie d'avance* or by the new advance payment procedure.

3. IMPROVING EXPENDITURE CONTROLS

OVERVIEW OF EXPENDITURE CONTROLS

3.1 **The expenditure control system is designed to ensure the following: (i) managing public finances in accordance with the law; (ii) identifying and sanctioning irregularities and fraud; and (iii) establishing accountability for the use of public resources**. The system has not always worked well. A highly centralized budgetary process was put in place after the issuance of the organic public finance law of 1959 and the budget accounting law of 1962. The budget *accounting system* was revised in 1993, with French Government assistance, but did not deal with the overall budgetary reform.

Figure 3.1: Côte d'Ivoire - The Relations Among Various Control Agencies



3.2 **Reform of the expenditure control system accelerated after the 1998 audit which found that some CFAF 18 billion were ineligible for EDF[31] financing due to fraudulent practices**. The European Union (EU) and Government signed a protocol in September 1999 calling for corrective measures to prevent a recurrence of this type of irregularity. This led to measures to improve expenditure programming, implementation, follow-up and control of public expenditures, including the establishment of a new Public Expenditure Review Unit (*Cellule de Revue des Dépenses Publiques—CRDP*).

3.3 **While the authorities responded by strengthening the functioning of the Treasury and a number of measures designed to raise transparency, accountability, and expenditure controls, there remain issues that deserve attention**. Moreover, since

[31] European Development Funds.

September 2002, the civil conflict brought about new challenges to expenditure control. Transparency, accountability and control were put under pressure because of budget arrears, increased military expenditures, and the use of extra-budgetary mechanisms for financing conflict-related expenditures. This chapter, therefore, aims to take the stock of the institutional set-up and operation of different agencies performing control activities during the process of expenditure execution, and identifies several issues requiring government's renewed attention in the post-conflict environment.

Box 3.1: Côte d'Ivoire – Main Institutions of Control and their Functions

The main **internal control** units are:

Financial Control Directorate (*Direction de Contrôle Financier – DCF)*, in the Ministry of Finance. The DCF plays a preventive role to uncover irregularities in spending authorizations. It does not question the purpose of spending, but its legality (i.e., applicability of the relevant laws and regulations). It approves the charging of expenditure to the right budget category. Ex-post control is concerned with process, including the quality of management expenses.

Budget Control Directorate *(Direction du Côntrole Budgetaire – DGBF)*, in the Ministry of Finance. The DGBF is responsible for ex-ante control of budgetary execution for the national public establishments, which are the government's decentralized entities. In addition, DGBF ensures the control of the management of the territorial administrations.

General Financial Inspectorate (*Inspection Générale des Finances - IGF*), in the Ministry of Finance. IGF carries out an ex-post control of budget execution. It also undertakes investigations of presumed irregularities in the use of public funds.

Public Procurement Directorate *(Direction des Marchés Publics – DMP)*, Ministry of Finance. DMP approves and monitors all public contracts and their amendments. Two commissions have been established to assist DMP in carrying out its role:

- "*Commission d'ouverture et de jugement des marches publics*" : presided by the Minister of Finance, includes users, ministries involved and financing organizations, and the CAA when foreign financing is involved;
- "*Commission consultative d'approbation des marches publics*": includes representatives from the DMP, Direction Générale du Budget (DGB) and DGTCP.

General Directorate of the Treasury and Public Accounting *(Direction Générale du Trésor et de la Comptabilité Publique – DGTCP)*, in the Ministry of Finance. DGTCP manages the accounts of the government, the special accounts and the functions of all public and private entities which deal with public resources. Its **Accounting Agency for Public Debt** *(Agence Comptable de la Dette Publique (ACDP)* receives payment orders, reviews and processes them, and makes payments. Also, General Directorate of the Treasury includes the General Inspectorate for Parastatal Enterprises' and Treasury 's Accounting.

Judiciary Agency of the Treasury *(Agence Judiciare du Trésor - AJT)*, in the Treasury. AJT is the legal advisor of the government and is responsible for preventing illegal acts by public authorities. It drafts and follows the implementation of conventions which commit the state. AJT manages the government claims in various jurisdictions (e.g. economic crimes, indemnity cases) and follows the claims under litigation and the liquidations of public enterprises.

The **external control** units are:

General Financial Inspectorate (IGF), already mentioned above. IGF participated in the high-profile investigation that uncovered the CFAF 18 billion diversion of EU funds.

Directorate for Participation and Privatization (DPP). DPP assures overall administrative, economic and financial control exercised by the Ministry of Economy and Finance over the state enterprises and legal entities in which the government has a stake subject to national, international and private law, which are financially supported or guaranteed by the state.

General State Inspection *(Inspection Générale de l'Etat – IGE)*, in the Presidency. Its main mission is control and inspection of the whole public sector with the objective of promoting good governance.

Chamber of Accounts *(Chambre des Comptes – CC)*, in the Supreme Court. CC is charged with preparing an annual evaluation of the implementation of the past year's budget. It also undertakes independent inquiries of irregularities in the use of public resources.

3.4 **Côte d'Ivoire's public expenditure control system consists of both ex-ante and ex-post control functions and is exercised through internal and external control units.** Internal control units are concentrated in the Ministry of Finance, and external control units are located in the Ministry of Finance (IGF, DPP), the Presidency, and the Supreme Court (see Figure 3.1).[32]

3.5 **This selective review of issues in expenditure control is centered around the functioning of key control agencies** (see Box 3.1). The following background and recent important developments with respect to the main control agencies are notable.

3.6 **Financial Control Directorate** *(Direction de Contrôle Financier – DCF).*

- **In Côte d'Ivoire and other francophone countries, the control of budget implementation can take place on ex-ante and ex-post basis and during the spending cycle.** As noted in Box 3.1, CF plays a preventive ex-ante role verifying a spending proposal before the DAAF commits the Government to an expenditure payment. The ex-post control phase takes place after delivery of goods and services. The CF also verifies the delivery of service or purchase of goods.

- **CFs are envisaged to play an important control role in the decentralization of central government functions.** The July 2002 elections were supposed to put in place autonomous territorial units, which would be departments with a voted budget and an elected council. At that time, there were 196 communes in the country and the proposal was to create 10 new communes. The CF procedures would have to be applied to these territorial units to avoid the risk of local diversion of public funds. The fact that elected heads of local units would have limited experience in public finance management requires a CF-type control which for the first ten years would be limited to the priority expenditures such as personnel compensation, investments, and equipment. The decree 2000-814 of Nov. 15, 2000, provided the DCB *(Direction du Contrôle Budgétaire)* with a deputy directorate for managing the units. Its main task was to make operational a financial information system in the communes while the CF would play the aforementioned control role.

[32] As explained in the previous chapter, the *Direction Générale du Budget et des Finances* (DGBF) is at the center of the budget process as it formulates the annual budget, enters the budget data into the SIGFIP information system, and manages the regulatory system dealing with budgetary commitments. The Director General supervises the Financial Control, which carries ex-ante and ex-post reviews of budgetary expenditures.the *Direction du Contrôle Budgétaire* performs this function for all expenditures incurred by the government enterprises and the *Direction de la Dette Publique* does the same for investment expenditures co-financed by donors.

3.7 **General Financial Inspectorate** *(Inspection Générale des Finances - IGF).*

- **The General Financial Inspectorate (IGF) carries out an ex-post audit of budget execution and investigates misuse of public funds at the request of the Minister of Finance.**[33] This inspectorate participated in the high-profile investigation that uncovered the CFAF 18 billion diversion of EU funds. IGF collaborates in audits with the General State Inspection (IGE), which has a wider mandate covering all official activities.
- **The IGF has undergone a difficult transition to its current status.** In 1998, the Financial Control (CF) was moved, as a directorate, from the Ministry of Finance to a General Directorate in the Presidency. This effectively shifted the control focus and power from the IGF. The Financial Control (CF) was later returned to Ministry of Finance. The IGF office in charge of the anti-corruption campaign was moved in 1999 to become a committee in the Prime Minister's Office. This committee was dissolved in 2001. The IGF intends to reconstitute the anti-corruption group as part of its structure

3.8 **General Directorate of the Treasury and of Public Accounting** *(Direction Générale du Trésor et de la Comptabilité Publique* – DGTCP).

- **Treasury and Public Accountant Office (DGTCP)—which manages the accounts of the government and** the functioning of all public and private entities which deal with public resources consists of central services and decentralized units. At the center, it has four directorates, including Public Debt (*Direction de la Dette Publique—DDP*) and the State Judiciary Agency (*AJT*), and five attached services, including the General Inspection of the Public Accounting (*Inspection Générale de la Compabilité Publique et du Trésor—IGT).* The decentralized services include: (i) the public accountants of the regional and departmental treasuries; (ii) the secondary accountants, such as the regional and municipal treasuries; and (iii) the accounting agents of the public enterprises and special accounts.[34]
- **The Treasury has been implementing measures designed to strengthen capacity, streamline internal procedures, and increase transparency and accountability.** These include preparation of a number of internal manuals, including the Code of Conduct and a Guide for External Financial Transactions to help fight fraud in the use of external donor funds (see Box. 3.2).

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[33] Since 2000, it has investigated 6 enterprises including the Autonomous Debt Agency (CAA), Société des Transport Abidjanais (SOTRA), Société d'Exploitation des Aéroports et de la Météorologie (SODEEXAM), AERIA, Société Nationale de Recouvrement de Côte d'Ivoire (SONARECI), and Société Ivoirienne des Postes et de l'Epargne (SIPE).

[34] The Treasury has about 1,600 agents. Within this total, the IGT controls the operations of the public accountants and the application of the appropriate legislative and regulatory texts. This structure has 27 high level staff of whom 21 are inspectors, including an inspector general and his deputy. The IGT has a network of 286 accountants, which is disproportionately large compared with the number inspectors.

Box 3.2: Côte d'Ivoire - The Treasury's Initiatives to Increase Transparency and Accountability

In 2002-03, the Treasury implemented the following initiatives to strengthen internal procedures and increase accountability and transparency:

- **Guide for the Paying Agent**: a summary of regulations to ensure transparency in the payment of public expenditures;
- **Guide for the Inspector/Verifier**: techniques and procedures for control of both accounting and other services within the Treasury's domain;
- **Code of Conduct Guide**: a guide promoting fundamental values, such as honesty, impartiality and respect of confidentiality;
- **Inspection Manual for Micro-finance Institutions:** to rehabilitate the sector and provide greater safety for depositors;
- **Guide for Foreign Financial Transaction**: to fight against fraud in the banks' foreign financial transactions;
- **Manual for ASTER:** an accounting and budget software, to be implemented in Treasury as part of the Public Accounting reform;
- **Government's Chart of Accounts:** the presentation in a single document of the accounts and accounting mechanisms related to the management of public finances;
- **Guide for Investors in Insurance** : a reference document for potential investors in this domain, as well as for the government agents responsible for monitoring the insurance companies; and
- **Career Plan for the Treasury Personnel:** a manual outlining the career plan and the creation of a commission which proposes the nomination of candidates for open positions.

For the remainder of 2003, and 2004, the Treasury plans to:

- Strengthen the **collection of non-fiscal revenues** (e.g., revenues from privatization, cellular phones, oil and gas, company payments, and dividends);
- Implement the **Guide for the Inspector/Verifier;**
- Ensure a better **follow-up of the process of decentralization** (General Councils, Districts);
- Strengthen the **Public Accountants' capacity to produce financial statements** for government owned companies;
- Implement the **ASTER software;**
- Continue the **rehabilitation of the micro-finance sector;** and
- Enhance the **quality of preparation of the Treasury's consolidated operations.**

3.9 The Judiciary Agency of the Treasury (AJT) (*Agence Judiciare du Trésor - AJT*)

- **The Judiciary Agency of the Treasury (AJT)—a central directorate under the General Directorate of Treasury and Public Accounting — operates with 3 magistrates 8 financial attaches (all with a master's degree in law), 2 attaches to the law courts, and administrative personnel.** It undertakes legal actions through the penal courts in cases of public funds embezzlements. When AJT is requested to review draft agreements which engage the government in legal obligations, it provides its circumstantial advice on the form and substance of the proposed agreement. In civil matters, it can act on request to protect the rights and interests of the state. Within its

mandates of control and pursuit, AJT also ensures the execution of judicial decisions concerning: (i) the government's claims under litigation in the different jurisdictions; and (ii) the liquidation of public enterprises.[35] AJT also provides legal advice for the government on financial matters.

3.10 The Directorate of Parastatal Accounting (*Direction de la comptabilité parapublique—DCPP*) assures the control of the financial operations of the territorial administrations and the National Public Entities *(Etablissements Publics Nationaux—EPN*). This unit is attached to the General Directorate of Treasury and Public Accounting. The main responsibilities of DCPP are: (i) assistance to the public accountants (municipal treasurers, department and district paying agents, and accountants with the EPN); (ii) verification of the realism in the formulation of communal budgets; and (iii) financial and accounting monitoring of the investment projects of the territorial administrations.[38]

3.11 **The Public Procurement Directorate** *(Direction des Marchés Publics – DMP).*

- **DMP — which approves and monitors all public contracts and their amendments—ensures that the procurement process is in conformity with the procurement code.** As detailed in Box 3.1, two commissions have been established to assist the DMP in carrying out its role: (i) the commission for the opening and evaluation of public procurement (*commission d'ouverture et de jugement des marchés publics*); and (ii) the consultative commission for the approval of public procurement (*la commission consultative d'approbation des marchés publics*).

- **The DMP reform is considered to be well advanced.** The issue is important as public expenditures for procurement amount to an estimated 8-12 percent of GDP. The earlier system was considered dysfunctional due to cumbersome and slow procedures, lack of transparency in adjudications, systemic use of exceptional procedures such as direct procurement, failure to take account of management systems such as concessions, and inefficiency of expenditures.

- **A new procurement code should be submitted for approval by the Council of Ministers before the end of 2003.** The principal components of the reform were:

  - an established legal framework, including clear responsibilities in regulation, policy audits and recourse, distinct from the public entities actually handling procurement;

[35] During 1995-2000, AJT opened 142 claim cases, 26 economic crime cases, and 138 indemnity cases. The completion of these cases, however, was low due to delays in procedures in the jurisdictions, varying between 20 and 30 percent.

[36] *Revue du Trésor public ivoirien*, Octobre 2002, page 17.

- a set of modern procurement procedures, transparent and efficient procedures for evaluation and adjudicating bids, and efficient management of contracts;
- definition of responsibility levels for various decentralized and deconcentrated units;
- a sufficient institutional capacity, including recruitment of qualified staff;
- an independent control system, a judicial system of recourse, an environment distinguishing the role of oversight of procurement from that of procurement itself; and
- measures to prevent corruption incorporated in the procurement law along with applicable sanctions.

- **There is a need, however, to verify how the code is being implement in practice, in addition to several immediate challenges.** These include the composition and terms of reference of the second commission of arbitrage and reconciliation, the choice of an independent entity for external audits, and the provision for penal sanctions and their application to cases of procurement corruption.

- **The Bank will collaborate with the authorities on an analytical review of the procurement system to take the stock of implementation of the current code, prevailing practices, and the next reform steps.** During the 2003-4, the Bank is planning to prepare a Country Procurement Assessment Report (CPAR), which will cover planning capacity, procurement practices, improvements in accountability, integrity and transparency of the procurement process in order to reduce corruption, and increase conformity with best international practice.

3.12 **General State Inspectorate** *(Inspection Générale de l'Etat – IGE).*

- **IGE is a state agency for control, inspection and promotion of good governance.** This body reports directly to the President of the Republic. IGE has the following missions: (i) control, inspection of the good functioning and good governance of all the public services, parastatal entities and companies with state participation; (ii) studies, advice and assistance to the administrative and financial services; and (iii) coordination and methodological support to all the control and inspection entities.[37]

[37] Decree No. 2002-444 of September 16, 2002, covering attributions, organization and functioning of the General State Inspectorate (IGE).

- **IGE has 15 state inspectors and 10 auditors.** This entity has been given the responsibility for overseeing the implementation of the SIGFIP system for the strengthening and control of public expenditures.

- **IGE is being reorganized.** IGE's organization consists of four departments – administrative and legal affairs; economic and financial affairs; general affairs; and information, training and assistance – and two service units – administrative and financial; and documentation. This agency handles about twenty cases a year. All of its investigations must be approved in advance by the President of the Republic. The results of its investigations are submitted only to the President of the Republic. A new State Inspector General has been recently appointed to head this agency. The government is currently studying options for IGE's reorganization with the objective of strengthening its structure.

3.13 **Directorate for Participation and Privatization** *(Direction de participations et privatisations*—DPP) is also a control agency. It assures an overall administrative, economic and financial control of the execution of the budgets of state enterprises with state participation in the form of financial support or state guarantees (state enterprises or private legal entities with public financial participation under national or international law.).

3.14 **The Chamber of Accounts** (*Chambre des Comptes – CC*).

- **Chamber of Accounts—one of the four branches of the Supreme Court—is charged with preparing an annual evaluation of the implementation of the past year's budget, and checking irregularities in the use of public resources.** The *Loi de Règlement* (report on budgetary implementation) is to be transmitted by the Minister of Finance to the Chamber within twelve months of the close of the fiscal year for each budget year. The Chamber is required by law to evaluate and report on the budget in a report to Parliament.

- **The record of ex-post evaluation of budget implementation has been uneven at best, but improving before the conflict.** For example, in the period 1967-94, all the "*lois de règlements*" were received at once for review by the Chamber. Thus, the submissions were up to 27 years late. The Lois for the years 1995-97 were also received at once. In January 2002, the Lois for 1998, 1999 and 2000 were received in one submission. The Chamber has transmitted 200 copies of its report to the ministers and mayors as well as to the National Assembly. The Chamber plans to complete its examination of the 2001 law by the end of 2003. The Ministry of Economy and Finance is finalizing the 2002 law. The Government also plans to submit the *Loi* for future years in conformity with the law.

- **A reform has been prepared to transform the Chamber into an Accounts Court (*Cour des Comptes*), which would be the principal agency of audit oversight of the use of public financial resources.** It will have triple attributes:

Judge, Auditor and Consultative organ. The Court would also audit the elected officials at the decentralized level. The draft law of the reform proposed to set up regional Account Chambers to work at the level of the communes, but this is seen as a lesser priority, particularly in view of difficulties in identifying qualified personnel. A draft law establishing the Court of Accounts has been submitted to the National Assembly.

- **The current reform calls for the selection of judges of the Court from the corps of magistrates.** The draft law calls for 8 legal counselors, and 10 other counselors. The auditors may be recruited from the graduates of National Administrative School (ENA) as well as recipients of doctorates in economics. A weakness is the lack of public finance training of judges nominated by the *Conseil Superieur de la Magistrature*. The Chamber is training staff in preparation for its transformation into an Accounts Court.

Box. 3.3: Côte d'Ivoire - The New Public Expenditure Review Unit (CRDP)

A new public expenditure review (PER) unit was proposed as an integral part of the institutional reform in the Ministry of Finance, recommended by the EU. The idea was for CRDP to carry out general and sectoral public expenditure reviews In October 2002, the EU carried out a study to advise on the structure, functioning and an action plan for the unit. It emphasized the need to use PERs and the Medium Term Expenditure Framework (MTEF) for greater coherence between expenditure priorities and anti-poverty strategies, especially in health and education, as well as the need for expenditure tracking. The work program of the unit would be agreed with the World Bank, the EU and other partners in development.

The specific proposal is to attach the CRDP to the deputy Director of the DGBF and to provide it with a steering committee. The staff would consist of an auditor general and 5 analytical auditors (auditors/evaluators) for each priority sector, a macro economist, a statistician, and support staff. The Steering Committee would consist of the Prime Minister's Office and General Director of the Budget, the Chief of SIGFIP, the Accounts Chamber, the other inspection services and the donors. It would approve the terms of reference of the Public Expenditure Review unit and validate its reports. Personnel has already been recruited for the unit and a technical assistant has commenced work, under a two year contract.

The CRDP would be primarily an analytical office and could intervene to help resolve specific problems in budget implementation. The CRDP would be involved in the first allocation of HIPC funds to be submitted to donors.

CRDP tasks are listed below.

- collect and analyze information on expenditures;
- follow the implementation of the budget through the SIGFIP and ASTER systems in a form usable by the users, including the needs of HIPC;
- do a rapid assessment of various programs and propose actions plans to correct problems, including SIGFIP;
- review expenditures for quality and impact on targeted population;
- prepare periodic sectoral reports.

CRDP's work program would include the following.

- the presentation, before January of each year, of the accounts of SIGFIP and ASTER for the past fiscal year, with a critical analysis;
- the definition of the statements required by: project directors, the Account Chamber, and donors;
- the identification of dysfunctions in the system.

MAIN ISSUES

3.15 **There are two main issues concerning Financial Controller *(Contrôleur Financier—CF)*: excessive ex-ante controls followed by ex-post controls, and the gap between its extensive mandate and resources available.** (For specific recommendations on these issues, see paragraph 3.22 in the next section).

- **Excessive ex-ante controls lead to payment delays.** The budget control function is based on ex-ante controls, to ensure that the budget law voted by Parliament is implemented and that unauthorized expenditures do not take place. This is followed by controls during and after the implementation and after payments are made. The system has led to delays, an excessive number of control agencies, and difficulties for operating departments to meet their program and development objectives. The system may be contrasted with the Anglo-Saxon "Westminster model," based on the private sector, which emphasizes ex-post controls while minimizing ex-ante controls.[38]

- **The personnel and equipment of the Financial Control office are not sufficient to perform the extensive control functions of its mandate.** The CFs are not present in all the regions, even at the of level of Prefect. The Financial Controller (CF) suffers from the redundancy of controls on the part of the budgetary authorities, the Treasury, the public accountant, all of whom perform verifications already done by others. A reform is necessary in order to reduce delays in the process and improve transparency. The main sources of redundancy of controls lie in the following institutions:

  - the Financial Control Office, which verifies the expenditure commitment, including the control of payment order and the definitive invoice;
  - the Budget Office, as it intervenes in the control of expenditure commitment; and
  - the services of the Treasury and the Public Accountant Office, as they intervene in the modalities and commitment to spend.

3.16 **In addition, there is a question of capacity for control that arises in the course of decentralization.** To control local expenditures, CFs roles should be *deconcentrated* to carry out expenditure tracking at the level of communes, general councils, and COGES, which requires a modification of CF procedures. However, the sheer magnitude of the decentralization task is daunting. For example, there are 3,000 COGES (parent elected school committees) and it would not be possible for CFs operating out of the prefectures to track expenditures in every school. Therefore, to be effective, the CFs would also have to be *decentralized* to deal with decentralized public spending organizations. The Financial Control Directorate (DCF) envisages extending its activities to the territorial collectivities. In view of the number of local units to be set up, it may be useful (according a EU report) that the CF perform the functions of the DCF a

[38] See, for example, Finatou : "*Pour une Reforme des Controleurs Financiers*", World Bank Working Paper (2001).

the local level. A unified control system at the local level would greatly improve public finance management efficiency and accountability.

3.17 **The problem facing IGF is its lack of qualified personnel.**

- **IGF has difficulty attracting qualified personnel.** This office is authorized to have 9 general inspectors in two divisions and 6 sections but, by early 2003, only five were in place. The six sections are supposed to be staffed by 18 Finance Inspectors, but only 8 had been appointed. There are also supposed to be 18 verification inspectors, but only 8 have been appointed. In total, at all levels, it must recruit 30 new staff out of a total of 45 authorized. It is conducting training programs for new staff. Attracting qualified personnel remains difficult because of the low level of compensation compared to the tax office, which is the source of recruitment of the General Inspector. Most civil servants consider this office as a pre-retirement position, with limited career prospects. Expense allowances for travel within the country are also inadequate.

3.18 **The Treasury has implemented a number of useful initiatives to strengthen capacity, transparency and accountability under its control.** In January 2002, the Treasury introduced an information system, ASTER, which computerized the public financial accounts, and partially duplicates the functions of SIGFIP. The coding of the two systems has been recently harmonized, to allow the transfer of data among them.

3.19 **The General State Inspectorate (IGE) does not have sufficient independence to be able to fully exercise its mission to promote good governance.** Article 19 of the decree which defines the missions and functioning of this organism presents an incoherence: IGE can start investigations on its own initiative, but it is also specified that "In that case it has to have an authorization issued the President of the Republic."

3.20 **Finally, there are several questions to be clarified regarding the Public Expenditure Review Unit (CRDP) (see Box 3.3 for proposed mandate and tasks).** (For details of recommendations on CRDP, see paragraph 3.23 in the next section.).

- **It is not clear if the CRDP should and, if so, how it would carry out effective expenditure tracking with its limited resources.** With a professional staff of only 5 auditors, it does not appear possible to track expenditures to the local level in a budget as large and complex as that of Côte d'Ivoire, especially given the other analytical and methodological tasks it is being asked to carry out.

- **The CRDP could, however, act as coordinator of the HIPC priority determination exercise.** Similarly, the CRDP would be too small to be responsible for *general or sectoral* expenditure reviews. But it could probably carry a coordinating role and bring together the elements needed to incorporate HIPC priorities in the budget.

- **There is also a danger of CRDP's role being minimized.** As part of the DGBF, CRDP would not have access to higher authorities except through the steering

committee, which is an advisory, not an operational body. Donors may also want a more direct link with policy makers concerning the availability and priorities for the use of budget and HIPC aid.

Box 3.4: Coordination by the Development Partners in Strengthening of Public Expenditure Controls

Strengthening of public expenditure controls is also an objective of the other partners in development, notably the European Union (EU) and the African Development Bank (AfDB). These two institutions are assisting the government in this domain. This document takes into account the analysis and reforms promoted by these two institutions. The EU and AfDB program is concerned with the control agencies listed below: (i) the modernization of their legal framework; (ii) the clarification of mandates and organizational structure; (iii) the deconcentration of management; and (iv) the provision of equipment. This assistance includes the creation of a Public Expenditure Review Unit (CRDP), reporting to DGBF. In particular, the program will address, particularly, the following objectives:

Within the Ministry of Economy and Finance

- **General Directorate of Budget And Finance**: clarifying the role of the DAAF, currently reporting to both a sectoral ministry and the Ministry of Economy and Finance;
- **Public Expenditure Review Unit**: monitoring of HIPC expenditures and public expenditures generally;
- **Financial Control Directorate**: carrying out a study to determine the feasibility of unifying this function under a Financial Control Directorate reporting directly to the Ministry of Economy and Finance;
- **Public Procurement Directorate**: the finalizing the legal framework for public procurement, as well as the strengthening transparency and procurement control capacity;
- **Judicial Agency of the Treasury**: strengthening capacity to represent the state, and the management of litigations;
- **Directorate for Participation and Privatization**: strengthening capacity for control of the budget execution of state enterprises and legal entities with financial participation or guarantees by the state.
- **General Financial Inspectorate**: carrying out a diagnostic study to assist the government in redefining the mandates of the various control units; and
- **Court of Accounts**: assistance in the drafting implementing regulations for the organic law (attributions, internal regulations, role of the accounts magistrates).

Source: Délégation de l'Union Européenne en Côte d'Ivoire « Programme d'appuis à la mise en ouvre des mesures correctives du système de dépenses publiques », signed on July 16, 2003.

RECOMMENDATIONS AND RATIONALES

3.21 **In reorganizing the control system, greater emphasis should be generally placed on *ex-post controls* versus ex-ante controls.** To be effective, controls must combine *discipline and flexibility* to make the system more responsive and efficient.

3.22 **To streamline the operation of expenditure controls—especially the role of CFs—the authorities could consider the following recommendations.** In the short term:

- **The authorities could consider greater autonomy for the CFs.** In the current structure, the CF lacks *autonomy* vis-à-vis all the general directorates including the DGBF. The CF currently has only 14 of the authorized 19 regional controllers able to provide controls at the decentralized level. The other 5 are not functional, due to blockages related to the war situation. The central administration has 12 controllers. But all come under the supervision of the Minister of Finance and are administratively placed in the DGBF.

- **In order for the CF to take over control of deconcentrated public units/organizations, the 14 regional CFs would have to be increased to the 19 currently foreseen.** A program is under way which includes the recruitment of 25 CFs.

- **The SIGFIP would also have to be extended to all the regions where the CFs would be operational to provide the computerized information system needed by the tracking system**. Currently, the SIGFIP is operational only in about ten locations. It would possibly be feasible to extend the computerized SIGFIP system to deconcentrated agencies below the regional level in the short term. At the same time, redundancies identified in the section on main issues in Financial Control Office, Budget Office, and Treasury and Public Accountant Office should be considered for reform.

3.23 **Regarding the General Finance Inspectorate (IGF), in the short term, and to promote the fight against corruption, its report should also be distributed to the National Assembly and published in the official journal**.

- **In the medium term, IGF requires a substantial increase in trained personnel, equipment, and vehicles, if it is to perform its audit and verification function with respect to public expenditures.** Its inspection reports should be systematically followed up with a view to holding officials accountable and sanctioning those convicted either in the courts or through administrative measures.

3.24 **Regarding the General State Inspection (IGE), the following recommendations should be considered in the short term**:

- **To ensure its independence, IGE should have the authority to initiate its investigations without the previous authorization from the President of the Republic.**

- **IGE, similarly to IGF, should produce and publish an annual report on its activity**. This report should be addressed to the President of the Republic, who would make it available to the Council of Ministers and the National Assembly, and should be published in the official journal.

- **In the medium term, the General State Inspectorate (IGE) should be strengthened to enable it to carry out, on its own initiative, substantive inspections of the public sector.**

3.25 **Regarding the Public Procurement Directorate (DMP), the following measures should be taken in the short term, in order to alleviate the impact of the conflict on public procurement**:

- **To facilitate the execution of the procurement funded by the World Bank and AfDB, the project managers, should proceed with the following steps** to: (i) cancel the contracts awarded in the former war zones that had not yet been started; (ii) cancel the contracts to be executed in the former war zones by the enterprises whose rate of execution is below 10 percent or which have lost their main assets due to the war; and (iii) redefine a new calendar of procurement execution;
- **The National Committee for Coordination and Monitoring (CNCS) of the public procurement reform should transmit to the AfDB and the World Bank the priority measures**; these measures should be taken to mitigate the negative effects of the conflict and facilitate the recovery and effective procurement within the framework of these projects.

3.26 **In the medium term**:

- **DMP should implement a functional system for the monitoring/evaluation and measurement of the performance of the current system**. This system should follow more specifically the effectiveness of the institutions handling complaints and of the independent technical audits of the public procurement.
- **A new personnel statute may be required for those responsible for public procurement in order to ensure their financial and operational independence.** Training DMP's personnel as well as other civil servants in the DAAFs, Prefectures and localities could be greatly improved by the use of the long distance learning system developed by the World Bank Institute (WBI) in partnership with *Institut International d'Administration Publique (IIAP)* in Paris.[39]
- **In addition, medium term procurement reforms should include:**
  - harmonization of Côte d'Ivoire's code with that of the UEMOA; and
  - a decentralization of public procurement to the local level.

3.27 **Regarding DPP, its monitoring of state enterprise activities and closures should be reinforced to ensure that enterprise closures proceed in an orderly manner to avoid major liabilities on the books of the government and the budget.** In addition, in order to optimize the government's portfolio, it is advisable for DPP to

[39] So far, 15 DMP staff have participated in the long distance learning course.

proceed as soon as possible with the separation of functions of paying agents and that of the accountant, a fundamental principle of public accounting.

3.28 **Regarding the Public Expenditure Review Unit (CRDP), the authorities could consider confining its role to the following four main, short-term tasks**:

- providing analytical and methodological support;
- identifying major problems in the budget implementation process, such as payment delays due to the SIGFIP system;
- providing a venue for interaction with donors on budgetary implementation; and
- developing a methodology for measuring the social and economic impact of poverty reduction programs and public spending in key areas, in conjunction with the Ministry of Plan and the sectoral Ministries.[40]

3.29 **The Accounts Chamber should be converted over a medium term into an Accounts Court with its own budget and more qualified staff**. This conversion would provide greater authority to this function. It should evaluate the efficiency of control services, and report regularly on the outcome of the last budget (*Loi de Règlement*);[41] this report should be published in the official journal.

3.30 **Regarding making the expenditure tracking system effective, the following two short-term steps could be considered.**[42]

- **For the purposes of control and tracking, expenditures should be grouped at the local level and not be specified by budgetary line item.** Documentation justifying spending authorizations and for auditing should be a simplified version of what is required for spending units at the regional and central levels. This will speed up disbursements and facilitate ex-post expenditure control.

- **Pilot project studies on expenditure management in education and health should be launched as soon as conditions permit, in order to have the systems in place before budgetary and HIPC donor aid becomes available.** Capacity building at the local level is urgently needed. Additional personnel with training and material resources will be needed.

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[40] The proposed steering committee of the CRPD appears to be too cumbersome to function effectively, given its size. There is concern that the service proposed inside the DGBF could not be responsible for the priority list of additional social expenditures, as this would be mainly the task of the sectoral ministries. The service could also not conduct effectively Public Expenditure reviews (PERs) of the sector ministries or be completely responsible for expenditure tracking as required by donors and the HIPC system.

[41] For background on the accounts chamber, see paragraph 3.11 in the previous section.

[42] For background on expenditure tracking, see paragraphs 2.19-2.25 in the previous chapter II and the box 2.2.

3.31 **In the medium term**:

- **Expenditure tracking could be conducted by the financial controller (CF) in each ministry and managed by the Ministry of Finance.** The CFs should be present in the prefectures and sub prefectures in order to track expenditures at the collectivities and COGES level. Tracking at the local level should be selective and supported by a posteriori audits by the Court of Accounts, the IGF and the IGE, also on a selective basis. The CFs will require substantial new trained personnel, equipment and vehicles.

- The information system at the local level (commune and COGES) should be a simplified version of what is required at the prefect level for the SIGFIP. The system should be able to be operated without computers at the local level.

AFTERWORD:

ENSURING IMPLEMENTATION OF THE REPORT'S RECOMMENDATIONS AND DELIVERY OF BASIC PUBLIC SERVICES UNDER STATUS QUO

1. This report was completed in October-November 2003 under the assumption that the political tensions at end-September would be resolved and a fully functioning government of national reconciliation reestablished. As of writing, however, this has not happened. This leaves open twin questions: how will the government ensure (1) the implementation of measures recommended and agreed in the report to address urgent, systemic issues of public expenditure management, and (2) delivery of basic social and humanitarian services across demarcation lines in a period of transition—until the country is reunited. All parties in the government of national reconciliation are, therefore, urged to consider pragmatic ways of collaboration to ensure that funding of essential services in the most affected areas is ensured, including through donors' assistance, and that it reaches the most needy beneficiaries quickly and efficiently.

2. As discussed during the several post-conflict missions, the most urgent needs in the most affected areas seem to be the following:

- returning to school of about 500,000 pupils and students displaced by the war;
- supporting demobilization and reintegration of ex-combatants (DDR);
- ensuring permanent housing of about 20,000 displaced persons after the destruction of the Abidjan shantytown neighborhoods during the crisis;
- alleviating the HIV/AIDS crisis; and
- improving the supply of basic social and infrastructure services, especially in the areas affected by the war.

3. These needs cannot be fully met until financial flows between the areas controlled by the central government and those under the control of *Forces Nouvelles* are reestablished. Therefore, the authorities—all parties that formed the government of national reconciliation—are advised to discuss and urgently agree on ways to reopen those flows, at least for the purpose of a minimum social and humanitarian programs to be delivered in collaboration with the international donor assistance. The sooner such a package of programs and/or pilot areas (e.g., areas of implementation of DDR/RRR) are defined and agreed, the sooner will the critical needs of those most affected by the war be met. It would also serve as a confidence building mechanism, a joint work that could strengthen collaboration among various parties towards genuine reconciliation. The Bank staff—in collaboration with other donors and the authorities—will be ready assist and discuss concrete ideas about how to implement such measures.

4. Beyond the emergency phase, the authorities will need to include decentralization in their reforms, by reinforcing local capacity, strengthening budget discipline, and making the local agencies accountable. Inter-governmental fiscal relations between various levels of government (central, regional, and local) will likely have to be rebuilt with greater participation and delegation of powers to the local level. The Bank is ready to help the authorities resolve these delicate issues during the on-going dialogue and the preparation of the second report on public expenditures. The Bank will also contribute to this process of decentralization by ensuring that the services resulting from its projects will reach the local communities and final beneficiaries.

ANNEXES

ANNEX 1: THE LOW DISBURSEMENT OF DEVELOPMENT PROJECT ASSISTANCE

THE PROBLEMS AND THEIR MANIFESTATIONS

The Problems

Recent experience in the execution of the projects in Côte d'Ivoire revealed certain problems with the effectiveness of the use of externally funded development projects, especially the low disbursement rate; the problem is especially acute for Bank projects and it is present both at the central government level and the implementing agencies. Currently, the disbursement rate on the Bank's portfolio in Côte d'Ivoire is only 11 percent compared to about 20 percent for the Africa (see Figure 1 in this Annex below.). The majority of the Bank's existing projects will not be executed in a timely fashion unless urgent steps are taken to accelerate disbursement from the special account. The disbursement problem has been present since the mid 1990s when the Government centralized the management of IDA Special Accounts. At that time, the fiduciary responsibility was transferred from Project Managers to the Government. The problems worsened in 1999 with the escalation of political instabilities, also coinciding with the introduction of the SIGFIP. But they became particularly acute since the civil war of September 2002.

The low disbursement of projects threatens the implementation of the post-conflict external assistance, especially the emergency program of the Bank. The Bank's new lending emergency program for the first year amounts to 165 million dollars (of which $45 million for the DDR/RRR project, $50 million for the project MAP VIH/SIDA, and $70 million for emergency budget support).

Despite the 2002 crisis and the complicated conditions during much of 2003, the authorities attempted to address the issue, but the disbursement problem remained acute. For example, the authorities adopted a less detailed expenditure nomenclature, therefore avoiding the long procedures for reallocation of funds across budget line items. The Government also trained the relevant staff at all levels (i.e., project implementation unit directors and accountants and the DAAFs). However, the problems remained.

The Short-Term Objectives of Corrective Measures

The urgency of the problem requires that corrective measures result in a major reduction in the maximum delay in disbursement of funds from the special account. Specifically, corrective measures in the short term of up to three to six months should achieve the following:

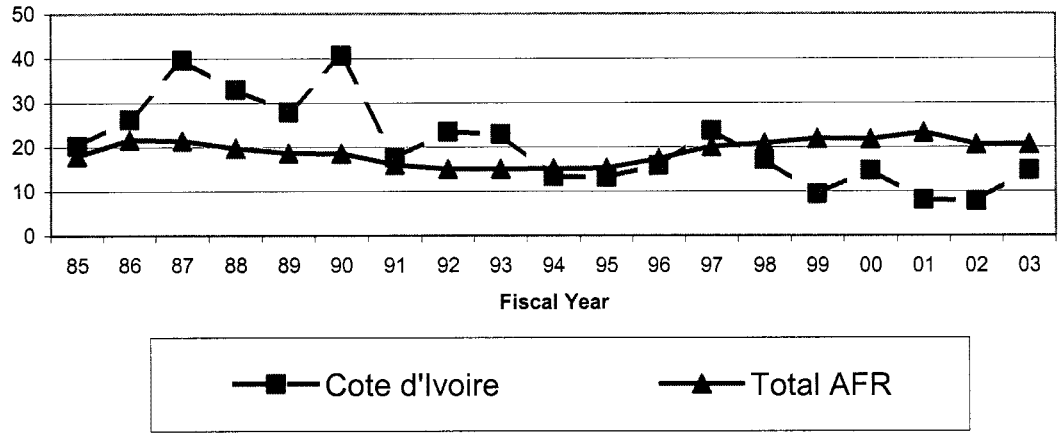
- reduce the average disbursement delay to 1 to 2 weeks from the commitment of funds to payment. This reduction should be achieved in the short term of the next two months (i.e., ideally by end-November 2003).

- use established procedures for budget transfers/subsidy for the projects in the emergency program and advance payment rules (i.e., *Régie d'avance*) for all other projects of the Bank, as a temporary solution until SIGFIP procedures are streamlined to the extent that payments to beneficiaries may take place within one to two weeks. Projects disbursement could then be integrated into the SIGFIP's procedures without current delays and the parallel system of *régie d'avances* would be dismantled.

- strengthen training of all participants in the chain of public expenditure execution.

- increase the disbursement rate of the Bank portfolio from 11 percent to a least 60 percent.

Figure 1. The Bank Project Disbursement Ratio (in percent) 1/
Cote d'Ivoire vs Total Africa Region



Source: World Bank comptroller's data.
1/ Disbursement ratio is defined as disbursement in the Bank's fiscal year (July 1-June 30) divided by undisbursed balance at the beginning of the year. The ratio applies only to investment loans.

Manifestations of the Disbursement Problem

The problem of low disbursement of Bank projects has multiple roots and manifestations—detailed below—and is only in part related to the efficiency of the functioning of the SIGFIP system. This section details the various sources and manifestations of the problem, including areas where it touches on the functioning of the SIGFIP system.

Once the annual budget process is initiated, IDA resources are effectively frozen for disbursement until the passage of the new budget. As a result, project units have increasingly asked the Bank to make direct payments to speed project execution. The funds of the IDA credits undergo the same budgeting process as the government's national budget. As a result, IDA funds are not available for disbursement to projects implementation units until the national budget is voted on; only salary expenditures and some functional expenditures are authorized. This creates a backlog of unpaid invoices and resulting problems with project suppliers. IDA funds are made available through the special account held at the state bank *Caisse Autonome d'Amortissement (CAA)* immediately upon project effectiveness. But disbursement of funds from the special account—for all projects—has been considerably delayed. Because of the complex, multiple and lengthy controls, project units have avoided using the Special Accounts and have been sending instead large volumes of direct payment requests to the Bank. At the request of clients, the Bank has, in fact, substituted itself to the Government in effecting direct payments, due to expenditure execution inefficiencies. A high percentage of Special Account funds have remained dormant at CAA, while suppliers in Côte d'Ivoire waited several months for their payments.

The Treasury has established monthly/quarterly ceilings on the disbursement of funds and disbursement of IDA projects is subject to these ceilings. For the purposes of treasury management, monthly ceilings (or quarterly) ceiling are established on expenditures for each ministry. Disbursements of IDA credits are also subject to the ceilings even though the resources are available in the special account of the credit. Once IDA funds invoicing exceeded the ceilings—as was often the case—the payment to suppliers was simply not released. This, in turn, jeopardized relations with project suppliers and may have caused additional delays later on.

There is occasional lack of required government's counterpart funds. It has been two years that Bank projects have not received complete allocations of counterpart funds. The revisions made during the past year resulted in further *reductions* in counterpart funds, rather than the promised disbursements. The problem is acute since some projects saw their requests for counterpart funds for 2002 cut in half. This problem affects projects at two critical junctures: (i) *projects at the beginning of execution*, which cannot initiate start-up activities; (ii) *projects at the end of execution*, for which counterpart funds are based on the amounts of remaining balances of the contracts to be paid. Without adequate counterpart funds, there is a risk that the project is closed without these expenditures being paid to suppliers who had already delivered the services. During project implementation, irregular and untimely deposits of counterpart funds also compromise contract payments and timely financing of project activities. For example, due to delays or non-payments, small businesses often stop executing contracts in the course of implementation, and sometimes have gone bankrupt. This lack of counterpart funds can also, block the transfer of the funds under the decentralized advance payment procedure *(Régie d'avance)*.

Procedures to effect payment under the SIGFIP have been implemented with excessive time lags. Recent experience shows that the process of making payments may

take an average of 3 to 4 months and sometimes six months or more. These delays originates from several sources:

- The number of steps required to effect payment is excessive.

- Project management is not informed when there is an error and this does not allow the payment request to advance and when there is an unjustified delay in the execution of payment requests. The project units should also assure regular monitoring of payment processing.

The absence of statutory deadlines for tasks of the processing agents and handling the requests by the DAAFs, at best, does not stimulate efficient and timely task completion; at worst, it may open room for excessive bureaucratic discretion and even corruption.

The high turnover and sometimes inadequate experience/skills of the DAAF have compromised the efficiency of this critical function in public expenditure management; there may also exist governance problems. The turnover rate of the DAAF remains very high. Since the implementation of the SIGFIP in 1999, almost all the DAAF were changed. Perhaps related to the high turnover rate, the mix of experience and skills of some DAAFs have been below the requirements of this complex function. This is a structural problem in human resource management at the ministry level, but it has become an equally important source of delay in the treatment of payment requests and the lower level of disbursements.

The SIGFIP is excessively centralized and the projects are not connected to its network. Important effort was made to decentralize the SIGFIP but the process is far from complete. After the successful installation in Yamoussoukro and Bouaké, six districts (Abengourou, Bondoukou, Aboisso, Agboville, Grand-Bassam and Dabou) and three sub-prefectures (Bingerville, Ayama and Bonoua) have been connected to SIGFIP in 2003. The authorities are planning the connection of about twenty cities in 2004. With the end of the civil war, there is a need to accelerate decentralization of the system and efforts should continue in this direction.

AGREEMENTS REACHED AND IMPLEMENTATION STATUS OF THE MEASURES TO ACCELERATE BANK PROJECTS DISBURSEMENTS

During the PER mission from August 28 to September 5, 2003, an agreement was reached with the Ivorian authorities to significantly increase the level of disbursements of the Bank's portfolio of projects. This agreement covers the three (3) post-conflict emergency projects (DDR, HIV/AIDS and EERC) and the six (6) other existing projects to be restructured within the context of the emergency program to be implemented as part of the post-conflict reengagement. The PER mission of November 2003 noted with satisfaction that certain important agreements have already been implemented. Others are under implementation. The current note summarizes the agreements reached and their current status of implementation. The two parties have agreed to organize weekly follow-up meetings, with the participation of DGBF, DGP,

DGCPT, ACDT, DMP, the project managers, and the World Bank, to examine remaining issues and difficulties in implementing the agreement to accelerate disbursements during the coming months.

The agreements implemented

1. **The initial agreement called for the recording of the funds for the Bank projects in the national budget as *(i) capital transfer* for the three new projects of the post-conflict emergency phase; and *(ii) régie d'avance* for the other projects in the emergency program (PASEF, PDSSI, PNGTER, PACOM, CI-PAST).**

   - **Current situation: Achieved.** The steps taken by the government are more favorable than the initial agreement. In fact, the government has put the three (3) new post-conflict projects (DDR, HIV/AIDS, EERC) under the procedure of *capital transfer/subsidy*,[41] the six (6) emergency projects under *advance payments procedures for execution outside the SIGFIP*,[42] and the other projects in the Bank's portfolio under *régie d'avance*.[43] In fact, the World bank has proposed to add to the five (5) first projects a sixth emergency project (PAS-PRIVE) under the advance payment procedure to be executed outside SIGFIP. It should be noted, on the other hand, that the APEX-CI (export promotion) component of this project is already under the capital transfer procedure.

2. **Exclude the IDA projects from the quarterly budget ceilings**

   - **Current situation: Achieved** – The letter No. 1607 from DGBF, dated October 20 2003, addressed to ACDP, the project managers and controllers, settles this problem.

3. **Clarify the restriction about the quarter of the amount allocated to the budget line instead of the cumulative amount of the eligible expense lines under the special account.**

   - **Current situation: Achieved** - The letter No. 1607 from DGBF, dated October 20 2003, addressed to ACDP, the project managers and controllers, settles this problem.

4. **Harmonize the procedures in the expenditure processing cycle,** notably by providing all projects with an exhaustive list of documents which should accompany the requests for payment.

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[41] Concerning the capital transfers, they have already been recorded in the 2004 budget under preparation.

[42] The MEF has informed ACDP, the project managers and controllers, by letter dated October 24, 2003, of the authorization, granted on an exceptional basis, to execute the project expenditures under the special accounts procedure.

[43] The letter No. 1621, dated October 20, 2003, to the project managers, informs them of the creation of the special accounts.

- **Current situation: Achieved** – The project managers have already been informed of the standard documents to accompany the requests for payment. The list of these documents is included in the Guide for the Paying Agent edited by DGTCP.

5. **The project managers have not yet opened the special accounts as of November 12, 2003.**

   - **Current situation: Achieved** – The establishment of the advance payment for the six (6) emergency projects (CI-PAST, PDSSI, PASEF, PACOM, PNGTER, PAS-PRIVE) and the capital transfers for the three (3) new projects (DDR, MAP/HIV, EERC) have resolved the problem. The other World Bank projects will have to make their own arrangements to establish their special accounts.

II. The agreements under implementation

6. **Avoid freezing the IDA resources, for lack of counterpart government funds, before the budget vote by the National Assembly and its implementation by the MEF.**

   - **Current situation: Being resolved.** The 2003 situation was exceptional because of the late voting of the budget due to the crisis. The voting of the 2004 budget within the delays anticipated by the law should solve this situation through the establishment of the government counterpart funds from the beginning of the fiscal year.

7. **Reinforce the DAAFs' capability.**

   - **Current situation: Under study.** The government recognizes the problems resulting from the high DAAF turnover as well as their capabilities and is examining this issue. The possibility of training the DAAFs at the SNDI will be examined. Adjunct DAAFs will be appointed to reduce the work load of certain DAAFs. The mission has discussed the modalities for reinforcing the DAAFs, particularly through the initiation of a training module on SIGFIP at the ENA, as a medium- and long-term solution.

8. **Release of the special accounts balances to the projects**

   - **The current situation: the CAA releases the special accounts balances to the projects only once a month.** This is a cause of delays in the submission of the special accounts replenishment requests. The authorities commit to request the CAA to provide the accounts' statements to the projects every ten days. In addition, the authorities have committed to allow the projects to obtain these statements directly at the CAA, without passing through ACDP.

Access to the Bank's intranet will be provided to the projects to enable them to check the DRF and special account status.

9. **Provide DGBF and ACDP the treasury and procurement plans.**

   - **The current situation: Not achieved**. The projects have committed to forward by November 30, 2003, at the latest, these plans to the following organizations: DGBF, ACDP, DMP, DGCPT and the World Bank.

10. **Reduce the established delays for the amendments to the credit agreements, the non-objection notifications and the special account replenishments.**

    - **The current situation: Continuing important delays and inadequate response to the needs of the emergency phase.** The Bank has taken note and commits itself to sensitize the project task managers before November 30 to reduce substantially these delays. A monthly meeting, through video-conference, will be organized by the Bank with the Ivorian authorities, the project managers in the country and the project leaders in Washington.

11. **Reduce delays in the expenditure execution cycle.**

    - **The current situation: The DGBF has made efforts which should still be consolidated.** The summary table of the delays in the expenditure cycle provided by the PDSSI project director to the authorities shows that there were still efforts to be made to reduce these delays. The DGBF commits itself to mobilize different actors to this end. Proposals have been made to address technical delays , from the commitment to the payment order; these proposals must be formalized through an instruction from MEF. For the projects of the emergency phase, it has been agreed to maintain the established procedures.

12. **Simplify the procedures for the remaining procurements for the emergency projects.**

    - **The current situation: Clarification necessary (discussions taking place).**

13. **Budget constraints on the counterpart funds.**

    - **The current situation: Treasury's cash-flow problems.** The current cash-flow problems in the treasury do not allow granting priority to the projects during the allocation of counterpart funds. Consequently, the authorities ask that certain credit agreements be amended to increase IDA's rate of participation; one example is PDSSI whose counterpart has been reduced to 18 percent (the VAT rate) instead of 30 percent initially. The Bank agreed to examine this request.

14. Procurement execution at the local level.

- **The current situation: Limited.** The domain of intervention of the projects during the emergency phase is mainly at the local level. In their present form, the credit agreements do not leave room of maneuver on this issue. The authorities would like, in view of the urgency, that certain agreements be amended to allow the execution of procurement at the local level. The Bank will examine this request during the meetings with the project leaders in Washington.

Problems specific to the six (6) projects in the emergency program

CI-PAST

14. Delays in the handling of the CI-PAST files at AGEROUTE

- **The current situation: Long delays.** Clarify this situation with AGEROUTE where several files are still being processed. On the other hand, the project manager was asked to take the necessary steps to replenish the special account to the authorized CFAF 2.5 billion level.

15. Text modifications to establish ex post control at the CI-PAST level.

- **The current situation**: **Not achieved** (to be clarified with the Cabinet Director of the MEF). An agreement had been obtained with the Cabinet Director of the Minister of Economy and Finance. This agreement must be formalized. It should be noted that the execution of advance payments outside SIGFIP resolves this problem.

16. Elimination of CI-PAST's arrears on the government's counterpart funds.

- **The current situation: Not achieved.** The enterprises currently refuse to execute new contracts as long as the arrears are not settled. The authorities have committed to eliminate the remaining payables as quickly as possible (arrears on the special account totaling CFAF 43.6 million and government counterpart of about CFAF 2.6 billion.

PDSSI

17. Raising the ceiling on the special account.

- **The current situation: The account has a CFAF 600 million ceiling.** For the PDSSI, the volume of procurement still to be tendered requires an increase in the ceiling from CFAF 600 million to CFAF 1 billion. The project manager will have to submit a request to the World Bank.

PNGTER

18. Recruitment of a procurement specialist for PNGTER.

- **The current situation: Clarification necessary for the recruitment and the project execution.** The basic entities through which the funds will have to transit do not have yet a legal existence. A special meeting will be organized with the Bank's project team leader. Disbursement possibilities for the entire territory will be examined during this meeting.

PAS-PRIVE

19. Recruitment of a procurement specialist.

- **The current situation: Clarification necessary (to be discussed with the Bank's project team leader on mission to Abidjan).**

PASEF

20. Difficulty in executing the training component given the high number of commitments required.

- **The current situation: Achieved.** The letter No. 1607 from DGBF, dated October 20, 2003, addressed to the project managers and controllers settled this problem. The search for ways for project in the areas controlled by *Forces Nouvelles* will be examined during the weekly meetings.

PACOM

21. All the eventual issues will be examined during the weekly meetings.

- **The current situation: No specific problem,** except for the disbursements in the areas under control by *Forces Nouvelles*.

ANNEX 2: PUBLIC EXPENDITURE MANAGEMENT: A PRELIMINARY HIPC INDICATOR COUNTRY ASSESSMENT

OVERALL ASSESSMENT

The preliminary review identified four main areas of budget execution and formulation where specific benchmarks were not met (C). Overall, of the 15 benchmarks, 3 were fully or generally met and 8 were met to a good degree. The ratings indicate that the quality of public expenditure management is weakest in the execution stage. While there are elements of budget formulation which are fully satisfactory (e.g., use/treatment of extra budgetary and donor funds) this is also an area where improvements are needed (e.g., reliability of the voted budget as a guide to future, and an identification of poverty-reducing expenditures). Budget reporting has generally been adequate.

The following are the results in the three main areas of the HIPC indicator assessment:

	A	B	C
Coverage of PR Expenditures	0	1	0
HIPC Benchmarks			
Budget Formulation	1	4	2
Budget Execution	1	1	2
Budget Reporting	1	3	0

Detailed Assessment

I. Coverage of the Assessment

Involvement of Different Levels of Government

Q. What amount of total government poverty-reducing spending is carried out by sub-national levels of government?

a. 0-10 percent of total?
b. 10 percent to 50 percent?
c. More than 50 percent?

Benchmark on Coverage: Answer: B. The government's poverty-reducing expenditures carried out by sub-national levels of expenditures represent between 10 and 50 percent of the total.

Explanation. The government's poverty reducing expenditures carried out by sub national levels of government is estimated between 10-50 percent, based on sub-national share of total poverty-reducing public expenditure spending of key poverty reducing sectors (e.g., education and health). Specifically, in 2001, sub-national spending

comprised about 13 percent of primary education and health. In addition, about 6 percent of the public education budget is used to supports private schools (i.e., parish schools). Also, an unidentified part of public expenditure on rural development—which is also poverty reducing—is effected through autonomous agencies and for rural social infrastructure through local branches of the central government. Finally, since 1999, with the slowdown of economic growth and a decline in total revenue-to-GDP ratio, the share of primary education and health in total sector budgets declined.

II. Budget Formulation

Indicator 1: Coverage of the budget

Q1.	How well does the coverage of fiscal information associated with the budget match the Government Finance Statistics (GFS) definition of the general government sector? a. Identical b. Very close fit c. Considerable differences

- *Benchmark 1: Answer B: Fiscal reporting differs in some respects from the Government Finance Statistics definition of the general government sector, largely because of the lack of coverage of local governments in regular monthly fiscal reporting.*

Explanation: The coverage of fiscal reporting does not fully conform to the GFS definition of the general government sector. Also, the RCI budget in general and TOFE—the main monthly budget report instrument—do not fully conform to the directives of the WAEMU concerning the accounting framework of the state. There is no information on local governments and extra-budgetary funds in TOFE. A notable problem is the classification of hospitals as public establishments in the industrial and commercial sectors although they are central in the efforts to combat poverty.

Indicator 2: Degree of spending being funded by extra budgetary sources

Q2.	To what degree are general government activities funded through extra budgetary sources? a. Not significant (estimate level as a share of total spending) b. Significant (estimate level as a share of total spending) c. Very significant (estimate level as a share of total spending)

- *Benchmark 2, Answer B: Before the conflict, government activities were not funded through extra budgetary sources to a significant degree. However, since September 2002, conflict-related extra budgetary expenditures have increased.*

Explanation: In 1999, several extra-budgetary expenditures were executed. Since the beginning of the crisis, it is evident that extra budgetary financing has been used to fund expenditures related to the conflict.

Indicator 3: Reliability of budget as a guide to future

Q3.	How would you describe the composition of the budget outturn at an administrative functional level relative to the original budget's appropriations?
	a. Very close b. Quite close c. Not close

- *Benchmark 3, Answer C: Budget outturn data are not close to the original budget.*

Explanation: The execution rate of the budget varies considerably in part due to cash flow rationing by the Treasury in periods of budgetary restraint. Also, introduction of the SIGFIP reporting system, which was not fully backed by adequate manpower and training, contributed to the divergence between the voted and executed budgets. The average difference was about 20 percent at the current budget level in two of the three last years, with particularly large difference in some social sectors. For example, in education, the execution rate fell to 33 percent in 2001 from 74 percent in 1997. Variations between voted and executed expenditures are particularly large in the investment budget, averaging about 50 percent in the past three years.

Indicator 4: Inclusion of donor funds

Q4.	Are donor funds included in central and local governments' budgets?
	a. All b. Incomplete c. None

- *Benchmark 4, Answer A: Budgets at central and local governments include grants projected to be provided by donors, and the capital and current expenditure of all multilateral and bilaterals.*

Explanation: Donor funds are generally included in central and local government budgets. External grants for projects are included in central government revenues. The counterpart of donor grants and loans is included in the budget.

Indicator 5: Classification

Q5.	Indicate the types of classification that apply to the budget and budget expenditures?
	a. Administrative, economic, functional, and programmatic b. Administrative, economic and functional (to sub functional level) or Administrative, economic and programmatic c. Other

- *Benchmark 5, Answer B: Budget expenditures are classified on administrative and functional bases.*

Explanation: The system in use covers largely administrative and functional classifications. Economic classifications in use include, wages and salaries, material and equipment, debt service, transfers, and investments. Functional classification also covers the main government functions but its clarity could be improved. There are budgetary line items for sub-national spending, including individual primary schools and health clinics. The precision of administrative classification could be improved. Budget is not classified on a programmatic basis.

Indicator 6: Identification of poverty reducing spending

Q6.	What is the principle means for tracking poverty reducing spending?
	a. Use of the existing budgetary classification system (either pre-existing or through the use of a so-called "virtual poverty fund") b. Use of a separate institution ("an actual poverty fund") c. Other—describe

- *Benchmark 6, Answer C: Poverty-reducing expenditures are not clearly identified in the budget.*

Explanation: There is no clear, encompassing definition of poverty-reducing spending in the budget. However, it is possible to identify poverty-reducing expenditures (e.g., primary education, primary health, feeder roads, etc.). Under the World Bank's Economic Recovery Credit (ERC), it was required that poverty reducing expenditure be tagged for primary health and education and increased while reducing expenditures elsewhere in the system. There is currently no virtual poverty fund in use.

Indicator 7: Integration of medium term forecasts

Q7.	How would you describe the application of the out-year estimates (medium term) for spending? a. Integrated into the budget formulation cycle b. Projections exist, but are not integrated into the budget formulation cycle c. Projections exist only for a few selected sectors, or not at all

- *Benchmark 7, Answer B: Multi-year expenditure projections are produced regularly, but are not fully integrated into the budget formulation process.*

Explanation: The government prepares a macro economic framework for a three-year period, which projects main macroeconomic aggregates and public revenues. This is integrated into the annual government budget, which also incorporates estimates of foreign financing. This budgetary framework establishes expenditures priorities by order of priority (i.e., wages, debt service, and other operating expenditures). Thus, while the medium term forecast provides a basis for the annual budget exercise, the two are not fully integrated.

III. Budget Execution

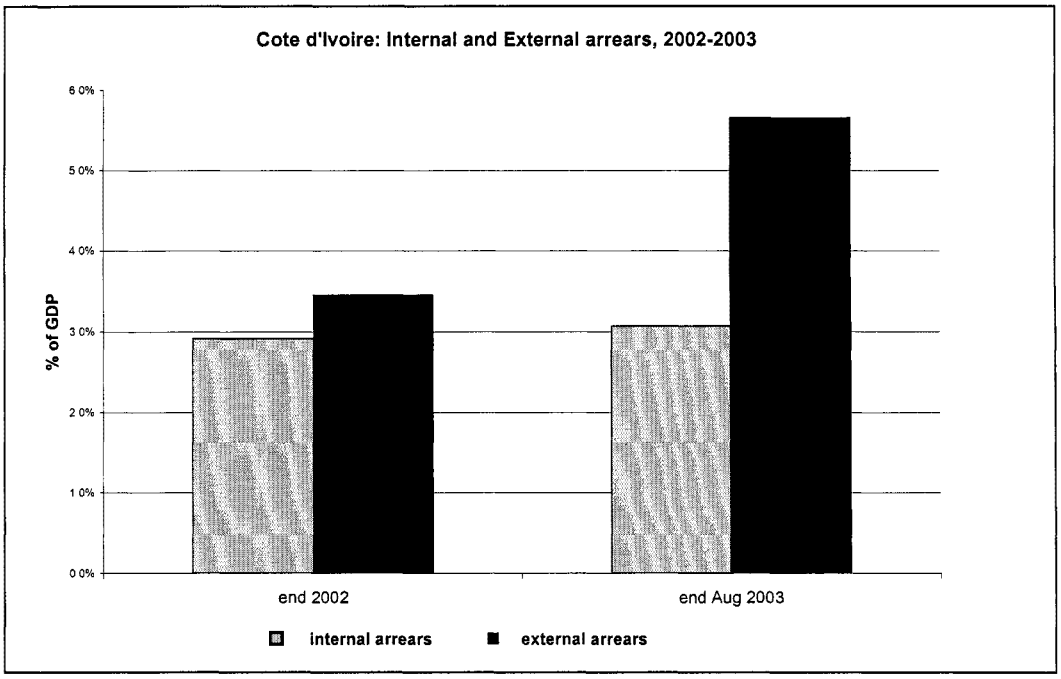
Indicator 8: Evidence of budget execution problems - Arrears

Q8.	What do you estimate as the level of the stock of expenditure arrears at the end of the last financial year? a. Very few or none b. Some (up to 5 percent of total expenditure) c. Significant amount (more than 5 percent of total expenditure)

- *Benchmark 8, Answer C: Large stock of expenditure arrears, mostly accumulated since the outbreak of the civil war in September 2002.*

Explanation: There are two dimensions of the budgetary payment discipline and, specifically, budgetary arrears problem in Côte d'Ivoire: temporary and structural. The first, temporary problem with arrears is associated with the 2002 conflict. Before the crisis, budgetary arrears were very small but escalated at the end of 2002. According to the recent official report, the government accumulated during 2002 some CFAF 74 billion (about 0.9 percent of GDP or little over 5 percent of total expenditures) of budgetary (expenditure) arrears, partly on account of pensions, but this probably does not include the likely government arrears for wages and payments to suppliers. Moreover, three major tax offset operations (totaling CFAF 98 billion or about 1.2 percent of GDP) were carried out during the year, effectively canceling out tax liabilities of the water company (SODECI), electricity company (CIE), and the RCI—telecom, in exchange for an equivalent cancellation of government expenditure arrears towards these companies.

Moreover, external budget arrears continued to rise during 2003 so that according to the official data, as of end-August 2003, these arrears amounted to about 5.5 percent of GDP, mostly to Paris Club creditors and the African Development Bank. Also, the Treasury reports about 3.5 percent of GDP in accumulated internal budget arrears. This temporary arrears problem, however, will likely improve with the recovery of the economy and the reintegration of the country and the budget expenditure management system on its whole territory.



The structural problem of budgetary payments discipline is associated with the institutional and governance problems in the public expenditure management. The French expenditure control mechanism in place has extensive, and probably excessive, ex-ante controls of expenditure payments. This and the slow implementation and inadequate staff training for the otherwise solid SIGFIP expenditure monitoring and control information system in part led to significant delays in payments of specific services, including poverty-reducing expenditures on health and education. These delays could be as large as several months, leading to a major disruption in service delivery.

Cash rationing is a currently a feature of the control system. Decisions about which activities should receive cash and which would be put on the waiting list de facto become a non-marginal part of the resource allocation system. It is unclear if there is currently an effective way to protect higher priority spending, such as poverty-reducing expenditures. Certain types of spending, such as health and education services, experienced a severe deterioration in service delivery—especially in the war affected areas of the north and west—from late or no payment of invoices.

Indicator 9: Effectiveness of the internal audit function

Q9.	How would you describe the internal audit function?
	a. Effective—run by ministry of finance or by spending unit
	b. Partial—run ineffectively by the MOF or only by some spending units
	c. None

- *Benchmark 9, Answer B: Internal audit is not fully effective despite the extensive audit system in place.*

Explanation: There is an elaborate internal audit function in the executive branch of government, as well as an audit unit of the Supreme Court. Unfortunately, "Corps de Contrôle" lacks adequate resources and training to carry its function. Moreover, inspection reports are not systematically followed up.

Indicator 10: Tracking surveys are in use

Q10.	Is internal control supplemented by public expenditure tracking surveys (PETSs) that follow funds to the ultimate service provider or beneficiary?
	a. Yes, PETSs are a regular feature of the PEM system, or PETSs are no longer required as the PEM system itself can reliably track resource transfers through to service delivery units and through them to the final uses
	b. Yes, PETSs have been tried, but they are not yet a regular feature of the PEM system
	c. No, tracking surveys have not been used or have been used and are no longer to be used, and the underlying PEM system cannot reliably track spending

- *Benchmark 10, Answer C: Tracking surveys are not in use.*

Explanation: There are no full public expenditure tracking systems in place. Pilot programs have been developed for primary education of health clinics, but are not yet operational.

Indicator 11: Quality of fiscal information

Q11.	Is there regular reconciliation of all government bank accounts (those held in the central bank and the commercial banks) with the government's accounting records?
	a. It occurs satisfactorily in a timely and routine way
	b. It occurs satisfactorily, but not in a timely way
	c. It does not occur satisfactorily.

- *Benchmark 11, Answer A: Satisfactory reconciliation of fiscal and banking records is undertaken routinely.*

Explanation: Reconciliation takes place on a monthly basis. The Treasury acts as the Government's banker and should be able to verify the reconciliation of bank accounts with fiscal accounts. The Government has a limited capacity to borrow from the banking system either directly from the banks or from the central bank under the monetary arrangement of WAEMU.

IV. Budget reporting

Indicator 12: Regularity of timely internal fiscal reporting

Q12. When are budget tracking reports from line ministries and the treasury received?

a. They are received within two weeks of the end of the relevant period
b. They are received between two weeks and four weeks of the relevant period
c. They are received more than four weeks after the end of the relevant period

- *Benchmark 12, Answer B: Internal budget reports from line ministries are received within four weeks of the end of the relevant period.*

Explanation: Internal budget tracking reports from line ministries appear to be timely, within four weeks of the end of the period. The SIGFIP information system produced timely reports on spending, but the information given to the key Finance directorates, such as the DAAFs, is not synthesized to allow timely analysis. However, the annual report on budget execution is supposed to be sent to the *Cour de Comptes* (Supreme Court Audit Agency) for review before being sent to Parliament every year. In past years, this was several years late. In 2002, it was supposed to be submitted by May, following the end of the 2001 budget year, but there is currently no information as to its status.

Indicator 13: Fiscal reports present spending on a functional basis

Q13. What in-year reports are published for tracking budget performance?

a. Good quality functional classification is presented
b. Functional presentation is made in the in-year reports, but there are quality concerns with its compilation
c. There is no routine expenditure tracking on a functional basis

- *Benchmark 13, Answer A: Good quality functional classification is reflected in the in-year budget reports*

Explanation: Fiscal reports present spending on a functional basis. The relation between actual payment transactions and the chart of accounts used to code actual payment

transaction is part of the SIGFIP reporting and works well at least down to the Prefect Level in two prefectures.

Indicator 14: Closing the accounts

Q14.	What is the longest period between the end of the fiscal year and the routine booking of transactions? a. Within two months b. Between two months and six months c. Other

- *Benchmark 14, Answer B: Closure of the accounts occurs within two and six months after the end of the fiscal year*

Explanation: The closure of budgetary accounts does not take place within two months of the end of the year. Under the organic fiscal law (No. 59-249), March 15 is the deadline for recording expenditures of the previous year.

Indicator 15: Timeliness of audited financial information

Q15.	How soon after the end of the relevant year is the audit report on the annual accounts (either short form audit report accompanying the final accounts or as part of *loi de règlement*) presented to the public and/or the legislature? a. Within six months b. Between six months and one year c. Other

- *Benchmark 15, Answer B: An audited record of the financial outturn is presented to the legislature within twelve months of the end of the fiscal year.*

Explanation: The annual report on the budget is evaluated and sent to the Accounts Chamber within twelve months of the end of the fiscal year. The evaluated report is sent by the Chamber to Parliament. The system was on track in 2002 but has been since disrupted due to the civil war.

ANNEX 3: SIGFIP PROCEDURES

Expenditure execution may follow normal or simplified procedures. The normal procedure is a three-stage process comprising commitment, issuance of payment order, and ***payment***. The simplified procedure, however, consists of only two stages: combined engagement and ordinance, and payment. The normal procedure is used for most expenditures. The simplified procedure is used in cases of clearly defined "special" outlays such as: the payment of utilities, the transfer of credits abroad, traveling expenses, and special expenditures approved by the Ministry of Economy and Finance.

The normal Procedure. The normal procedure consists of ***commitment*** *(engagement)*, ***verification of service delivery*** *(liquidation)*, ***issuance of the payment order*** *(ordonnancement),* and ***payment***. ***The commitment*** (including liquidation) stage comprises five main steps:

- The credit agent contacts the supplier who made an expense invoice;
- The credit agent fills an engagement request, which is sent to the Administrative and Financial Directors (DAAF) of the relevant ministries;
- The DAAF is the first point of expenditure verification in the system. He/she checks and certifies the engagement request made by his/her agents. Once a request is certified, a delivery note is sent to the supplier and the financial controller (CF). This transmission to the CF is made through manual and electronic means;
- The CF again certifies the document after checking the main points (i.e., unit prices, feasibility of the work by the enterprise, etc.). The electronic signature and the document are once again transmitted to the DAAF; and
- The DAAF revalidates the document and sends copies to the credit manager, the treasury, and the supplier in order to release the goods or services. At that moment, the Government becomes responsible for the expenditure (commitment or "*engagement*");

The verification of service delivery. This is the second step in expenditure execution. It consists of certification (by project units or the credit administrator) that goods or services have been delivered.

- The supplier prepares the final invoice, after the goods or services are delivered, and sends it to the credit manager;
- The credit manager certifies that "the work is completed" and transfers the invoice to the DAAF (both electronic and hard copy files);

The issuance of payment order—the third stage of expenditure execution—is the result of the commitment. Once the good or service is delivered, the payment order is issued as an instruction to the public accountant for the payment of the government expenditure. This operation consists of four main steps:

- The DAAF checks the information given by his agent about the expense. If it conforms with the law, he transmits one copy of the document to the CF;
- The CF checks the conformity of the expense by verifying physically if the good has been delivered, certifies the document, and sends it back to the DAAF for payment order;
- The DAAF makes the check and transfers the electronic and hard copy documents—the payment order—to the treasury (ACDP) for payment; and
- The ACDP issues the payment and keeps it for collection by the project staff.

The payment. There are two types of payments:

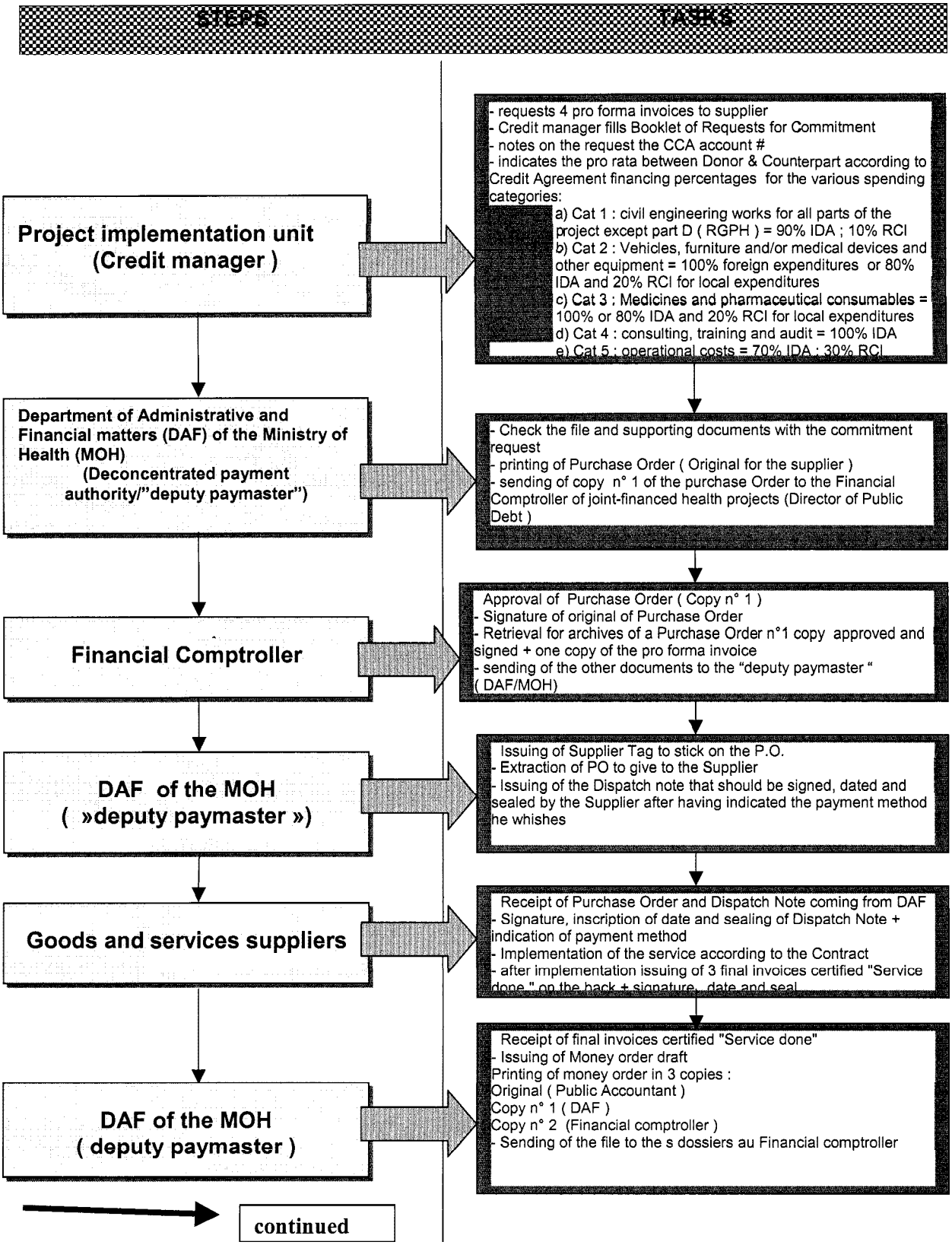
- ***Direct payment*** made through the Treasury *(Direction Générale du Tresor et de la Comptabilité Publique DGCTP)* by the General Treasury Paymaster *(Trésorier Payeur Général—TPG)* which includes two main steps:

  (a) the management of the order to pay. At this step, the accountant receives from the DAAF the electronic and physical order documents for payment. The Treasury accountant is given five (5) business days to deal with the payment request i.e., making various checks to certify the conformity of the expense; and

  (b) the payment. Once the money order is considered, the accountant can make the check payment. At this level, the accountant has ninety (90) days to make the payment.

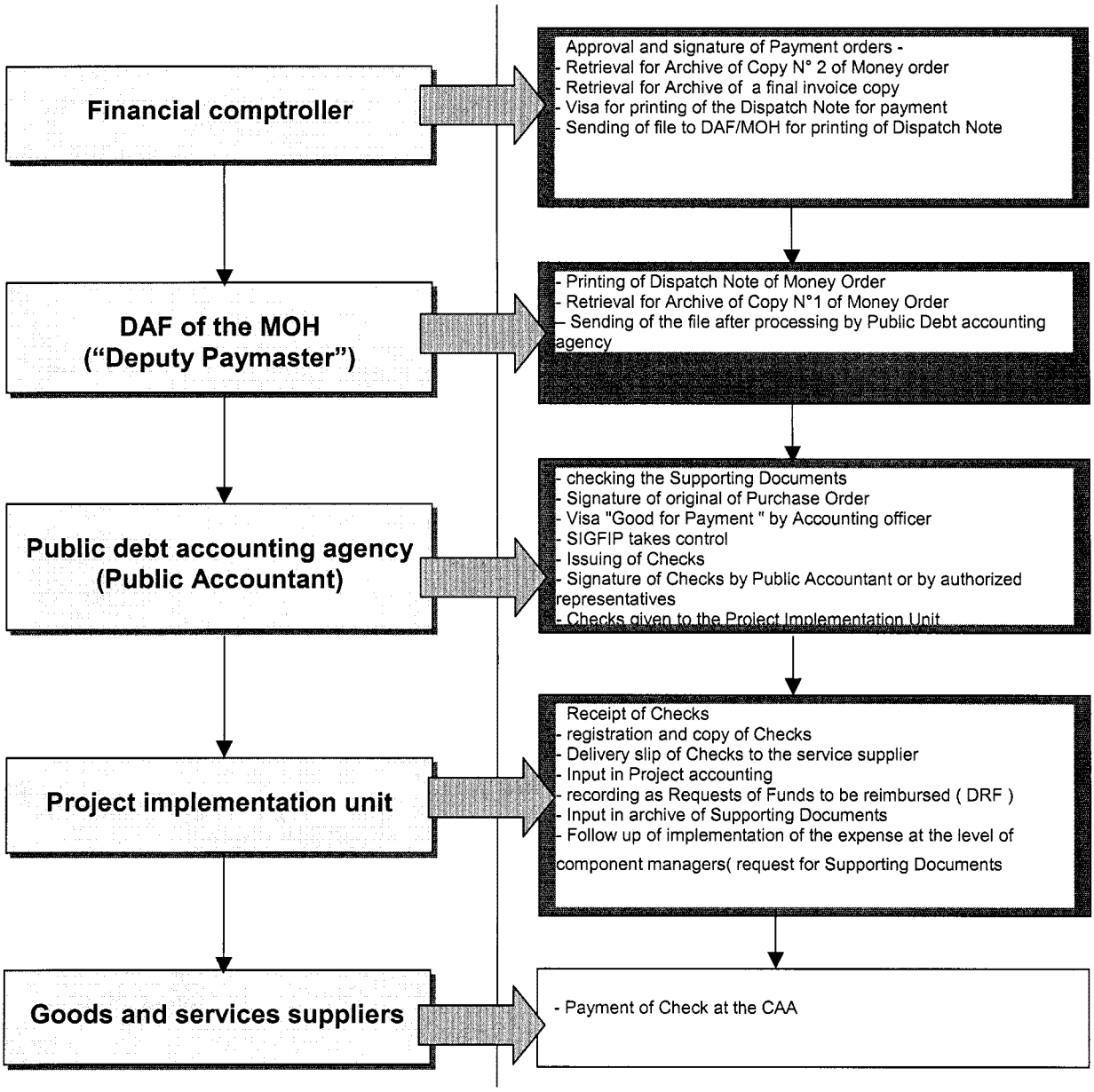
- ***Payment by the Public Accountant of the Public Debt*** *(Agent Comptable de la Dette Publique—ACDP),* which takes place whenever a donor participates in financing of a project. In this case, the payment is made based on the formal agreement between the donors and the government.

SIGFIP
(standard procedure)



SIGFIP

(standard procedure) continued



The simplified procedure, which is shorter, is used in clearly defined types of expenditures such as utilities, transfer of credits abroad, prepayments to agents, traveling expenses, commissions, salaries, water and electricity invoices, and some special expenditures approved by the MEF. Its special nature lies in the combination of the engagement and the ordinance in one step. In fact, in this procedure engagement and ordinance are done simultaneously while in the normal procedure they are done in two steps.

Payment procedures outside the SIGFIP

The *Régie d'avance* procedure. This procedure skips certain steps in the standard procedure and the simplified procedure. *Régie d'avance* procedure consists of an advance of an amount to the project to allow the execution of certain expenditures by the controller outside the SIGFIP before they are submitted for regularization. When a *Régie* (special account) is granted, two special accounts (secondary accounts) are opened to receive separately the advances from the counterpart funds and IDA sources to ensure that funds are not fungible. A controller is subsequently appointed: he is authorized to carry out the transactions of the account. He pays, therefore, different expenditures which no longer pass through the SIGFIP procedures, but in conformity with the project's budget lines.

To replenish the special account, the controller transmits to the DAAF of the relevant ministry the supporting documentation after payment. The DAAF performs an ex-post regularization in the SIGFIP and forwards the documentation to the financial control for approval. When the supporting documentation is validated, the account is replenished to the level justified by the public debt accountant.

Capital Transfer. During the formulation of the government's budget, a budget line entitled "capital transfer" is recorded under the project's title. This line is in principle funded according to the annual financing needs of the project but, because of budget constraints, the funding may not correspond to the stated needs. When the budget is voted, the funds recorded on this line are registered in the SIGFIP. The project submits the requests to commit the funds allocated through the SIGFIP, so that the funds are transferred progressively to the counterpart's account. In the past, this transfer was done through quarterly allocations, but this is now done through monthly allocations because of cash flow problems of the treasury. The funds are then made available to the project, which manages the further use of funds autonomously. The special account is replenished through applications submitted to IDA. The two accounts are managed directly by the project; the coordinator is the controller: he signs the checks for project's expenditures and maintains all the supporting documentation.

Advance payments outside SIGFIP. This payment procedure consists of pre-financing of the project's expenditures outside SIGFIP and their subsequent regularization. The project coordinator submits his invoices through a filled out form which also presents the documentation to the Public Debt (financial control), who makes the necessary verifications and forwards it to the Accountant. If the special account has insufficient funds at that the time of the presentation of invoices for withdrawal of funds, the

Accountant authorizes the pre-financing through the government's funds. Once the payment is made, the coordinator regularizes the expenditure in the SIGFIP by submitting the supporting documentation to the DAAF, who takes the necessary steps to ensure that the file follows the normal processing cycle. As soon as the special account is replenished by IDA after pre-financing of expenditure through the government funds, the special account is debited in order to reimburse the account from which the expenditure was pre-financed.

STATISTICAL ANNEX

Table 1: Cote d'Ivoire: Central Government Financial Operations, 2000-03

	2000	2001	2002 Est.	2003 Budget	2003 Proj.
Total revenue and grants	**16.9**	**17.5**	**18.0**	**16.9**	**17.1**
Revenue	16.4	17.0	17.5	16.6	16.7
Tax revenue	14.3	14.8	15.5	14.2	14.2
Direct taxes	4.4	4.1	4.1	3.6	3.6
Indirect taxes	9.9	10.7	11.1	10.6	10.6
of which custom taxes	6.4	7.0	7.8	7.1	7.1
VAT offset			0.3		
Nontax revenue	2.1	2.1	2.1	2.4	2.5
Stabilization fund surplus	0.1	0.1	0.0	0.0	0.0
Social security contributions	1.4	1.5	1.4	1.4	1.4
Other nontax revenue	0.6	0.6	0.7	1.0	1.1
Grants	0.4	0.5	0.3	0.3	0.3
Grants : Cocoa sector (crisis)	...	...	0.1	...	0.1
Total expenditure	**18.2**	**16.6**	**19.6**	**17.3**	**18.9**
Current expenditure	15.3	14.7	15.6	14.4	15.1
Wages and salaries	6.0	6.1	6.4	6.4	6.7
Social security benefits	1.2	1.2	1.2	1.3	1.3
Subsidies and other current transfers	1.2	0.8	0.9	1.0	1.1
Other current expenditure	2.9	3.2	3.6	3.1	3.3
of wich: Defense: crisis	...	...	0.6	...	...
VAT offset expenditure	...	...	0.1	...	...
Interests due	4.1	3.3	3.3	2.6	2.7
Foreign interests	3.7	3.0	3.0	2.2	2.3
Domestic interests	0.4	0.3	0.3	0.4	0.4
Capital expenditure	2.8	1.8	3.2	2.9	3.0
Domestically-financed	1.4	1.1	1.8	1.6	1.7
Foreign-financed	1.4	0.8	1.4	1.3	1.4
Net lending	0.1	0.1	0.2	0.0	0.0
Extrabudgetary expenditure: crisis	...	...	0.7	...	0.7
Overall balance (payment order basis)	**-1.3**	**0.9**	**-1.6**	**-0.5**	**-1.8**
Change in domestic arrears	0.6	-0.1	0.2	-0.1	-0.1
Arrears offset	...	...	-0.2	...	...
Overall balance (cash basis)	**-0.6**	**0.8**	**-1.6**	**-0.6**	**-1.9**
Financing	**0.6**	**-0.8**	**1.6**	**-7.1**	**-8.0**
Domestic financing	-1.6	-1.2	0.5	-0.6	-0.6
Bank financing	-1.6	-1.4	0.1	-1.4	-1.4
Nonbank financing	0.1	0.2	0.4	0.8	0.8
External financing	2.2	0.7	1.2	-6.5	-7.4
Of which: Changes in external arrears	5.5	4.7	-4.9	-3.3	-3.5
Adjustment	0.0	-0.3	-0.2	...	...
Financing gap	**0.0**	**0.0**	**0.0**	**7.7**	**9.9**
Possible Rescheduling: Paris Club	0.0	0.0	0.0	3.7	3.9
Possible Rescheduling: London Club	0.0	0.0	0.0	1.7	1.8
Residual financing gap	0.0	0.0	0.0	2.3	4.2
World Bank	0.0	0.0	0.0	0.0	0.3
European Union	0.0	0.0	0.0	0.0	0.2
Remaining gap	**0.0**	**0.0**	**0.0**	**2.3**	**3.7**
Memorandum items:					
Nominal GDP (in billion of CFAF)	7,531	7,874	8,142	8,521	8,144

Source: Ivorian authorities and IMF staff

Table 2: Côte d'Ivoire: Public Investment by Function, 1991-2001
(In billions CFAF)

Sector	An. av. 1991-93		1994		1995		1996		1997		1998		1999		An. Av. 1994-99		2000		2001	
	Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual	Budget	Actual
Agriculture	64.0	23.6	73.1	74.1	59.1	46.6	74.8	48.6	55.8	40.3	74.9	-	80.0	25.4	69.6	39.2	63.0	10.8	50.4	11.4
Industry and Mine	3.4	0.8	9.2	4.1	18.1	11.2	4.6	1.1	21.2	16.8	14.9	-	24.6	2.7	15.4	6.0	25.9	0.4	18.5	3.5
Service	6.4	0.9	11.9	0.5	11.3	0.7	10.8	6.2	12.2	10.3	9.8	-	1.3	0.2	9.5	3.0	1.6	-	0.2	0.1
1. Economic Dev.	**74**	**25**	**94**	**79**	**88**	**58**	**90**	**56**	**89**	**67**	**100**	-	**106**	**28**	**95**	**48**	**90**	**11**	**69**	**15**
Transports	38.3	10.6	31.3	10.3	39.2	25.6	39.0	30.1	61.5	41.1	79.5	-	1.8	0.3	42.1	17.9	0.7	0.4	0.2	0.2
Communication	0.0	0.1	0.0	0.0	-	-	-	-	-	-	-	-	0.9	0.5	0.2	0.1	0.8	0.2	0.6	0.2
Energy	3.7	2.6	11.7	5.9	16.1	14.8	19.2	12.8	25.3	11.2	20.6	-	-	-	15.5	7.5	-	-	-	-
2. Economic Dev. Support	**42**	**13**	**43**	**16**	**55**	**40**	**58**	**43**	**87**	**52**	**100**		**3**	**1**	**58**	**31**	**1**	**1**	**1**	**0**
Urban	27.8	10.1	19.5	18.9	29.9	16.1	41.5	23.9	66.4	35.3	70.2	-	94.8	23.9	53.7	19.7	119.1	17.6	52.6	30.7
Social	0.4	0.3	3.7	3.3	3.5	3.3	3.7	3.3	3.8	3.4	2.8	-	-	-	2.9	2.2	-	-	-	-
Health	13.6	4.6	12.4	11.8	17.6	10.0	21.9	16.8	26.6	12.7	39.1	-	36.5	8.4	25.7	10.0	41.6	4.8	20.3	7.6
FRAR	2.3	2.2	10.2	9.2	15.8	15.6	16.9	16.5	18.1	13.4	17.7	-	-	-	13.1	9.1	-	-	-	-
3. Social Dev.	**44**	**17**	**46**	**43**	**67**	**45**	**84**	**61**	**115**	**65**	**130**		**131**	**32**	**95**	**49**	**161**	**22**	**73**	**38**
Culture	4.5	1.0	28.9	18.4	12.4	15.4	13.6	9.1	15.5	8.7	11.7	-	18.5	6.9	16.8	9.7	6.1	3.0	4.2	3.9
Professional training	17.9	6.6	33.9	24.4	30.4	15.2	40.9	29.9	34.8	25.8	40.8	-	81.9	17.9	43.8	18.9	70.7	14.8	41.8	13.8
4. Cultural Dev.	**22**	**8**	**63**	**43**	**43**	**31**	**54**	**39**	**50**	**34**	**53**		**100**	**25**	**61**	**34**	**77**	**18**	**46**	**18**
Research	0.9	0.6	1.6	0.5	2.7	2.0	2.7	1.8	2.1	1.5	4.0	-	16.6	13.6	5.0	3.2	8.7	4.2	12.6	9.9
Administration	17.4	7.3	31.9	15.0	48.5	32.9	58.1	30.4	88.3	55.3	73.8	-	42.8	22.4	57.2	26.0	33.7	15.6	20.6	12.2
Defense	0.5	0.1	1.8	0.3	7.0	0.6	12.6	5.6	15.8	9.0	7.9	-	1.9	1.4	7.8	2.8	2.0	0.2	5.7	4.9
Interior Security	4.7	4.2	14.3	4.0	12.9	9.7	8.6	5.1	8.8	5.5	5.4	-	19.0	11.2	11.5	5.9	22.1	5.2	11.4	5.9
5. Research and Planning	**24**	**12**	**50**	**20**	**71**	**45**	**82**	**43**	**115**	**71**	**91**		**80**	**49**	**82**	**45**	**67**	**25**	**50**	**33**
Total BSIE	**206**	**76**	**296**	**201**	**325**	**220**	**369**	**241**	**456**	**290**	**473**		**421**	**135**	**390**	**217**	**396**	**77**	**239**	**104**

V: voted, E: Executed

Table 3: Côte d'Ivoire: Public Investment Execution Rate, 1991-2001
(in percent of budgeted amounts)

Sector	1991-93	1994	1995	1996	1997	1998	1999	1994-99	2000	2001
Agriculture	36.8	101.3	78.8	64.9	72.4	-	31.8	56.3	17.2	22.6
Industry and Mine	22.8	44.1	61.9	23.8	79.1	-	10.8	38.7	1.4	18.7
Service	13.6	4.2	6.2	57.3	85.0	-	17.8	31.4	-	39.3
1. Economic Development	**34.2**	**83.5**	**66.1**	**61.9**	**75.7**	**-**	**26.8**	**50.9**	**12.4**	**21.6**
Transports	27.7	33.0	65.3	77.2	66.9	-	17.9	42.6	55.7	95.2
Communication	417.6	100.0	..	..	..	..	50.6	51.2	25.6	35.3
Energy	71.2	50.7	92.3	66.6	44.3	-	..	48.2	..	..
2. Economic Development Support	**31.8**	**37.8**	**73.1**	**73.7**	**60.3**	**-**	**28.9**	**52.9**	**39.7**	**52.4**
Urban	36.5	97.1	53.8	57.5	53.2	-	25.2	36.6	14.8	58.3
Social	83.2	90.9	94.5	89.1	88.1	-	..	76.0	..	..
Health	33.7	95.2	56.7	76.8	48.0	-	23.1	38.8	11.6	37.5
FRAR	94.4	90.5	98.4	97.6	74.0	-	..	69.5	..	..
3. Social Development	**39.1**	**94.6**	**67.3**	**72.0**	**56.4**	**-**	**24.6**	**51.5**	**13.9**	**52.5**
Culture	22.6	63.8	123.5	67.3	55.8	-	37.2	58.1	50.2	93.4
Professional training	36.9	71.9	50.1	73.1	74.1	-	21.9	43.1	20.9	33.0
4. Cultural Development	**34.0**	**68.2**	**71.4**	**71.6**	**68.4**	**-**	**24.7**	**56.7**	**23.2**	**38.5**
Research	63.9	29.4	72.3	66.9	71.6	-	81.8	65.0	47.9	78.4
Administration	42.1	46.9	67.8	52.2	62.6	-	52.3	45.4	46.3	59.1
Defense	24.7	17.2	7.9	44.2	56.9	-	70.2	35.6	11.4	86.4
Interior Security	88.2	27.9	75.4	58.7	62.2	-	59.0	51.3	23.6	52.1
5. Research and Planning	**51.8**	**39.7**	**63.4**	**52.1**	**62.0**	**-**	**60.4**	**55.8**	**37.9**	**65.4**
Total Investment	**37**	**68**	**68**	**65**	**64**	**-**	**32**	**56**	**20**	**44**

Source: Ivorian authorities and World Bank staff

Annex 4: Budget Evolution of the Social Sectors (excluding foreign investments), 1996-2003 (CFAF billion)

	1996	1997	1998	1999	2000	2001	2002	2003	
								Voted	Act. (10/03)
Primary Expenditures	**779.9**	**912.0**	**1,003.0**	**949.2**	**809.4**	**762.4**	**1,115.5**	**1,036.9**	**553.9**
Education	**246.5**	**275.6**	**291.9**	**299.2**	**285.9**	**281.6**	**339.7**	**348.5**	**189.3**
Ordinary Expenditures	...	...	...	...	272.6	272.0	320.0	330.9	184.0
Investment Expenditures	...	...	...	...	13.3	9.6	19.7	17.6	5.3
Health	**55.6**	**69.3**	**73.8**	**66.4**	**63.0**	**57.8**	**59.8**	**77.2**	**44.9**
Ordinary Expenditures	...	...	...	...	59.7	53.6	52.4	64.7	42.7
Investment Expenditures	...	...	...	...	3.3	4.2	7.4	12.5	2.2
Other Sectors	**477.8**	**567.1**	**637.3**	**583.6**	**460.5**	**423**	**716**	**611.2**	**319.7**
	(Percent of Primary Expenditures)								
Education	31.6	30.2	29.1	31.5	35.3	36.9	30.5	33.6	34.2
Health	7.1	7.6	7.4	7.0	7.8	7.6	5.4	7.4	8.1
Other sectors	61.3	62.2	63.5	61.5	56.9	55.5	64.2	58.9	57.7
Total	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**
GDP	**6,178**	**6,802**	**7,541**	**7,731**	**7,543**	**7,636**	**8,033**	**8,568**	**8,568**
	(Percent of GDP)								
Education	4.0	4.1	3.9	3.9	3.8	3.7	4.2	4.1	2.2
Health	0.9	1.0	1.0	0.9	0.8	0.8	0.7	0.9	0.5
Other sectors	7.7	8.3	8.5	7.5	6.1	5.5	8.9	7.1	3.7
Primary Expenditures	**12.6**	**13.4**	**13.3**	**12.3**	**10.7**	**10.0**	**13.9**	**12.1**	**6.5**

Source: Government of Côte d'Ivoire.

Table 5: The Government's Public Expenditures, 1995 -2004
(CFAF Billion)

	1995	1996	1997	1998	1999	2000		2001		2002		2003	2004
						Proj.	Est.	Proj.	Est.	Proj.	Est.	Projection	
TOTAL EXPENDITURES	**1,342.7**	**1,397.3**	**1,513.9**	**1,592.2**	**1,547.3**	**1,543.5**	**1,367.1**	**1,383.6**	**1,306.9**	**1,491.6**	**1,591.6**	**1,347.9**	**1,518.6**
PRIMARY EXPENDITURES (excluding interest)	**999.5**	**1,075.1**	**1,210.7**	**1,305.9**	**1,248.7**	**1,243.6**	**1,059.0**	**1,122.0**	**1,047.2**	**1,255.6**	**1,268.5**	**1,260.6**	**1,324.7**
Current Expenditures	**719.4**	**771.1**	**838.4**	**868.3**	**908.8**	**860.6**	**850.8**	**876.0**	**898.0**	**935.5**	**1,011.4**	**1,012.3**	**1,045.3**
Personnel	346.3	389.6	408.1	415.2	425.3	455.1	448.1	478.7	484.1	510.0	523.5	547.5	575.0
Social Services	65.2	68.8	73.6	76.5	76.0	90.2	87.8	112.6	96.5	114.4	100.9	109.0	108.5
Subsidies and Other Transfers	51.7	40.6	54.9	55.9	59.5	55.2	89.5	64.7	65.4	74.6	74.9	90.8	95.0
Other Operating Expenditures	225.8	253.9	267.9	264.1	312.2	235.1	212.1	208.5	248.5	220.0	288.9	257.0	260.0
Targeted Social Expenditures	10.3	6.1	9.9	10.8	5.0	9.0	4.3	4.5	3.5	9.5	3.1	3.1	3.1
Exp. Outside the Budget and/or to be Identif.	20.0	12.1	24.0	45.8	14.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Lending and Capital Expenditures	0.0	0.0	0.0	0.0	16.1	16.0	9.0	7.0	0.0	7.0	20.1	4.9	3.7
Capital Expenditures	**280.1**	**304.0**	**372.3**	**437.6**	**339.9**	**383.0**	**208.2**	**246.0**	**149.2**	**320.1**	**257.1**	**248.3**	**279.4**
PUBLIC DEBT INTEREST	**343.2**	**322.2**	**303.2**	**286.3**	**298.6**	**299.9**	**308.1**	**261.6**	**259.7**	**236.0**	**265.6**	**87.3**	**193.9**
EXPENDITURES RELATED TO THE CRISIS											**57.5**		

Source: Ivorian Authorities.

Table 6: Estimated Cost of the Recommendations in the Public Expenditure Management Review of the World Bank Requiring Additional Financial Resources (CFAF Million)

Organization	Recommendations	Recurrent Costs	Investment Costs	Total	Of which: Already Funded *	Of which: To be Funded	Assumptions
I. Strengthening Budget Preparation							
DGP	Strengthening the Directorate	12	21	**33**		**33**	2 consultants, 2 computers, one car 4x4, travel expenses
MEF	Establishing a planning unit in each ministry	270	108	**378**		**378**	1 staff, 1 assistant, 2 computers, office furniture (x 30 ministries)
II. Strengthening Budget Execution							
DGBF	Database of unit prices	25		**25**		**25**	a consulting firm for 6 months
III. Improvement of Expenditure Controls							
DCF	Strengthening Financial Control	20	965	**985**	985	**0**	
IGF	Strengthening the General Financial	10	219	**229**	229	**0**	
IGE	Strengthening the Genral State Inspectorate	175	123	**298**		**298**	10 inspectors, 1 technical assistant, 5 assistants, travel expenses
CC	Strengthening the Chamber of Accounts	10	449	**459**	459	**0**	
DMP	Strengthening the Public Procurement Directo	30	440	**470**	470	**0**	
	Total	**552**	**2,325**	**2,877**	**2,143**	**734**	
	Total (US$ million equivalent)	**1.0**	**4.2**	**5.2**	**3.9**	**1.3**	

Source; World Bank staff.
(*) Already funded by the European Commission (EU), see "Support program to implement the corrective measures for the public expenditure systems, signed on July 16, 2003, by the EC and the Ivorian authorities.

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